



***The Municipal Status Quo
Vs.
Federal Income Tax Reform***

By Kyle M. Palmer

“In simple terms, federal tax reform is simultaneously the reform of each state and local government tax system.”
– Douglas Holtz Eakin, prior to his appointment as Director of the Congressional Budget Office.

The United States of America’s internal revenue code currently defines income (I) conceptually, as being made up of consumption (C) and change in wealth (ΔW , also known as savings¹). From this equation ($I = C + \Delta W$) a U.S. federal income tax has emerged that has been widely panned as inefficient and confusing. Attacks upon this approach to taxation are plentiful and have led to increasing demand for a theoretical tax proposal which could collect revenue reflecting how taxes ‘should’ work. One popular format for changing the federal income tax includes a complete overhaul of the equation by removing change in wealth from the taxable side of the equation, resulting in $C = I - \Delta W$, leaving only consumption to be taxed. Many of these tax reform proposals generally have three objectives: (1) tax consumption instead of consumption and change in wealth; (2) achieve a more uniform tax rate; and (3) broadening the tax base.²

The true task at hand for any reform proposal is to achieve these objectives while maintaining revenue neutrality. Revenue neutrality is achieved when a proposed tax system is shown to generate a similar amount of revenue as the tax system it replaces, thereby creating a credible basis by which analysts may compare the two and project future effects of a change. Since this aspect of complete tax code reform is by far the most important, much bickering is conducted as to the credibility of a suggestion that a proposed reform is actually revenue neutral. This paper is correctly viewed, in part, as another salvo into this sometimes heated debate. While some of the paper focuses on changes of less grandiose ambitions, and their effects, it is appropriately understood that the focus of this research deals with how radical consumption tax proposals of the Flat Tax, FairTax, and Value Added Tax, in the place of a federal income tax, would affect local governments from a revenue and political perspective.

The concept and practice of consumption taxation is not new, and were famously advocated before the American Constitution was formed. In Federalist Paper #21, Alexander Hamilton expressed his preference for consumption taxes because they “contain in their own nature a security against excess,” noting that, “If duties are too high, they lessen the consumption; the collection is eluded; and the product to the treasury is not so great as when they are confined within proper and moderate bounds. This forms a complete barrier against any material oppression of the citizens by taxes of this class, and is itself a natural limitation of the power of imposing them (Hamilton, 1787).” In fact, until 1913 when congress passed the 16th amendment making income taxes constitutional, the federal government mostly followed Hamilton’s prescription

¹ Savings is a much generalized term used, and abused, in macroeconomics. The complexities of which are best enumerated by Richard Posner as he describes his conversion to Keynesianism resulting from his first reading of *The General Theory of Employment, Interest, and Money* by John Maynard Keynes (Posner, 2009).

² This is an adjustment of Bartley Hildreth’s views laid out in *Fundamental Federal Tax Reform and the States*.

and consumption taxes dominated federal revenues. Even after the amendment, the federal income tax never generated significant amounts of federal revenue until World War II (Bartlett, 2002), and even during this change there was significant pressure to collect taxes via consumption rather than income taxes (Zelenak, 2009). The historical support and recent prominence of consumption taxes is not lost on tax scholars and these tax systems have maintained considerable backing by experts and practitioners in the field of economics and taxation. Much has changed since the 1940's however, and limited anecdotal and quantitative data exists to explain how the federal shift from consumption to income based taxation has changed how Americans function compared to just sixty years ago.

One significant change that is well documented during the time period proceeding World War II is the increased popularity of the suburb. Prior to the 19th century, suburbs were generally outlying areas where work was scarce, and in effect, the lower property values made them affordable for America's lower classes. This changed after the war, and advent of 'streetcar suburbs' that developed along trolley lines to help shuttle workers into the city. From here, President Eisenhower's establishment of a national highway system gave rise to faster growth of suburbanization which saw more Americans living in suburbs than any other area by 1970 (Morgan, England, & Pelissero, 2006, 5-6). This result contrasted with European suburbs which developed differently due to compact urban cores and stunted automobile ownership levels with poorer residents (Cox, 2009). The result of this Americanized suburban development is pronounced suburban sprawl at levels which has necessitated 72,955 qualified³, and 89,527 total⁴ local governments (U.S. Census Bureau, 2007).

One problem posed by such a dramatic change of the federal income tax to a consumption tax is that it affects more than just the federal government. As such, relying on the argument that consumption taxes used to be the main source of revenue in the past belies the substantial importance of state and local governments in the everyday American lives and is not justification enough to implement consumption tax reform. Central to the consumption tax proposals discussed in this paper is the removal of tax-exempt status for municipal bonds, the state and local tax, home mortgage interest (all having been 'created' in Revenue Act of 1913), and charitable contributions deductions (created by War Revenue Act of 1917.) Here the reader should note that these major income tax deductions were implemented some time ago and have not, with exception to an aspect of the state and local tax deduction, been removed or adjusted significantly since.

³ For the purposes of this study, the author defines a qualified local government as a county, municipality, city, school district which is not a dependent school system, or special district.

⁴ This number contains towns, townships, and dependent school systems which, while relevant, are either too small to consider or a subsidiary of another local government. The issues these three types of governments face are different enough that focusing on the greater majority of local governments will probably be more productive if these smaller and subsidiary governments are left out of the analysis.

This is far different reality than the public policy expressed by direct grant aid the federal government gives to state and local governments as summarized by analyst Ben Canada for the Congressional Research Service in 2003. Intergovernmental financial aid between federal and state/local governments is a concept as old as the United States itself as the federal government dictated local government requirements and granted aid for losses during the nation's early years. At the onset of intergovernmental relations, Alexander Hamilton played a crucial part in the development of federal government's role in state and local government finance when he advocated for the federal government to take on debts incurred by various states during the revolutionary war, much to the disdain of anti-federalists. Throughout the 1800's Congress continued similar aid to state and local governments through the granting of land, generally requiring only public education facilities be built to support the population. This loose non-monetary grant policy stance ended after the Civil War as the decreased power of the anti-federalist southern states allowed federalist proponents to grant state aid through railroad projects and targeted educational grants. From 1901, Theodore Roosevelt's efforts began to constitute the federal government's first real push for financial grants as he believed a strong executive branch was necessary to address problems raised by the industrial revolution and what he perceived as an "over division of governmental powers." Roosevelt argued that, "The New Nationalism puts the national need before sectional or personal advantage. It is impatient of the utter confusion that results from local legislatures attempting to treat national issues as local issues (Canada, 2003, CRS-4)." This view was furthered by the Woodrow Wilson administration with the implementation of the previously mentioned tax exemption and deductions. Franklin Delano Roosevelt, prompted by the great depression, significantly increased the funding through New Deal legislation creating local initiatives such as the Tennessee Valley Authority. From the New Deal onward, federal to state and local government aid exploded as Eisenhower's interstate highway program vastly shaped the development of America and Lydon B. Johnson's administration added more grant programs than had been implemented by all previous administration's combined, personally doubling outlays to \$18.6 billion dollars. During both Nixon and Reagan administrations, more state and local determination was granted by introducing block grants in place of programs and introducing requirements to qualify for federal assistance. The downfall of these changes were that they eventually also included significantly reduced funding. Bill Clinton and both Bush administrations have furthered the disentanglement of federal with state and local governments, however these movements have been rather technical including the advent of the National Performance Review, Temporary Assistance to Needy Families (TANF), and an increased importance of non-profits, faith-based included, in the provision of local services (Canada, 2003).

This historical overview of federal government aid to state and local governments matters in the analysis of federal taxation because these forms of aid, unlike the aforementioned tax policies, have ebbed and flowed with the various federal ideologies espoused through different administrations. While the amount of money doled out between grants and direct tax advantages to state and local governments is significantly different, it is strange that throughout history only Ronald

Estimated Cost of Federal Aid to State and Local Governments, by Aid Source

(Billions of dollars)

	2007	2008
Direct Grants ^a	443.8	466.6
Tax Expenditures		
Taxes-Paid Deduction ^b	50.7	43.9
Tax-Exempt Bonds	36.5	39.3

Sources: Congressional Budget Office based on *Budget of the United States Government, Fiscal Year 2009: Analytical Perspectives* (direct grants); and Joint Committee on Taxation, *Estimates of Federal Tax Expenditures, 2007–2011*, JCS-3-07 (September 24, 2007).

a. The figure for 2008 is an estimate.

b. The taxes-paid deduction allows taxpayers to deduct from their adjusted gross income some of the taxes they pay to state and local governments, including income or sales, real estate, and other taxes. The provision allowing sales taxes to be deducted expired at the end of 2007.

Reagan's 1986 removal of state and local sales taxes from eligibility under the state and local tax deduction has come to pass even though all four tax advantages were implemented under the administration of Woodrow Wilson who is, some would argue, the founding father of the field of public administration.

The aforementioned lending status and the various deductions have become institutions within taxation policy that have existed around as long as professional administration of local governments. These tax policies' individual or collective removal from the federal income tax would quickly alter the cannon of local government literature, some theories benefiting while others suffer.

Throughout this paper, while considering the effects of the various consumption tax proposals through interviews with local officials, the author explores how current understanding of two academic models that represent resident and official decision making – Tiebout's Public Choice Model and Cohen, March, and Olsen's Garbage Can Model – would be affected by consumption tax reforms.

The author's opinion on the best theory of constituent's residency decisions is Charles Tiebout's Public Choice Model described in *A Pure Theory of Local Expenditures* (Tiebout, 1956). Tiebout's model argues that municipalities within a region offer varying baskets of goods (services) at different prices (tax rates.) Because potential constituents have varying abilities to pay and desire for these goods, they separate themselves out into areas of preferable treatment and price. Municipalities slowly find their niche by retaining groups of individuals who vote for their preferred services that the municipality they live in will provide. Some problems with Tiebout's model are that it assumes perfect information, a variety of communities to choose from, that public goods do not spill over from one community to the next, and that an optimal city size exists which communities try and achieve. Under a consumption tax reform of the federal income tax, the

author believes these assumptions become more feasible, strengthening Tiebout's model as a way to understand how citizens choose their living situation.

The problem with the assumption of perfect information under varying government taxation systems, most notably the federal income tax, is that the codes are usually quite complex. Because all three tax proposals present themselves as a significant way to simplify the federal tax code, the reforms should give rise to the tax intelligence – by way of public relations material and the substantial lowering of the mental bar to comply and 'take advantage' of taxes. For example, constituents choosing between Washington, D.C. and Philadelphia, Pennsylvania⁵ choose from two different baskets of goods at two different prices. What most potential residents are likely to not understand is that given perfect information and the federal income tax, they should choose Washington, D.C. because its constituency and local government is made up of individuals who, due simply to their proximity, understand the interactions of local and federal governments more correctly than their competitors in Philadelphia. As a result, D.C. constituents disproportionately benefit from federal subsidies and grants to local governments simply because there is a broader knowledge base⁶ towards these opportunities in Washington, D.C. as compared to Philadelphia. A perfectly informed and indifferent to all other aspects of the two communities' potential constituent would choose Washington D.C. because of the knowledge advantages of the area translate to more services at a cheaper comparative rate. Consumption tax reform of the federal income tax would not necessarily change this result entirely due to federal grants and other programs, but it would make a murkier decision-making process as less 'knowledge intense' opportunities to take advantage of the federal government would exist. Arguably too, Washington, D.C. is an unfair comparison due to its unnatural proximity to the federal government. Where this reform might make a substantial difference in the availability of perfect information would be a comparison between Milwaukee, Wisconsin and Chicago, Illinois where proximity is no longer a relevant issue, but distortion of knowledge of the inner workings of the federal income tax due to the broad knowledge base of Chicago gives the area a significant advantage in addressing local concerns. Essentially, a consumption tax reform of the federal income tax makes perfect information more feasible because there is less to know.

The author believes a consumption tax reform would decrease the variety of communities to choose from resulting from increased efforts to regionalize. Because financial pressure experienced by the removal of the aforementioned federal government subsidies, the author believes that municipal governments could merge for financial reasons. This change hurts

⁵ This assumes perfect mobility that is another aspect of Tiebout's theory which has its share of detractors.

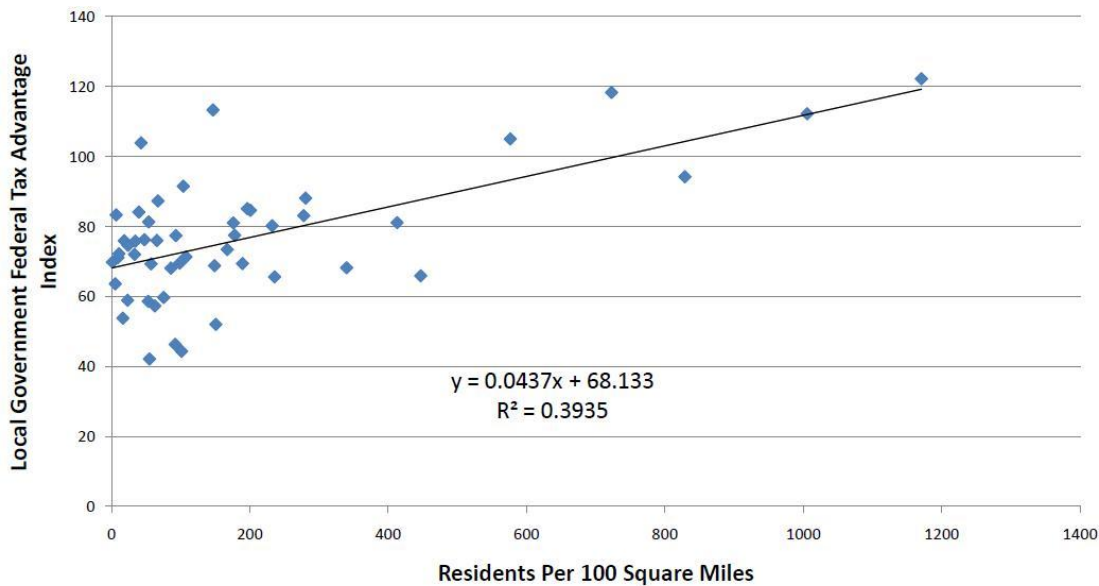
⁶ This is not to say that D.C. residents are necessarily smarter, but that there are more of them, with more political and financial connections that allow them to make better informed decisions and take more financially advantageous actions.

Tiebout's municipal choice assumption however, it does help his assumption that optimal city population density exists and that communities would try and reach it. Because municipal services are most efficiently provided at a certain level in accordance to location, and efficiency does not necessarily increase as population density increases (Morgan, England, & Pelissero, 2006, 293), municipalities will be more apt to provide services to this optimum population; expecting that wherein these services fall short, the underserved constituents will leave for a municipality seeking a larger population.⁷

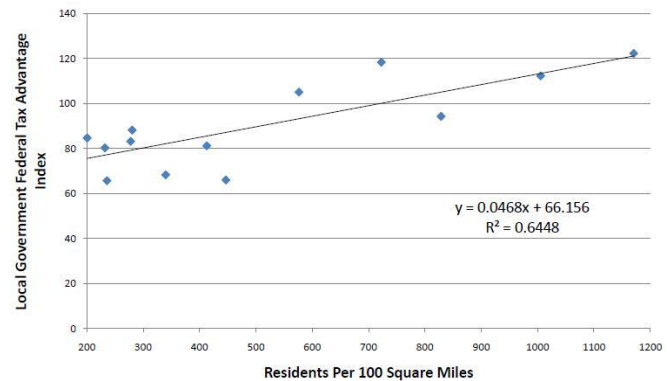
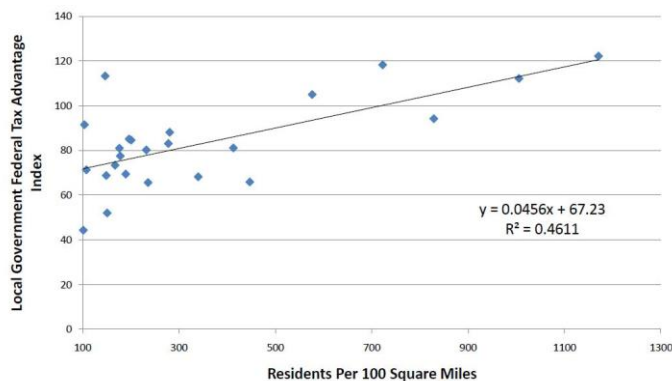
The reform of the federal income tax would decrease the spillover of public goods from one community to the next. The removal of tax-exempt status for municipal bonds, the state and local tax, home mortgage interest, and charitable contributions deductions all function to subsidize highly concentrated or wealthier municipalities at the expense of people living in less dense areas with fewer services. In the below example, the collective public good in question is money provided to residents and municipalities through the federal income tax. Whereas it may not be in the best interest of an individual or municipality to take advantage of the deductions in the federal income tax (to take the itemized deductions, when the total standard deduction is higher or to charge high property taxes in a constituency with a large amount of retail sales,) they still *could* construct their taxes in such a way. Below is a measure, termed the Local Government Federal Income Tax Advantage Index, that ranks states by the percentage makeup of their local government's tax bases which can be deducted by residents from their federal income taxes multiplied by the percentage of individuals in that state who itemize (Congressional Budget Office, 2008).⁸ This measure is then compared to the amount of residents per square mile in a given state. The findings show that while the predictability of the Local Government Federal Tax Advantage Index by this measure of density is not causal ($R^2 = .3935$), it is a relevant factor.

⁷ As before though, this assumes perfect mobility.

⁸ See appendix A for data.



More interestingly though, the importance of the density in explaining the Local Government Federal Tax Advantage Index increases dramatically when removing states below a population density of 100 ($R^2 = .4611$) and/or 200 ($R^2 = .6448$) residents per square mile.⁹



It would appear that there are a few variables, related to the increase and/or decrease in density that might add a bit more to our understanding about what makes up a constituency that takes the most advantage of the federal income tax, but that constituent behavior seems to be driven by the density of the state in which they live.¹⁰ While density seems to explain a major portion of why more dense states/municipalities take advantage of the federal income tax, the more appropriate question to ask is why lower density states/municipalities choose not to take advantage of the collective public good. As relates to Tiebout's assumption about the spillover of public goods, it is the author's belief that the removal of federal

⁹ See appendix A for data.

¹⁰ To be fair, state-wide measures of density, itemization, and local tax-bases is not the most accurate data which would reflect the answer's this type of analysis is seeking. City specific-measures of large to smaller sized cities would provide a significantly more targeted analysis of the subject.

income tax subsidies would decrease spillover of public funding from less dense states to more dense states and would strengthen Tiebout's assumption. Resulting from this cursory analysis, the author believes that the implementation of a consumption tax to replace the federal income tax would strengthen Tiebout's Public Choice Model by making the assumptions more plausible given the context of the interactions of federal and municipal governments through the federal income tax.

A problem with relying on Tiebout's model is that it relies upon a fallacious assumption that local government actors are heterogeneous in nature, cogs in a machine, and/or paper pushers without differentiating ideas on how to best provide the services local government is tasked to deliver. While it is important to understand the effects of a consumption tax upon a national theory of local government behavior and prerogatives, doing so neglects public officials that don't always make decisions based upon rational thinking, but are prone to reactionary and bandwagon effects like any other organization. As a result, it is important to look at how such dramatic financial policy change at the federal level would affect the decision making of state and local government actors. The author believes the best understanding of municipal official decision-making is the Garbage Can Model proposed in *A Garbage Can Model of Organizational Choice* (Cohen, March, & Olsen, 1972). Under this model, decisions do not follow an orderly process from problem to solution, but instead are the outcomes of several independent streams of events within an organization. Organizations can be seen to produce many solutions that become discarded due to a lack of problems. Sometimes these solutions are used to solve future problems that have yet to be discovered, but other times they are forgotten for a variety of reasons. While Cohen, March, and Olsen present four streams that include problems, solutions, choice opportunities, and participants, the author believes that the implementation of a consumption tax will effect just the problems, solutions, and choice opportunity streams.

The problem stream is filled with issues that require attention of municipal officials and originate from inside or outside the organization. When an organization is presented with a problem, instead of generating decision processes for that problem, they look to the past (literally, the garbage) for ready answers in the solutions stream. A very simple instance of the solution policy stream providing a premade answer to the problem policy stream is a prototypical government form which asks for information from a constituent on a standard claim or request for service. A more complex example would be the installing a police chief as city manager because the position went vacant and the promotion had been suggested before the vacancy occurred. A consumption tax would affect the problems stream because it is likely that a consumption tax proposal would generate problems that actors within municipal governments have no previous solutions/garbage to dig through. Instead, these new problems will trigger original decision making processes for almost every issue related to consumption

tax reform in municipalities. This means that municipalities will be forced to develop an unprecedented amount of original solutions, the development of which will take a significant amount more time and be riddled with errant decision making.

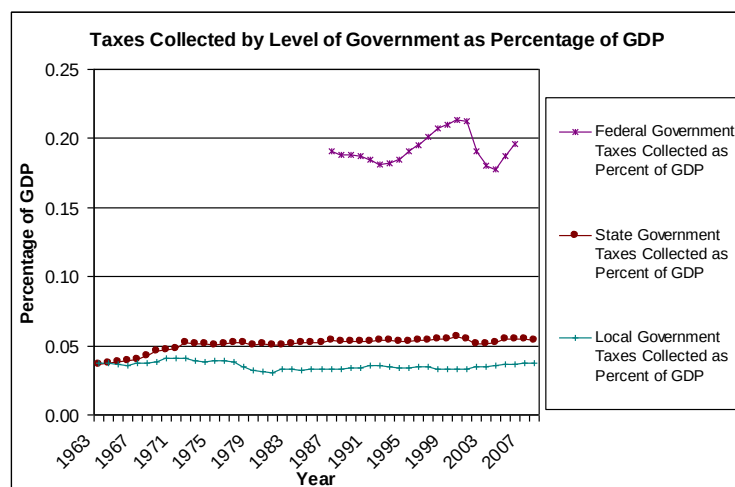
The consumption tax reform would also alter the choice opportunities policy stream available to municipal governments. Choice opportunity policy streams are occasions when a municipality or municipal actor feels they are expected to perform some action or behavior they construe as a decision. A simple example of this policy stream is providing flowers at the funeral of a resident, whereas a more complex one is contributing money to an interest group that lobbies at the federal level. The choice opportunities of an organization generally decrease under a consumption tax reform because the federal income tax forces municipalities to reconsider the value of such purchases or contributions as compared to the extra costs. Considering the above examples, some reforms increase the cost of such flower purchases, while others remove several linkages between municipal and federal governments and would reduce municipal interest in some federal government policies. Under the FairTax municipal governments would perceive more choice opportunities with the federal government because their expenditures are taxed, whereas under a Flat Tax municipalities would find themselves less involved with the federal government's policies. The direction of the choice opportunities policy stream does differ based upon the type of consumption tax reform though, so no general conclusion as to the change can be offered.

These new situations invalidate some older 'solution garbage cans,' creating new problems outside of the general sphere of municipal experience. This critical thinking nation-wide followed by an eventual collaboration and information sharing process within municipal governments would eventually lead to the recreation of our current understanding of a Garbage Can Model decision making process. At the onset of a consumption tax reform however, municipal decision making will not reflect the model Cohen, March, and Olsen originally put forth. The reality of a consumption tax reform is that the Garbage Can Model will fail to explain how decisions are currently made at the municipal level; at least until substantial interaction with the new tax system is completed, generating new 'garbage cans.'

While it is entirely possible that the above analysis may not hold true given consumption tax reform of the federal income tax, the author believes that Tiebout's Public Choice Model for citizens will be strengthened and Cohen, March, and Olsen's Garbage Can Model for local governments will be temporarily weakened by any of the three reforms. Through grants and the federal income tax, the federal government makes functioning state and local governments more practical, and removing one of these revenue aids would correctly be seen as changing state and local governance on a general and specific level. Understanding this, the root question becomes whether federal involvement with state and local governments makes sense.

A recently popularized concept known as the ‘flypaper effect’ explores how local governments fail to reduce their revenue generating efforts despite receiving outside infusions of cash. A likely explanation of this effect is that taxpayers of a municipality are unaware, or misperceive, how the improved financial condition of their municipality could help reduce their own out of pocket expenditures (Galle, Federal Grants, State Decisions, 2008). The result of this is that any federal subsidy does not reduce state and local government fiscal burdens anywhere near a one to one ratio that logic might suggest, but benefits the region receiving the subsidy at the expense of those that do not.

While federal tax collections might dwarf state and local ones, the above analysis shows that using this measure alone to understand who benefits is not accurate usage-based accounting since some federal expenditures do not benefit different states or locals equally. Current measurements show that state and local governments collect taxes at a level around 8% of the national Gross Domestic Product (GDP), compared to around 20% at the federal level, but a more accurate portrayal of where money is spent – and who benefits – may find different results that more accurately exhibit the power of federal political officials to drive national money to their constituencies, expressing the inequities of federal tax collections in comparison to their expenditures.



Sources: (U.S. Census Bureau, 1962-1993) (U.S. Census Bureau, 1994-2009)

While the above misrepresentation is not always a major concern when it comes to the current operation of federal, state, and local governments, it does matter when reformers target the federal income tax. Many tax reform proposals tend to focus on changes from the macro-economic perspective along with how reform will affect the operations to federal and state governments using data suited to analysis under the construct of a federal income tax, ignoring how the change would affect revenues and expenditures for local governments. Reformers generally use mathematical modeling to suggest the end result of such reforms, but various actors and scholars would argue the effects of these tax reforms are not that simple.

Due to the world's experiences under the ongoing financial crisis, this mathematical analysis needs a more nuanced understanding of the reasons – financial or behavioral – that various actors in the tax system make the decisions as well as compensating for the realization that, “THERE ARE IDIOTS” who make grossly incorrect ones (Krugman, 2009). While a more thorough understanding of irrational behavior regarding the tax system is still being developed (Congdon, Kling, & Mullainathan, 2009), one aspect of behavior is the consideration of how local governments will change their actions as a result of a consumption tax reform of the federal income tax. If this type of analysis is not conducted before such a radical tax reform, the result might leave local governments scrambling for answers where the stakes are high and advice is, at best, speculative. Unfortunately, the diversity of the local government sector also makes it difficult to understand what tax policies will affect whom, where, and why. As a result, this paper chooses to focus on municipal governments, which exist throughout the nation with relatively similar structures and responsibilities. This paper will interview Finance Directors and elected officials in municipal governments to discover how they believe their municipality's operations and choices would be affected by the Flat Tax, FairTax, and VAT. While some literature exists to suppose how these federal tax reform proposals would affect local governments (Congressional Budget Office, 1997) (Congressional Budget Office, 1997) (Joint Committee on Taxation, 1996) (Strauss, 1999), there have been no studies conducted to discover how the reforms would affect actual municipal decision-makers who steer their municipalities.

This void seems strange since the 2006 Bureau of Labor Statistics estimates that roughly 5,594,000 persons are employed by local government agencies.¹¹ While it is safe to assume that municipal government employees make up a sizeable portion of this, it is not accurate as park districts, library districts, and others also comprise a ‘local government.’ Considering that the same report suggests that only 2,424,000 persons are employed by state government and 1,774,000 by the federal government,¹² one could be forgiven for wondering why experts have somewhat ignored these actors. To be fair though, to the knowledge of the author, there are no commissioned reports by local government which consider how their actions affect the federal treasury.

Regardless of the intergovernmental comparisons, if fundamental reform of the federal income tax were to occur without significant considerations to local governments, the result could be particularly devastating to America on the whole. In the case that costs to provide police protection were inflated to a level where the public good was no longer affordable, violence and traffic accidents might increase across the country, causing further negative ripple effects. The same holds true for infrastructure as streets and rail-lines which go uncared for progressively deteriorate, leading to increased

11 Number does not include Hospital or Education workers.

12 Number does not include Postal Service.

transportation costs. Most notably for the officials interviewed in this paper, consumption tax reform would substantially alter the political world they operate in, and might cast off years of experiences by professionals and research from theorists in the field of public administration. In the end, when 72,955 qualified local governments are forced to make competitive decisions regarding their revenues and expenditures as a result of consumption tax reform, it might be a good idea to ask them how they would go about doing so directly, instead of just having ‘L’ stand for them in some model.

Methods and Limitations

The subject municipalities were taken on an availability basis, which affects the results of this study. These findings are biased towards Council-Manager forms of government, operating in Illinois, predominantly in Lake County. Conclusions made in this paper reflect information garnered from these interviews and surveys, but do not necessarily reflect any of the participants ‘fully-informed’ opinions, but rather their opinions as informed by the interviewer in three separate tax reform briefs.¹³

Participants were contacted with an email¹⁴ which was followed up with a call asking for the participation in the study. In a few cases, both Mayor and Finance Director from the same municipality were interviewed. After accepting participation in the study, participants were asked to fill out a short pre-interview survey. The researcher then sent the participants three, two-page tax reform summaries¹⁵ from which the interviewees agreed to read. After the interview a post-interview survey was administered. Interviews were conducted between the dates of Thursday, April 16, 2009 to Tuesday, July 21, 2009. Interviews were conducted using an audio recording device under the full knowledge and consent of participants¹⁶ along with notes taken by the interviewer.

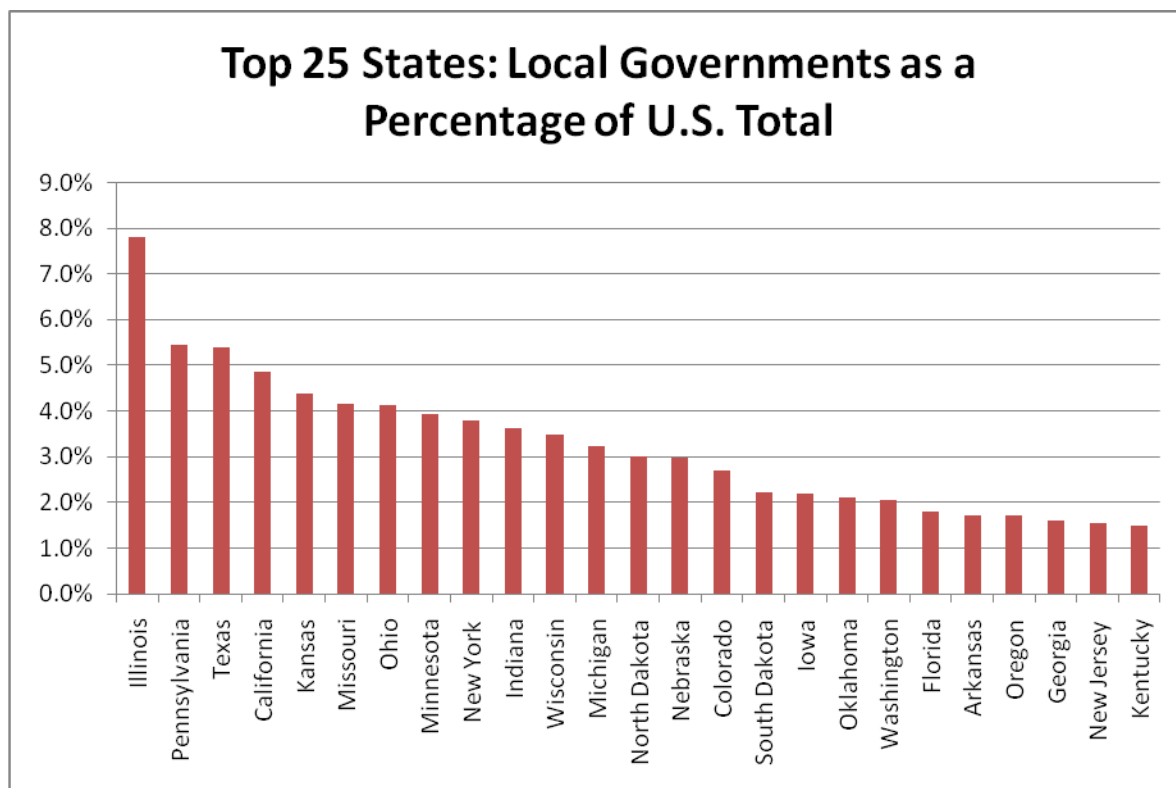
Any conclusions made from this study may not hold across the broad spectrum of local government, or necessarily even that of the municipal sector. As the state of primary study, Illinois does not represent the nation as a whole. The state is, however, an interesting study because it holds the largest amount of local governments of any state in the United States and may actually benefit the most from such a reform as the state maintains the most local governments of any other state in America as shown below.

¹³ Appendixes B, C, & D.

¹⁴ See Appendix E

¹⁵ Appendixes B, C, & D.

¹⁶ With the exception of Mark Nannini.



Source: U.S. Census Bureau, 2007 Census of Governments

Hypotheses

The following eight hypotheses are examined for the purpose of determining municipal official's opinions on the various tax reform proposals as well as minor aspects of the federal income tax that they may or may not find relevant to the operation of their municipalities. The format of each hypothesis is an introduction to the issue, followed by findings from the interviews, and resulting conclusions and discussion. Conclusions will be discussed *as if* they were representational of municipal government as a whole in the attempt to show what insight more representational research would produce.

H1: Municipal Officials will prefer the Flat Tax, then the Value Added Tax, and lastly, the FairTax.

Following is an introduction of all three consumption tax proposals. The purpose is to introduce the reader to some issues faced by municipal governments resulting from the various tax proposals' implementation. The author believes that municipal officials, posed with a choice between the three reforms, will prefer the Flat Tax due to its similarity to the federal income tax and lack of interference into municipal operations by comparison. From here the Value Added Tax will likely be

preferred less because it interferes with the sales tax that is generally seen as a state and local government, not federal, tax. The FairTax, which also interferes with the sales tax, will least enamor officials because it taxes state and local government expenditures.

The Flat Tax

The Hall and Rabushka Flat Tax proposal's main objective is to simplify the tax code, while maintaining the current structure and format of the federal income tax. It proposes to do this through the elimination of many deductions and 'loopholes,' for the purpose of making the tax code more understandable to the average citizen. Simplicity is a high selling point for the Flat Tax, and Hall and Rabushka argue that the economy will benefit as a result of saved time for most taxpayers. The main changes for citizens is that income reporting and calculating personal or business income to the IRS will be conducted on a 5" x 7" post card along with the removal of most deductions. Hall and Rabushka argue that the simplified and lowered to 19%,¹⁷ above the sizable exemption of \$25,500 for a family of four, tax rate will lead to gains in revenue for the IRS as enforcement ability, individual work incentives, and compliance levels increase (Lindsey, 1990, 28-40). The downside of this strategy is that *any* sort of incentives previously used by the federal income tax will be removed. Critics of their arguments point to the attractiveness of using the tax system for social policy and that doing so removes barriers of normal government programs such as application costs, waiting times, and social interactions which have been shown to discourage program participation despite the costs of the programs being lower than their benefits (Bertrand, Mullainathan, & Shafir, 2006). Hall and Rabushka argue that it is more important to remove deductions from the federal income tax to check the political landscape of tax policy (Hall & Rabushka, 2007, 157-167) as the administrative costs for the government and private actors to comply with federal income taxes are inefficient to the extent the 'tax policy is social policy' mentality has been taken in the current system (Hall & Rabushka, 2007, 8-28).

Another change is that the Flat Tax will not offer refunds to businesses. Instead, any money owed is carried over to the next fiscal year at a rate of 6%. The amount of money that could be carried over would depend upon the makeup, age, and development of the business in question (Hall & Rabushka, 2007, 98-108). Since these deductions would be carried over yearly at a rate of 6% interest, future taxes owed would reduce the amount of tax a business owes in future years. Hall and

¹⁷ Although in an interview with the 'econtalk podcast' in 2007 Rabushka suggested the rate may be accomplished at 17% (Library of Economics and Liberty, 2007)

Rabushka demonstrate that this, in effect, functions to encourage innovation and investment using General Motors and Intel's theoretical tax returns for 1998 (Hall & Rabushka, 2007, 99-100).

The Effects of the Flat Tax on Municipal Governments

For the purposes of this paper, focusing predominantly on municipal implications of federal income tax reform, the Flat Tax was understood in the interviews interchangeably as the basic consumption tax. This is because the Hall and Rabushka proposal for a Flat Tax would affect changes to municipalities similar to the other tax proposals; however no changes are simultaneously distinguishable from the other two. In this way, the Flat Tax can be viewed as the least municipally interfering of the three tax reforms. Further, it is believed that the eradication of the federal income tax by a consumption tax would eliminate any state and local government income taxes as they utilize the IRS definition of income.¹⁸

Hall and Rabushka explain that under the Flat Tax, local government bonds would remain untaxed, but all other bonds would be as well leaving corporate borrowing on a level playing field with government bonds (Hall & Rabushka, 2007, 167). The preferable interest rates on municipal bonds would be removed, resulting in no differentiation between investments in regards to taxation. While the reasoning for tax-exempt status of municipal bonds is to allow municipalities a leg up in bonding by granting them cheaper costs to build and maintain infrastructure, its critics point out that this advantage also leads to the production of buildings for private use such as baseball stadiums or shopping centers. Issues revolving around the 'leveled playing field' for municipal bonds to other investments is further explored in a later hypothesis.

Another aspect of this reform is that the removal of tax preference for municipal bonds would lead to a "rush-to-market" by municipalities eager to take advantage of their tax-exempt status before it becomes a 'level' playing field. In all proposals a major issue is the transition between the federal income tax and the reform as the economic situation may affect how municipal governments behave. For example, most consumption taxes attempt to encourage individuals to save, however in a time where the increased savings rate of Americans threatens to further the economic recession (Healy, 2009) the move to a consumption tax may be a poor choice.

Another transitional issue is how the removal of the state and local tax deduction will affect taxpayer's residential preference. There has been much discussion, especially during the Tax Reform Act of 1986, about removing this deduction;

¹⁸ Meaning that, some states and municipalities would have to define income themselves (high administrative costs) or use a definition that becomes progressively more outdated over time (high political costs). While some states and municipalities already do this, most do not.

and consumption taxes would eliminate the possibility of deducting state and local government property and income taxes from the calculation of an individual's federal annual gross income. Critics argue that doing so will increase the financial burden on taxpayers, forcing them consider moving away from high tax locales.

An additional pressure on home-owners is the home mortgage interest deduction's (HMID) removal. This federal action would decrease money available to the housing sector as it is routinely used in the calculation to determine whether prospective home owner's can afford a property. While economists feel this action would be appropriate – as the HMID functions to prop-up the housing market – the result would be, “that home values, home construction, and home mortgage lending would probably decline precipitously, particularly for larger houses. The rapid declines would create new hardships, in addition to those already plaguing the housing market, for people who own those homes, for builders, and for lenders (Congressional Budget Office, 2009, 188).” The effect on local governments would be dependent upon their constituency's make-up as defaulted loans and decreased investment deteriorates property tax bases: likely the most important tax-base for local governments.¹⁹

The last deduction, whose removal would affect local governments, is the charitable contribution deduction. Most scholars and researchers on the subject concede that while the removal of this deduction would result in a decrease of charitable contributions experienced in the United States, the actual amount is uncertain. Proponents of removing the deduction generally argue that, “allowing taxpayers to deduct contributions is economically inefficient because it results in a large subsidy (a loss in federal revenue) for a very small increase in charitable giving (Congressional Budget Office, 2009, 193).” This gain in economic efficiency for the federal government comes at a potential cost to local governments as some charitable organizations provide essential services that are generally perceived as being outside the role of local governments to provide. Typically these services include food pantries, legal services, and medical care. But also these ‘charities’ include some lobbyist groups, think tanks, education facilities, public art organizations, and labour unions. Given the current debate on the decrease of the deduction (Furchtgott-Roth, 2009), it would be understandable that suggesting the full-on removal of the deduction would bring about a heightened level of debate.

¹⁹ The property tax makes up 37.6% of own-source revenues for local governments as measured across all states. Sales taxes (5.7%) and Income taxes (2.3%) are not nearly as important (Congressional Budget Office, 2008, 13).

The FairTax

The FairTax is a specific proposal for tax reform that replaces the federal income tax with a national retail sales tax. Those familiar with other past reforms may note that the FairTax as a re-envisioned National Retail Sales Tax reform; the major differences being the addition of some anti-government spending and anti-federalist elements. This proposal suggests that the revenue generated from such a reform would eliminate the need for currently levied payroll taxes while still ensuring the benefits of social security, Medicare, etc. that those taxes fund. To do this, a 30% exclusive tax²⁰ on services and new production will replace the current federal income tax.²¹ The elimination of the Internal Revenue Service (IRS) will be necessitated by the current inability of the Treasury Department to collect a sales tax. Proponents believe that the FairTax would instead be collected by the states and that an administrative credit of one quarter of one percent of what state's collect would be remitted to them by the federal government as payment for their services.

The reform addresses an overtly regressive tax structure²² offering an progressive redistribution technique it terms as 'prebates' through the Social Security Administration on a monthly basis to every U.S. Citizen to offset the increase of prices on essential goods.²³ The result, albeit debated (Regnier, 2005), is a progressive system. Proponents argue that benefits include increased expenditures resulting from higher take-home pay along with the removal of embedded costs – that are passed on to consumers – of the federal income tax. Here, those against the reform worry about the effect this type of reform would have on illegal immigrants and the homeless as the annual process of filing tax returns would be replaced with an annual registration to the federal government to determine citizenship status and delivery location of the prebates.²⁴

Arguably, the FairTax is one aspect of a resurgent anti-federalist movement. This movement is well summarized in Paul Starobin's article titled *Divided We Stand: Imagine Breaking Up the United States* where he discusses the size of the federal government, and how anti-federalist views are becoming increasingly popular in the wake of the perceived 'bloating' of the federal government, its deficit, and the necessary revenue generation options the current and future administrations

²⁰ To proponents of the FairTax, using this number will generate frustration as the official proposal states the tax at 23%. This is an inclusive tax rate that is used for macro-economic analysis to compare the FairTax to the income tax. Since this paper will avoid macro-economic analysis, and instead focus on micro-economic analysis, the 23% tax-inclusive rate would only serve to confuse readers. The 30% tax-exclusive rate reflects the amount of tax paid per dollar spent and is equivalent to the 23% inclusive tax rate proposed by the FairTax Bill (H.R. 25/S.25).

²¹ This rate is economically uncertain due to avoidance and evasion issues. While proponents stick to numbers created, and are reaffirmed in the FairTax Bill's various inceptions, most papers on the topic perform their own economic analyses – with different assumptions than the proponents – and purport their findings as the actual rate. These rates can be as high as 49% (Presidential Advisory Panel on Federal Tax Reform, 2005) in tax exclusive terms. This paper does not wish to enter this debate.

²² As a sales tax is, "the ultimate in regression (Froomkin, 1998)."

²³ This amount is \$199 per adult and \$69 per child, per month as the individuals are registered to a family under the Federal Government. This amount is in addition to the increase in take-home pay as mentioned in the Consumption Tax/Flat Tax paper.

²⁴ Indeed, congressional consideration of the FairTax would be incomplete without considering the effects it would have on illegal immigrants and the homeless. While these are certainly local government problems as well, their effects are not explored in this paper.

have taken and will be forced to take. Starobin quickly points to a recent touchstone of this movement, the Tea Party Protests, which have been used by proponents to contest the various actions of ‘big government.’ The FairTax proposal is a large beneficiary of this movement (Bell, 2009) (Whitlock, 2009) and has received increased attention since its introduction to the U.S. Senate and House of Representatives (S.25/H.R. 25) and promoted by various books authored by Neil Boortz and Congressman John Linder titled *The FairTax* (2005) and *The Fair Tax: The Truth Answering the Critics* (2008) and as the tax policy platform for Mike Huckabee (Brooks, 2007) and Mike Gravel (Senator Mike Gravel 2008 Presidential Campaign Website, 2008) during their 2008 Republican Presidential Primary Campaigns. While Huckabee may have been the only major republican candidate to include the FairTax in his platform, five other republicans – including eventual nominee John McCain – stated they would sign a FairTax bill into law if it passed the House and Senate (Davis, 2007). Further, this increasing political and grassroots support suggests that the FairTax is relevant in the field of tax reform and thus warrants the gauging of municipality’s reaction.

Like every other tax reform, this proposal has its detractors. The most current figure in federal tax policy today, Barack Obama, has declared he did not support a FairTax (Obama, 2008), stating that he preferred a more progressive system through the currently implemented federal income tax. The disagreements are not just bi-partisan however as Hank Adler & Hugh Hewitt recently published *The FairTax Fantasy: An Honest Look at a Very, Very Bad Idea* arguing that the FairTax amounts to a waste of time and effort on the part of those seeking federal tax reforms along with listing their disagreements with Boortz and Linder on how the reform will change American tax policy.

The Effects of the FairTax on Municipal Governments

The impact of a federal sales tax on municipal governments would largely depend upon their current revenue structure in accordance with the state they operate in. Relevant to the municipalities studied in this paper, the State of Illinois levies sales taxes differently on certain items as show below:

- Qualifying food, drugs, and medical appliances; 1%.
- Items required to be titled or registered; 6.25%.
- Other general merchandise; 6.25%.
- Motor fuel “prepaid sales tax” on Gasohol; \$0.05 per gallon.
- Motor fuel “prepaid sales tax” on all other motor fuels; \$0.06 per gallon. (Illinois Department of Revenue, 2009)

Not every state has a similar levying system for sales taxes, and the FairTax would require either uniformity of tax collection between all fifty states, meaning all states would have to meet a federal standard for taxation of goods or maintain two separate tax collection systems. This change would affect state responsibilities for calculating municipal sales tax rates in states which offer home rule²⁵ to their municipalities since some local governments levy a sales tax on top of the state and/or county mandated sales tax rates. While the FairTax would interfere with state and local government's sales tax bases; proponents of the FairTax argue that the tax would not necessarily impose an undue burden on state and local governments (Bachman, Haughton, Kotlikoff, Sanchez-Penalver, & Tuerck, 2006). This subject is open to debate and arguably raises constitutionality questions that may determine the functional implementation of the FairTax (Buckley, 2008).

Proponents argue that an advantage of FairTax legislation is that it allows government to tax internet and mail order sales to consumers – rather than suppliers, this action being deemed unconstitutional in *Quill Corporation v. North Dakota* (504 U.S. 298) – within their states. Donald Bruce and his co-authors estimate that in the year 2009, states will lose \$6.951 billion, Illinois \$309.3 million, and Chicago \$139 million dollars in revenue due to the increasing popularity of internet sales, where taxation on purchases has become increasingly evadable, without much state and local governments can do to enforce consumers legal obligations. They predict that these trends will only continue to worsen as time progresses unless something is done to correct it (Bruce, Fox, Stokely, & Luna, 2009).

While advocates conclude that “At any rate, it is wrong to suggest that the FairTax is a kind of negative-sum game in which at least one constituency — in this case state and local government — has to lose (Bachman, Haughton, Kotlikoff, Sanchez-Penalver, & Tuerck, 2006, 676),” the significant effect of the FairTax is to decentralize financial responsibility for federal government services onto state and local governments. While this does not necessarily reflect poor public policy, to suggest that there are no losers as a result of the reform seems to indicate a severe lack of knowledge about the interactions between the current federal income tax and state and local governments.

Government operations, with the exception of ‘government enterprises,’²⁶ will not be exempt from the FairTax. Advocates argue that “governments shouldn’t use the taxes paid by taxpayers to compete against the very taxpayer who support them (Boortz & Linder, 2008, 139).” This rational was supported by the President’s Advisory Panel in consideration

²⁵ Home Rule enables municipalities to adopt and amend a home rule charter that acts as the municipality’s basic governing document. One aspect of Home Rule is that it enables a community to establish tax rates independent from the state and county to which they belong to. However, where these policies interfere with State and County goals, the Home Rule rate is subservient, and is removed if conflict arises.

²⁶ Defined as “entities that receive payments from private persons for goods and services. They must maintain books of accounts separate from the non-enterprise governmental accounts. For example, the expenses and receipts of a county landfill enterprise must be kept separate from the expenses and receipts of the general county government. Examples are the U.S. Post Office, Amtrak, local government waste management operations, etc. (Americans for Fair Taxation, 2007).”

of the VAT, when they said, “this treatment is to prevent federal, state, or local government from having an advantage over the private sector in areas where the two might compete to supply similar product (Presidential Advisory Panel on Federal Tax Reform, 2005, 198).” Citing this quote, Boortz and Linder exclude that the same Panel, “[D]ecided to reject a complete replacement of the federal income tax system with a retail sales tax for a number of reasons (Presidential Advisory Panel on Federal Tax Reform, 2005, 207).” Aside from this, the advocates do believe that there is an argument for separate-and-distinct government entities – usually operated under what are called enterprise funds – to allow the provision of private services, provided those services charge a fee (Americans for Fair Taxation, 2007). Examples of these ‘government enterprises’ are local government waste management or utility provision services. These services would be exempt from taxation – the tax being passed on to the consumer – but goods without any direct recipient such as police and fire protection along with their administration would not. Municipal government would face increased costs and burdens overall as services, such as police and fire protection are taxed under the FairTax. Because there is no direct recipient of these services, the municipality providing them would pay a tax on employees, products, and administration of these services similar to how consumers pay a tax on the purchase of private goods.

Another concern for local governments would be how the FairTax implementation on transaction costs incurred through intergovernmental service-level purchases. Since Illinois government is particularly fractured into many special districts and governments, the state’s local government may suffer considerably more than states with less local governments as they would be contributing to federal coffers by a larger percentage than would states that could transfer money or services internally, tax free. As such, this reform may also discourage special districts, and encourage local government service provisions that are administered at the regional level.

A change to the municipal status quo that would instantly bring the attention of scholars and practitioners would be the federal taxation of government expenditures. The change in policy, as advocated by FairTax proponents and some VAT supporters, has significant ramifications for municipal financial planning and operations. Local governments, currently tax-exempt, make cost-benefit decisions based upon their privileged status. Such decisions have lead to a few private-sector industries based primarily around the existence of government contracting. The author believes that the taxation of government expenditures will lead to a sharp decrease in the availability of government contracting opportunities to the private sector, as work done externally becomes taxable by the hours worked, whereas clever avoidance schemes by local governments might save money instead. The ‘hollow state’ is a metaphor for the increasing use of third parties – nonprofits and private sector – to deliver social and professional services that traditionally have been delivered by governments and is

discussed in *Governing the Hollow State* (Milward & Provan, 2000). A classic example of the hollow state in action is garbage collection that had previously been provided by public works departments across the country. As privatization – the process that creates the hollow state – became more popular, more and more local governments began to contract out their garbage collection services to private sector providers who could conduct these services without regard to municipal boundaries, thereby creating economies of scale not available to most municipalities. The author does not suggest that the taxation of government would fully rid the private sector of federal, state, and local government contracting opportunities, but rather that some opportunities would be moved in-house. For instance, because the cost of reintegrating garbage provision services would probably be more expensive than gains made, garbage provision would likely remain an externalized service. Interestingly too, as a result of government taxation, local governments might begin to practice tax avoidance and even evasion techniques through accounting that hide the true responsibilities of government workers in externally taxed ‘government enterprises’ so as to prevent the reintegration of services which would be cheaper but more burdensome to be provided internally. Generally, the reintegration of services would only affect services that have very little capital outsourced that can feasibly be planned and executed internally such as fireworks displays and strategic planning to name a few. The overarching argument is that the hollow state would no longer be as significant a construct in which to view local, state and federal government services.

The Value Added Tax

It is important to recognize that, of the three consumption taxes considered in this paper, the Value Added Tax (VAT) is the most difficult to correctly presume. Since there is no Americanized analysis or proposal available for the VAT,²⁷ the book *The Modern VAT* by a collective of International Monetary Fund authors was used to construct what might be a feasible implementation of the VAT. This is not to say that there is no movement for the implementation of a federal VAT, however most of this work has been conducted as an *addition* to the current federal income tax, and not as a complete replacement. Some conclusions for *Structuring a US Federal VAT* by Reuven S. Avi-Yonah were also used to supplement a supposition of a federal VAT that replaces the federal income tax. Avi-Yonah’s paper is primarily focused on the

²⁷ Although by the publishing of this paper, this may have changed. Leonard E. Burman’s *A Blueprint for Tax Reform and Health Reform* 28 Va Tax Rev. 287 (2009) and Reuven S. Avi-Yonah’s *Structuring a US Federal VAT* seem to suggest a book similar to the FairTax and the Flat Tax proposals would probably draw some interest.

implementation of a VAT on top of the federal income tax, but his findings do serve gauge to popular American academic scholarship on a VAT's implementation.

The dominantly preferred Value Added Tax (VAT) proposal is referred to as the invoice-credit method (Avi-Yonah, 2009).²⁸ Under this method, “each trader charges output tax at the specified rate on each sale and passes to the purchaser an invoice showing the amount thus charged. The purchaser, if subject to VAT on his own sales, may credit such payment of input tax on his own purchases against the output tax charged on his sales, remitting the balance to the authorities and receiving a refund when there are excess credits (Ebril, Keen, Bodin, & Summers, 2001, 20).” Below is a simplified example of a transaction under a 10%²⁹ invoice-credit VAT:

- Seller has raw materials of \$1 market value for sale.
- The manufacturer pays \$1.10 ($\$1 + \$1 \times 10\%$) for the raw materials, and the seller of the raw materials pays the federal government \$0.10.
- The manufacturer charges the retailer \$1.32 ($\$1.20 + \$1.20 \times 10\%$) and pays the federal government \$0.02 ($\$0.12 \text{ minus } \0.10 via credit confirmation with federal government), leaving a profit of \$0.20.
- The retailer charges the consumer \$1.65 ($\$1.50 + \$1.50 \times 10\%$) and pays the federal government \$0.03 ($\$0.15 \text{ minus } \0.12), leaving a profit of \$0.30 ($1.65 - 1.32 - 0.03$).

Total Revenue = \$.37 (.10 + .12 + .15) Total Expense = \$.22 (.10 + .12) Balance = \$.15

Under this system, taxation is placed on the value added to a product by each individual actor. It is this credit feature that sets the VAT apart from other reforms as it prevents a ‘cascading tax’ upon products that have already been taxed. A cascade tax imposes a burden that cascades from manufacturer to wholesaler to retailer as the product passes between them. The following is the above example, but with a 10% sales tax, that cascades throughout the sales process:

- Seller has raw materials of \$1 market value for sale.
- The manufacturer pays \$1.10 ($\$1 + \$1 \times 10\%$) for the raw materials, and the seller of the raw materials pays the federal government \$0.10.
- The manufacturer charges the retailer \$1.43 ($\$1.30 + \$1.30 \times 10\%$) and pays the federal government \$0.13, leaving a profit of \$0.20.
- The retailer charges the consumer \$1.90 ($\$1.73 + \$1.73 \times 10\%$) and pays the federal government \$0.17, leaving a profit of \$0.30.

Total Revenue = \$.40 (.10 + .13 + .17) Total Expense = \$0 Balance = \$.40

As can be seen, under a sales tax that suffers from cascading, those further down the chain pay tax on production that has already been taxed. While this serves to aid government coffers, it overvalues goods and makes them less competitive against products that don't suffer from cascading. Generally, cascade taxes are avoided under the federal income tax through the deduction of such business related inputs. Not all businesses take advantage of this deduction, but some take advantage of this deduction above and beyond its intended purpose. By deducting wasted products that were never used as business

²⁸ Japan is the only major industrialized nation not using the invoice credit method, but rather a method known a subtraction.

²⁹ For example only, the actual amount of the VAT would require further analysis which has not been conducted.

inputs, but instead met their final consumption point within the business deducting it, the federal income tax can unintentionally encourage business consumption. Below is the same example, under the retail sales tax system, where a federal deduction is utilized to hide consumption of a good usually sold to the consumer.

- Seller has raw materials of \$1 market value for sale.
- The manufacturer pays \$1.10 (\$1 + \$1x10%) for the raw materials, and the seller of the raw materials pays the federal government \$0.10. The manufacturer deducts .10 from its federal income tax burden, because the product is a 'business input.'
- The manufacturer charges the retailer \$1.32 (\$1.20 + \$1.20x10%) and pays the federal government \$0.12, leaving a profit of \$0.20. As due to the manufacturer deduction, a total payment to the federal government of \$.02 tax is incurred by the manufacturer, the correct amount of tax as it should pay for the value the manufacturer added to the product. As a result of the sale, the retailer deducts .12 from its federal income tax burden, because the product is a 'business input.'
- The retailer consumes the product. Since in most cases the product is sold, IRS officials have difficulty in identifying the fraud. As a result, the retailer consumes a product that normally would cost 1.32 for a normal consumer, for 1.20 at the expense of the federal government.

$$\text{Total Revenue} = \$.22 (.10 + .12) \text{ Total Expense} = \$.22 (.10 + .12) \text{ Balance} = \$ 0$$

Since, under a sales tax system, the final consumer pays the tax burden of the product, the federal government misses out on all revenue where and when a business consumes a product, but is able to label the consumption as a business input. It is this problem the VAT solves by tracking goods and collecting tax upon them at each stage of production. By requiring firms to show proof via invoice that its suppliers have paid the VAT and the claimants have sold the good, the government collecting the tax avoids fraud and generates revenue appropriate to the amount of business conducted within its boundaries. Due to increased ease of enforcement, it's reasonably believed that revenues increase as a result of VAT implementation. As such, the VAT avails itself to inducing revenue growth which some have argued means that the VAT is a 'Money Machine' that empowers governments to increase expenditures, not decrease its revenues.³⁰ A 1988 OECD report showed that countries with a VAT included in their tax system did indeed have larger expenditures than those without a VAT (Tait, 1988).

Introduction on Effects of the VAT on Municipal Governments

The most predominant issue that faces state and local governments with the Value Added Tax (VAT) is increased linkages to the federal government. The VAT used in this paper would disallow sales taxes be imposed by state and local governments because the addition of a VAT would influence the amount of revenue generated by a sales tax, making revenue prediction difficult in the face of dual rate changes. Pierre-Pascal Gendron and Richard Bird, in Avi-Yonah's

³⁰ An example of the Flypaper Effect at the federal level.

analysis, do not feel this is to large of an issue, arguing that “if the US federal government wants to adopt a VAT for its own reasons, from an economic or administrative perspective, it can certainly do so regardless of what the states do or do not do with respect to their sales taxes (Avi-Yonah, 2009, 8).” For the purposes of this paper however, the implementation would eliminate state and local sales taxes as the federal government would believe it would result in distorting shopping behavior³¹ as the below example demonstrates:

- Region A charges 7% sales tax.
- Region B charges 3% sales tax.
- A \$10,000 purchase costs 10,700 to a consumer in Region A and \$10,300 to a consumer in Region B.
- The U.S. Government implements a 10% VAT. The same \$10,000 purchase now costs 11,770 in Region A and 11,330 in Region B. The result is that the VAT distorts consumption preferences further than current taxation would.

The problem resulting from the implementation of a federal VAT, without the removal of the state and local government ability to levy a sales tax, is that it disproportionately hurts states and municipalities which levy higher sales taxes than its competitors. An extreme example includes Chicago, Illinois, with a 10.25% sales tax, competing with other regional economic hubs of Gurnee and Naperville, Illinois, and Pleasant Prairie, Wisconsin (7%, 6.75%, and 5.5% sales tax respectively). This type of tax implementation may force state and local governments to reevaluate their tax bases and adjust for the newly implemented VAT.

Similar to the FairTax, government expenditures could be taxed by a VAT, requiring governments to pay tax on products and services produced that are not taxed under the Federal Income Tax. In international practice however, the public sector has generally been ‘zero-rated’ (Ebril, Keen, Bodin, & Summers, 2001, 91-93). The problem with this practice is that zero-rating the VAT for one sector or service, for political or economic reasons, may lead to the zero-rating many different sectors, services, or goods. Indeed, *The Modern VAT* lists Education, Health, Financial Services, Real Estate and Construction as other areas where the VAT is usually zero-rated. Pierre-Pascal Gendron has argued that “goods and services supplied by public sector bodies, non-profit organizations and charitable organizations should be within the scope of the VAT and treated like any supply from the private sector (Avi-Yonah, 2009, 13).” Herein lays the vague reality of the VAT as some believe it should be implemented on state and local governments (as FairTax advocates would) and some believe that governments should be zero-rated. This paper supposes that the VAT would not be implemented upon state and local governments. This will be used to examine how municipal officials would feel about a federal tax upon their expenditures.

³¹ Indeed, research has shown that in addition to the increased taxes, shoppers are more responsive to sales taxes when those taxes are posted on the shelf, rather than computed at the register (Chetty, Looney, & Kroft, 2007). A VAT, in practice, is added to products before they are purchased.

Findings

“If I had to pick, the Flat Tax seems the most palatable from a local government perspective.” – Finance Director Tina Smigielski

The hypothesis turned out to be correct as most municipal officials preferred the Flat Tax, followed by the VAT, then the FairTax. Because this choice was conducted after the interviews were completed, quotes about tax reforms are taken from discussing the reforms either directly or indirectly. Further, given the nature of the interview, it is entirely possible that given different information, these officials could change their mind to support a different federal income tax reform. Below are the official's choices based upon their personal and professional considerations:

Interview Subject	Choice: Professional Considerations	Choice: Personal Considerations
Tina Smigielski	Flat Tax	Flat Tax
Mark Nannini	Flat Tax	Flat Tax
Susan Griffin	Value Added Tax	FairTax
Michael Peterson	Flat Tax	Flat Tax
Kristina Kovarik	Flat Tax	Flat Tax
Michael Belsky	Flat Tax	Flat Tax
George Van Dusen	Flat Tax	Flat Tax
Christine Letchinger	Value Added Tax	Value Added Tax

It should be noted that for the most part, municipal officials did not support the movement to a consumption tax leading the author to conclude that their preferences are forced, and thereby not correctly labeled a first choice, which was more aptly surmised at keeping the current federal income tax. By this measure, the Flat Tax is the predominantly picked because it resembles the federal income tax most closely and is the least complicating to current municipal practice.

The VAT raised concerns from municipal officials as it generates new work and consequences for the private sector. Mayor Kristina Kovarik felt the VAT, “just looked like it is going to have to add a lot of process” which she did not find appealing or necessary. Finance Director Tina Smigielski worried that, “People would just cheat like crazy. I think there would be collusion upside down and inside out with the VAT.” While she admitted that the system was designed to circumvent problems like this, she was not convinced that it would necessarily be that simple. Mayor Christine Letchinger pointed out some of the benefits of implementing a VAT by comparing it to the retail sales tax³² arguing that, “The interesting thing about retail tax is only on retail and the VAT in Europe is on added value, it's also on services. So, the problem with [a retail sales tax] is that you know I'm [older], I don't buy a lot of stuff, I don't buy furniture, don't buy a lot of clothes, occasionally buy a car. I eat; so I buy food and meds, as compared to you [the interviewer.] When you get out of

³² This should not be confused with the FairTax, as that reform also taxes services.

school, you gotta buy a house, furnish the house, have kids buy clothes for the kids and that's going to bleed you to death. So if you want to do retail it means that rich people that are well established are going to pay less because most of our consumption is more of a service nature."

The FairTax got a significant amount of comments. This was due to the issues municipal officials had with the idea of the federal government generating revenue via a sales tax incursion along with the taxation of government expenditures. Mayor Michael Belsky thought the concept of taxing government expenditures was, "absurd. When you tax the government, you tax the people, because someone has to pay the cost of government. Someone is going to have to pay it." Mayor George Van Dusen criticized the tax with a local examination; "If the cost of our police station goes from 30 to 39 million we're going to recover the 39 million, it just becomes a question of how we'll recover. The taxpayers of Skokie will end up paying an extra 9 million in taxes." The implications for public safety was extended further, as Mayor Kristina Kovarik mentioned, "You don't write enough tickets as it is to cover the costs of your public safety employees. It's a service that the community collectively agrees that we need, and to be taxed on it, you're going to have communities cutting back on their public safety officers. This will only create other problems." Operations would not just be hindered for public safety as Finance Director Tina Smigielski argues that the tax-exempt enterprise funds would require her to, "beef up staff... You're taking a municipality that is used to providing services that are not directly paid for by the user, and turning us into collection agents. And when you talk about these smaller districts and townships; they can barely function their finance departments now. I think that shift would be problematic." Helpfully, one interview participant worked on the idea of a 30% tax upon relevant services, resulting in the conclusion that the FairTax would result in an increase of roughly \$4.5 million dollars in increased expenditure amount to a municipality operating upon a pre-reform total \$26.3 million dollar budget. This amount is not the total of new taxes needed to cover the \$7 million dollar total of enterprise funds the municipality operates which would add a \$2.1 million dollar user-generated tax burden to the municipality resulting in a total increase of \$6.6 million dollars.

It should be noted that officials were not necessarily against the ideal of implementing such radical tax reform, but instead were against the practical reform because they did not find it feasible. Finance Director Mike Peterson noted that, "The special interest groups, when you look at how many are employed, probably will make [the passing of a pure consumption tax] impossible... I would support the implementation if it could remain simple, but that isn't likely." Another reason that municipal officials were against such radical tax reform, is that some benefits that were being claimed, particularly the taxation of internet sales could be incorporated into the current tax system. Finance Director Tina Smigielski pointed out, "There are some movements currently with the streamlined sales tax that are being coordinated through states,

as opposed to being federally imposed, where it would make uniform sales taxes from state to state to state. So there are efforts right now at the state level to streamline sales tax, capture internet sales, and make that more uniform... It leaves states the autonomy that they should have.”

Conclusions

While the hypothesis turns out to be correct, the real conclusion for radical tax reform proponents is that municipal officials are opposed to a consumption tax reform of the federal income tax. The Flat Tax is the most palatable, followed in order by the VAT and FairTax, but all would be opposed by municipal officials. Despite these findings, some consumption tax reforms might be able to attain a substantial base of support in municipal officials, but only if the reforms could stay true to how their proponents describe them. Where the reforms lose that support from municipal officials, and arguably the general populace, is when reform proposals stop being a ‘true’ consumption tax due to compromises that typify legislation at the federal, state, and local level. Realizing this, municipal officials eschew the idea that a Flat Tax, as proposed by Hall and Rabushka, could even exist in America. While municipal officials may internally support the ideas and causes of the reformers, due to their perception of the conflict between ideals and reality they refuse to buy into this type of reform movement.

The implementation of a VAT leaves officials skeptical because of the effects it might have on their sales taxes, business operations and the fallibility of the system. The impact of the sales tax is a very important concern for municipalities, and the reform would necessitate some retooling of how local government generates revenue. The author is uncertain about the impact of the VAT on businesses in regard to process, as the federal income taxes also load businesses with work for employees, profits, and inventory. While officials may be correct in stating their concern, in the end, it may just be a wash. Their suspicion about the fallibility of the system is well held as missing trader or carousel fraud is a major problem in the VAT (Wikipedia, 2009), although a proposal has been made to solve the issue through digital administration (Ainsworth, 2006).

Perhaps the FairTax would be better received if it were not for the ideological bent of taxing government for the sake of leveling the playing field with the free market and the effective change of responsibilities of municipal government. The FairTax’s encroachment upon what was previously state and local government tax ‘territory’ does not help its case. The community budget studied too is not representative of municipal expenditures and its situation may not mesh as nicely with

other municipalities. But what will happen to the City of New York, with a municipal budget of \$62.6 billion dollars (City of New York, 2008, 3)? To keep the same level of expenditures, the city would have to generate \$18.78 billion just to pay *its* taxes.³³ Given this reality, and the dubious nature of some local governments, how would federal officials not expect some of the 72,529 local governments, or 50 state governments, to avoid and evade their tax liability? The results of being found out putting these governments, and their residents, in precarious legal positions.

Further concerns exist about how collecting these taxes would affect a municipality's operations. Because municipal and state governments will owe a set amount to the federal government, it will have to employ, or contract for, collections agents to ensure they are not left carrying the burden that would result from their resident's not paying taxes. In this way as well, the Internal Revenue Service will not go away, but instead be broken down into disjointed bureaus across the nation. A large collections agency might even grow up which rivals the current IRS; only it will be operated by the private sector, ever the sage of financial prudence.

H2: Municipal Officials will discover some unexpected or unintended consequences with the implementation of one of the three consumption taxes.

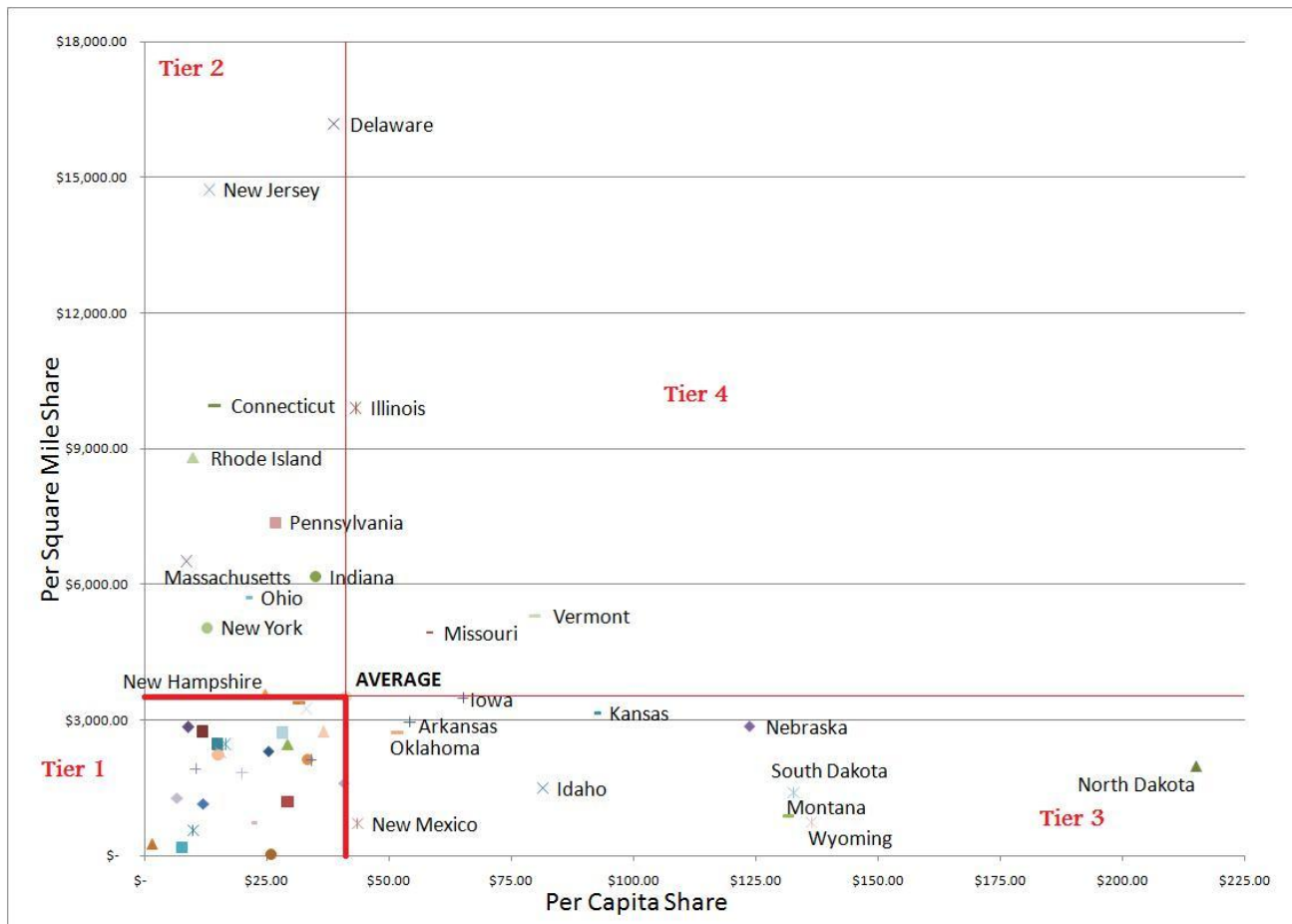
Research on how reforming the federal income tax would affect municipal governments has been conducted by a few sources. However, these attempts are usually conducted from the top-down perspective, and grant little thought to inconveniences for local government operations, which when extrapolated the large amount of these governments may indeed become major problems.

For the sake of making a point, the reader shall assume the federal government implements a 'local service tax' which is found to be constitutional. This tax requires all local governments to pay a fee of \$100,000 for services rendered by the federal government. The measure itself, given current local government numbers, would generate almost \$900 million dollars in revenue for the federal government. For the following analysis, there are another two assumptions: First, that the tax is based upon the amount of special districts, independent school districts, county, and municipal governments;³⁴ and second, that square miles of land require more government resources than do square miles of water.³⁵ Below is a graph which demonstrates the responsibility of state's local governments to pay the tax per square miles and per capita:

³³ Assuming the math was really that simple.

³⁴ Since dependent school districts are not an independent governments and towns or townships provide services not truly comparable to that of special districts, and independent school districts, county, and municipal governments.

³⁵ Square miles of land constitute a 1:1 ratio of governable square miles per state, whereas the author assumes that square miles of water constitute a 1:4 ratio of governable square miles. Examples of an area requiring local government service would be the



Sources: (U.S. Census Bureau, 2007), (U.S. Census Bureau, 2004), and (U.S. Census Bureau, 2009)³⁶

What this information tells us is that such a 'local service tax' would generate revenue from four different tiers, each reacting to the tax in slightly different ways. Tier 1 communities are likely to find the tax an increased burden, although they will not have much difficulty paying it, comparably, since the amount of local institutions they maintain keep them below the per capita and square mile financial average of the nation. More substantial opposition will begin in Tier 2 states, where residents find that the amount of local government organizations they maintain to be larger than average by land mass and will have to pay for those services. These states will maintain a broad enough base to support the increased costs, resulting in pressure to consolidate the amount of governments they maintain, without losing the services they provide. Tier 3 states will find that political pressure will come from residents finally being forced to pay for the level of service they receive disproportionate to an average resident in America on a per capita basis, leading to a reduction of services via elimination of local governments. The Tier 4 communities will face pressure from residents to reduce service levels and consolidate

Everglades of Florida or beaches around the country. The ratios are based on an educated speculation on the amount of local government services are required for water as compared to land, but not more than that.

³⁶ For a more in-depth look at the numbers generating this analysis, please see appendix F.

governments as they maintain an amount of local governments and local government services at levels above other states. These states will face a large amount of political pressure to reduce the amount and provision of services of local government.

What the above example shows is that even ‘simple’ taxes can affect state and local governments much differently because each state maintains its own beliefs and practices on how local governments should be run. The author believes that some examples of a diverse set of reactions to consumption tax reform may be discovered as a result of interviews, although the sole use of Illinois officials to conduct interviews limits these findings.

Findings

“There are always unintended consequences to everything you do. Too many times I’ve seen all of us, including myself, thinking we have it right, and then something pops up, and you say, “God, I didn’t think of that.” That’s what makes this business so interesting... When you are doing something so massive on such a scale, think of the people involved: 300 million plus. Just take the State of California, its economy is larger than Russia’s economy, so the effects of this would be felt in ways we know we can’t predict, because it is too complicated.” –Mayor George Van Dusen

The interviews provided some significant input on the unintended consequences of federal income tax reform. Many Mayors and Finance Directors pointed out that the large transformation to a new tax system may be simple on its face, but the inner workings of municipal government and many other areas will all experience unpredictable changes as a result. For the purposes of these varied interests, Mayor George Van Dusen counseled, “You would need to give municipalities, state leaders, realtors, and people like this at least a three to five year advanced notice. If you said, “Well, this act becomes lawful in six months” you would find people jumping off roofs. The things we need to put our budget together is a certain amount of predictability. You need reasonable assumptions... You would have to cushion the blow by giving people time to plan.”

Most of the municipalities interviewed for this paper participate in a regional water sharing organization called the Central Lake County Joint Action Water Association (aka CLCJAWA). This unique intergovernmental cooperative owns and operates a completely independent water system, freeing member communities of the need to either purchase water from neighboring communities or to rely on dwindling groundwater supplies. Under a FairTax, communities who already collect money for water disbursed would remit taxes collected from residents to CLCJAWA, who would then remit the tax to the state for processing. Finance Director Michael Peterson noted a problem with this middleman approach under a FairTax when he mentioned that, “Being the middleman [for water service,] it would look like if CLCJAWA billed us, then they

would get 100%. We on the other hand have 1 or 2 percent [of people] who will cheat us out of the money, so we've already remitted this tax, while we're not going to collect any of it. So we're kind of stuck in the middle holding the bag." As such, he comments, "The FairTax might actually hurt current regional activities such as intermediary governments."

Further concerns were to the actual reformation of government. Mayor Kristina Kovarik commented, "You might solve and simplify bureaucracy in one area, but you're creating more of it somewhere else, it's just a shell game." Indeed, this sentiment seems to be echoed throughout most of the interviews, Finance Director Mark Nannini commenting on the FairTax, "Everything is a net zero gain. Who would do this? Additional burden, additional cost. You've made it fairer, but should it cost more?" Mayor Michael Belsky and Finance Director Susan Griffin are worried that what the federal government gives, they can also just as easily take away. Thereby, any sort of concessions made to state and local governments by consumption tax reformers would be of the program or grant variety. Since it is simpler for the federal government to eliminate a program or grant than to erase a tax deduction, the worry of municipal officials is that their concerns might be remedied only temporarily, and in the future forgotten. This sentiment is echoed by Finance Director Tina Smigielski, noting that, "It is much more difficult to get money out of people, as compared to giving it to them."

Municipal officials also worry about the politics of such reform, Mayor Michael Belksy points out that, "Various organizations will really fight the implementation of such a tax system." In doing so he points out the varied interests that get represented in the federal political system. It is upon this nature of the American Constitution that Mayor Christine Letchinger comments that one big weakness of the U.S. constitution is that it has a difficult time dealing with big issues like the complete reform of the federal tax system. As such, she felt the idea that such a broad change, without provisions that eat away at the heart of the argument for a consumption tax was a little foolish on the part of reform proponents. Finance Director Susan Griffin raised the issue of a, "PR campaign from hell" that would be needed to explain the new tax system to the populace that had grown up, or become accustomed to the current federal income tax. She suggested that, "It may take an entire generation before people begin to understand."

These positions stated, Mayor Christine Letchinger points out that something must be done as "[The federal government has] to find a way to raise tax revenue as the debt is unsustainable." This debt, and the inability to raise revenue to offset it, might be the biggest obstacle faced by the federal income tax. The 1986 Tax Reform Act shows that such dramatic changes can be accomplished, although not necessarily to the extent consumption tax proponents are pushing for.

Conclusions

It would appear that municipal officials concerns are well placed against the notion of radical reform simply due to how it will affect them. Since planning for radical federal income tax reform may not fully include their organizations,³⁷ and that the unpredicted effects of such a change might lay heaviest upon state and local governments as the federal government would ‘solve’ problems by externalizing them.

Further, the interviewees raise various questions about the timing and implementation of such efforts. FairTax proponents argue that the implementation of changes should happen without much notice, to negate any behavior that would take advantage of such a change. The problem with this, best summarized by Mayor George Van Dusen, is that communities and businesses need to plan for the future with certain variables realized as mostly constant. Throughout the interview process, it was communicated that Mayors and Finance Directors feel such radical tax reform can never be fully planned, are incredibly difficult to predict, and sometimes do not solve the root problem, but rather moves it to another group that now becomes responsible for solving it. Through this externalization, new problems will arise where previous ones only *seem* to have disappeared.

If Nannini is right in his assertion, then the quick analysis of the analyzed municipal budget under a FairTax might explain where the shell goes. Under a FairTax, where government purchases are taxed at a 30% rate, the moderately sized municipality of Grayslake would be responsible for roughly \$4.6 million dollars in taxes not collected at the point of provision. This would increase the per capita costs around \$200 dollars a year per person. Assuming that government expenditures stay the same, the resident, including Illinois taxes, would pay \$4,941 dollars a year per person.³⁸ Here then, municipal and local tax collections easily offset the FairTax prebate of \$2,388 a year for a single person. While proponents argue that the prebate will, “cover taxes on the basic necessities of life... to reimburse every American family for the sales tax that family will pay on all spending up to the federal poverty level (Boortz & Linder, 2005)” they seem to be under a common misconception that state and local government services are free. Once again, this municipality is not necessarily a large community, which begs the question of what would Chicago, New York, and Los Angeles residents would pay?

The major problem discovered for states and municipalities is public relations. Under a FairTax, states and municipalities will be forced to draw more money from their residents than they had previously. This more visible burden

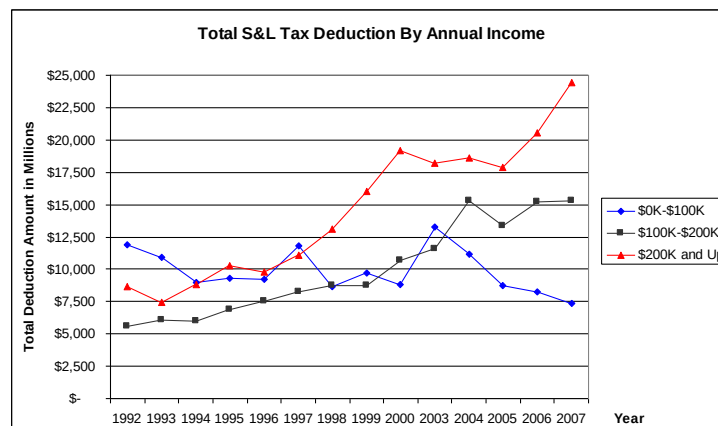
³⁷ A perfect example of this type of policy blindness occurred under George W. Bush’s Executive Order 13369 establishing the Presidential Advisory Panel on Tax Reform, which contained no experts on the topic of municipal finance or taxes.

³⁸ State of Illinois expenditures equal \$47,053,769,000 (State of Illinois, 2009, 2-30) * 1.30 = \$61,169,899,700 / 12,901,563 (State of Illinois Population) + \$250 (Grayslake additional taxes) = \$4,991. As before, this assumes very simple math.

upon citizens, collected by state and local governments, will force these officials to embark on public relations campaigns to explain costs to residents as a result of a FairTax's implementation. By reforming the federal income tax to a FairTax, the federal government would expose local government officials to extreme political pressure to reduce expenditures, their only respite being to educate their residents as to why their local tax bills have gone up. The actions by and interactions between state and municipal governments as a result of the reduction of expenditures or increased public relations efforts from state and local governments, as Mayor George Van Dusen extols, would be, "unpredictable."

H3: Municipal Officials will be opposed to the removal of the federal deduction of state and local taxes from the Federal Income Tax.

The state and local tax deduction is the largest federal income tax 'subsidy' that the federal income tax grants state and local governments. Totaling \$50.7 billion dollars in 2007, the amount will steadily decrease as the Alternative Minimum Tax – which disallows the deduction – effects more and more taxpayers (Congressional Budget Office, 2008, 3-4). In its current form, the money saved by taxpayers decreases the disadvantage of living in highly taxed communities, though at the expense of potential services to those who do not. The deduction, displaying a moderately progressive redistribution in 1992, became regressive in 2000 and has continued this trend into the future. The graph below shows that since 1995, outside of 1997, the state and local tax deduction has paid out increasingly more money to those making over \$200K than either \$0K-\$100K or \$100K-\$200K groupings.³⁹



Sources: Joint Committee on Taxation, 1993-2008, Tables 3 or 6

³⁹ Data for this claim, following tables, and further references may be found at http://www.house.gov/jct/pubs_taxexpend.html. 2001 and 2002 were not included because data was not available on the Joint Committee on Taxation's website. Historically, this data has been listed under Table 3 of the data, but in 2007 was designated as Table 6.

Further analysis of the data shows that the past fifteen years saw an increase of 16.5 million individuals claiming the state and local tax deduction and a \$21 billion dollar increase in the total amount claimed. The regressivity of the deduction has increased with the current average payout of the deduction for those making over \$200K a year in 2007 at \$6,061 dollars, a decrease of roughly \$3,000 dollars from 1992. Compromising this change is the reality that 1992 only saw one million individuals claiming the deduction in this bracket, compared to four million in 2007.

Resulting from this change, Hall and Rabushka are right to question the real benefit of such a deduction and conclude that it primarily benefits the rich. They observe that the deduction benefits the rich states of “New York, Connecticut, and California, at the expense of North Dakota, Alabama, and Tennessee (Hall & Rabushka, 2007, 162).” Given current state budget crises and the states in question, could it have also played a role in creating risky tax policy that is affecting these ‘rich states’ now?

Income and property taxes, the two major components of the state and local tax deduction, are down as a result of decreased wages, and a devaluation of the housing market. The author ranked the percentage of individuals who claim the state and local tax deduction by state using data provided by the Tax Policy Center in 2009 and compared it to that state’s current change in income tax revenues found in the *State Revenue Flash Report* (Dadayan & Boyd, 2009). The results (right) found that of the 37 states who reported data, the top 19 suffered Income Tax Revenue losses at an average of 25%, whereas the bottom 18 suffered average losses of only 14%. Most interestingly, all states that either did not implement an income tax, maintained no data, or only implemented an income tax on dividends, were not one of the top 19 states who’s residents claimed the State and Local tax deduction at a proportionally

Percentage of Residents Who Take the State and Local Tax Deduction	State	Personal Income Tax Change Feb-Apr 08-09	
49.4%	Maryland	-18%	
44.8%	New Jersey	-30%	
44.3%	Connecticut	-26%	
42.0%	Colorado	-25%	
41.7%	Minnesota	-21%	
41.5%	Oregon	-27%	
41.0%	Massachusetts	-29%	
40.7%	Virginia	-17%	
40.5%	Utah	4%	
39.3%	California	-34%	
39.1%	Georgia	-21%	
38.4%	New York	-32%	
38.3%	Wisconsin	-23%	Total Data Points 37
38.3%	Arizona	-55%	
37.5%	Rhode Island	-30%	
36.9%	Michigan	-34%	
36.8%	Delaware	-23%	
36.5%	North Carolina	-20%	
36.2%	Illinois	-11%	Top 19 Average -25%
36.0%	Nevada	No Income Tax	
35.8%	New Hampshire	Income Tax on Dividends	
35.5%	Washington	No Income Tax	
35.3%	Idaho	-28%	Bottom 18 Average -14%
34.4%	Ohio	-28%	
33.3%	Hawaii	-19%	
32.8%	South Carolina	-39%	
32.0%	Pennsylvania	-17%	
31.7%	Iowa	-7%	
31.4%	Maine	-26%	
31.4%	Missouri	No Data	
31.0%	Kansas	-1%	
30.9%	Kentucky	No Data	
30.9%	Indiana	-16%	
30.8%	Montana	-9%	
30.6%	Oklahoma	-19%	
30.5%	Nebraska	-15%	
30.2%	Alabama	11%	
29.7%	Florida	No Income Tax	
26.6%	New Mexico	No Data	
24.6%	Vermont	-33%	
24.5%	Arkansas	-19%	
24.2%	Alaska	No Income Tax	
23.9%	Mississippi	No Data	
23.8%	Tennessee	Income Tax on Dividends	
23.7%	Texas	No Income Tax	
22.8%	Louisiana	-4%	
21.2%	Wyoming	No Income Tax	
18.7%	North Dakota	16%	
18.0%	West Virginia	0%	
17.5%	South Dakota	No Income Tax	

higher rate. It would appear reasonable, although not nearly conclusive, that states who maintain residents whom take the state and local tax deduction also tend to push for, and receive, a state tax base that has been determined with federal deductions in mind, leaving budgets based in vulnerable taxation policies that make sense in a prospering economy, but not a recessionary one.

A further analysis of the states finds evidence that the state and local tax deduction is in use in predominantly urban areas and states that utilize a higher amount of qualified local governments per square mile than that of states who claim the state and local tax deduction at lower rates.

Percentage of Residents Claiming State and Local Tax Deduction		Population Per Square Mile	Cities With Populations Over 100K	Number of Qualified Local Governments Per 100 Square Miles	Percentage of Residents Claiming State and Local Tax Deduction		Population Per Square Mile	Cities With Populations Over 100K	Number of Qualified Local Governments Per 100 Square Miles
Top 25					Bottom 25				
49.4%	Maryland	542	1	2.62	32.8%	South Carolina	133	2	2.32
44.8%	New Jersey	1134	4	15.38	32.0%	Pennsylvania	274	4	7.42
44.3%	Connecticut	703	5	10.32	31.7%	Iowa	52	3	3.50
42.0%	Colorado	42	9	2.33	31.4%	Maine	41	0	1.24
41.7%	Minnesota	62	3	2.18	31.4%	Missouri	81	5	6.28
41.5%	Oregon	36	4	1.61	31.0%	Kansas	33	5	3.15
41.0%	Massachusetts	810	5	7.08	30.9%	Kentucky	102	2	3.39
40.7%	Virginia	179	9	1.29	30.9%	Indiana	170	4	6.20
40.5%	Utah	27	4	0.73	30.8%	Montana	6	1	0.87
39.3%	California	217	61	2.79	30.6%	Oklahoma	50	3	2.74
39.1%	Georgia	141	5	2.49	30.5%	Nebraska	22	2	2.87
38.4%	New York	402	5	5.24	30.2%	Alabama	88	4	2.34
38.3%	Wisconsin	99	3	3.43	29.7%	Florida	296	19	3.01
38.3%	Arizona	45	9	0.57	26.6%	New Mexico	15	1	0.71
37.5%	Rhode Island	1003	1	9.86	24.6%	Vermont	66	0	5.36
36.9%	Michigan	175	7	2.91	24.5%	Arkansas	51	1	2.97
36.8%	Delaware	401	0	17.30	24.2%	Alaska	1	1	0.03
36.5%	North Carolina	165	9	1.98	23.9%	Mississippi	61	1	2.13
36.2%	Illinois	223	8	10.01	23.8%	Tennessee	138	6	2.25
36.0%	Nevada	18	4	0.18	23.7%	Texas	80	31	1.85
35.8%	New Hampshire	138	1	3.61	22.8%	Louisiana	103	4	1.21
35.5%	Washington	89	5	2.77	21.2%	Wyoming	5	0	0.75
35.3%	Idaho	16	1	1.50	18.7%	North Dakota	9	0	2.00
34.4%	Ohio	277	6	5.85	18.0%	West Virginia	75	0	2.75
33.3%	Hawaii	189	1	0.30	17.5%	South Dakota	10	1	1.41
38.9%	Average	285.30	6.8	4.57	26.9%	Average	78.50	4	2.75

Sources: (Tax Policy Center, 2009) (U.S. Census Bureau, 2007) (U.S. Census Bureau, 2009) (Population Division, U.S. Census Bureau, 2009)

Note: Qualified Local Governments include Special Districts, School Districts, County, and Municipal Governments

The overt conclusion is that the state and local tax deduction favors dense locales, at the expense of more rural areas. While not nearly as conclusive due to the existence of some extreme outliers – Delaware, New Jersey, and Connecticut – it does appear to have affected the amount of local governments per square mile too.

Along with the drop in income tax revenues on state budgets, the picture of a tax deduction that may alter revenue decisions becomes clearer as the Alternative Minimum Tax (AMT) begins to affect middle class individuals no longer able to deduct state and local taxes from their federal income taxes. The AMT, rushed into existence during the Vietnam War, was never pegged to inflation and since it does not allow for the state and local tax deduction, bracket creep is forcing

individuals who may be considered middle-class to begin paying it, instead of the regular federal income tax.⁴⁰ This ‘problem’ in the tax code may be contributing significantly to problems discussed by Laffer, Moore & Williams in *Rich States, Poor States: ALEC-Laffer State Economic Competitiveness Index*, where they argue that high tax states are shedding tax revenues left and right as a result of those state’s decisions to implement higher tax rates. As the AMT crunches down on individuals in the upper-middle class and above, the pressure to leave becomes more pronounced. Using New Jersey, Laffer et. al. argues that land values and housing prices will bear the ultimate burden of these higher tax rates:

“One example of this tax-substitution effect was the response to the steep increases in income taxes on the rich in New Jersey in the early 1990s. The new tax was only intended to impact the wealthiest families in the Garden State. But taxes were raised so high that many of the tax-targeted families moved out of the state. This outmigration caused a reduction in the property values at the high end of the market but the slump eventually invaded the middle class housing market. The middle class paid the taxes levied on the rich, in part through depressed home prices. That was one reason the taxes on rich caused a middle class revolt (Laffer, Moore, & Williams, 2009, 30).”

This doubles as a good example of how state and local decisions on taxation, based on perceived preferences of the populace and coupled with its interactions with the Federal Income Tax, may lead to unintended consequences due to the intermingling of different tax systems. By increasing the income tax rate on the wealthy, New Jersey also exposed their residents to the AMT, and coupled with the other pressures, residents left. This is not just a New Jersey problem either as, “in 2007 families in high-tax states were almost three times more likely to face the AMT than those in low-tax states (5.0 vs. 1.8 percent) (Burman, Koch, Leiserson, & Rohaly, 2008, 2).” Considering that, from 2002-2006, New Jersey ranked 2nd with an average of 44.8% of individuals deducting state and local government taxes (Tax Policy Center, 2009), a potential exodus from the top ranking states may already be underway as with help from the AMT’s interaction with high state taxes. One benefit of a radical consumption tax reform is that the state and local tax deduction would be removed, and individuals would no longer potentially make residential decisions based upon interactions between the AMT, federal income tax, and state and local tax deduction.

Proponents of the state and local tax deduction argue that the removal of the state and local tax deduction is not fair to municipalities that have been built up to support condensed populations, but does it make sense for certain municipalities to do this? Municipal governments can provide services at an efficient level to a certain amount of residents, however this efficiency can drop as the density and size of a population grows within the municipality. When more individuals start living on the same area of land, the property tax revenues do not generally keep pace with the services these individuals request. A result is that higher and denser populations in big cities can result in less efficient local government service as funding fails

⁴⁰ It is the higher of the Federal Income tax or the Alternative Minimum tax that an individual is required to pay.

to keep pace with residential growth (Morgan, England, & Pelissero, 2006, 293). Resulting from this, some urbanized areas must seek revenue from other sources, sometimes in dramatic ways. If the state and local tax deduction were removed from the federal income tax, urbanites living in dense cities may cry foul for the increase in costs to live in a city, but what exactly are the reasons that the U.S. government would make living in dense cities cheaper?

The removal of this deduction would increase the pressure upon state and local governments to lower taxes in whatever way possible as residents are forced to completely pay for them. If these local governments are not able to do this, it is likely they will face a decrease in their population. As most interview subjects are officials in wealthy and somewhat dense municipalities, the author believes they will perceive this issue and will be against the removal of the state and local tax deduction. It is important to note, that the biggest issue for municipalities concerning the state and local tax deduction is the property tax, as sales taxes are no longer deductible.⁴¹ While some bigger cities have implemented an income tax, which is deductible, these communities make up a very small amount of municipal governments.

Findings

“A lot of newer communities have higher property taxes because they have to build new infrastructure. All of that is an impact on the property tax.” – Mayor George Van Dusen

Mayor George Van Dusen believes the state and local tax deduction is, “Crucial to having middle class communities,” While Mayor Mike Belsky believes that its removal “Will make things more difficult for local governments asking for levy increases or referendums that raise taxes.” Mayor Christine Letchinger suggested that people may choose or be forced to move to areas with lower property taxes. One interview subject mentioned that when they moved into their house they paid \$3,500 in real estate taxes, and over time and after fixing it up the sum increased to \$21,000. With the removal of the state and local tax deduction, this individual’s gross annual income as determined by the federal government would increase by \$21,000, not including the other newly non-deductable state and local taxes.

Finance Director Susan Griffin argues that, “Many residents prefer property taxes to other types of local taxes and fees, because of the federal deduction. If municipalities had more of a strain on property taxes, basic services could be in jeopardy.” Further, she wondered why it would be fair for individuals to pay federal taxes on income that is relegated towards paying state and local taxes. She believed these costs were not discretionary, and should not be included in the federal calculation of income, as they are neither savings nor necessarily a choice of consumption. Mayor George Van

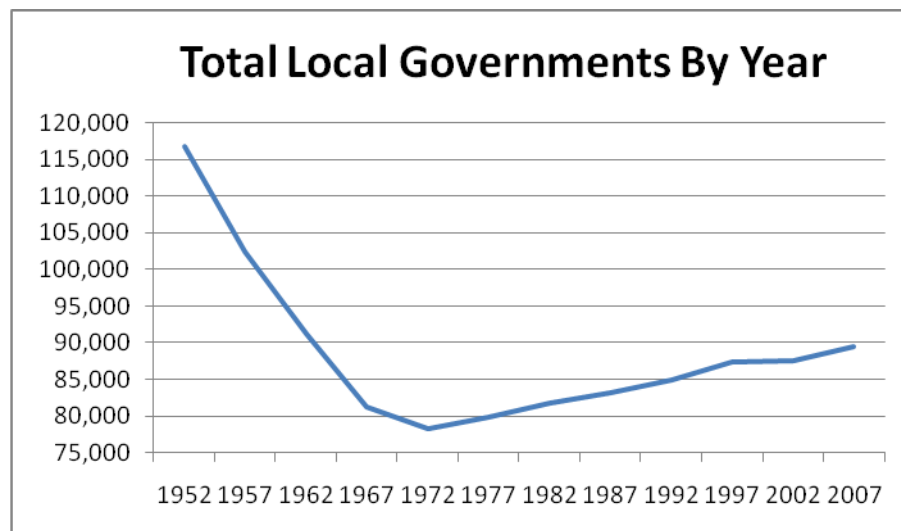
⁴¹ Although, the 2004 [American Jobs Creation Act] allowed taxpayers to deduct either sales taxes or income taxes – but not both – in 2004 and 2005. Subsequent legislation extended that provision to 2006 and 2007. (Congressional Budget Office, 2008, X)”

Dusen brought up the point that Skokie has maintained a frozen property tax since the 1990, so it would not affect them nearly as bad as residents in neighboring Evanston.

Finance Director Mark Nannini summed up the position of most the interview subjects when he said that, “The effects of removing federal deduction for state and local governments would be detrimental.” Further, he stated that he did not feel the result would be much better than is currently experienced as he felt that, “If the deduction was removed a portion of the incentive to pay taxes is removed. Taxpayers will find a way to pay as little tax as possible. If that happens less taxes paid means less revenues for local governments.”

Conclusions

Mayor George Van Dusen’s remark that the deduction is helpful for new communities is worth considering as it is this deduction may have aided the development of new local governments:



Source: 1997, 2002, & 2007 U.S. Census of Governments

The significant drop in total local governments after World War II occurred “when the proportion of the population who paid income taxes had grown dramatically, from about 5 percent when [in 1913] the [income] tax was enacted to nearly 75 percent in 1944 (Congressional Budget Office, 2008, 4)” which was around the time Congress introduced the standard deduction. Perhaps it was at this point, when a sizeable amount of people could safely take the standard deduction that their

focus moved to reducing other costs, such as their now non-deducted property and income tax.⁴² If this were the case, political and financial pressure would have forced some local governments to merge or dissolve. As itemizing became more popular though, the political pressure on local governments might have decreased, leading to more local governments as itemizers realized increased local taxes reduced their federal liability, but increased their quality of government service. Spurious as this correlation may be, it does seem strange that during times when government spending seemed to dominate federal policy, the number of local governments decreased, while during a time when the notion of the private market doing things better and movement away from government provision of services prevailed, the number of local governments increased.

It is also interesting to ponder how tax policy is actually created due to previous state by state analysis. There is a notion that the United States benefits from its 50 separate tax labs that test out new ideas in public policy. But are these tax labs actually independent, or are their ‘tests’ predetermined by the makeup of their constituency whose choices might be influenced by their interaction with the federal income tax? Finance Director Susan Griffin’s point that some municipalities implement taxes “because of the federal deduction” brings into question whether some state tax systems are purposely shaped to take advantage of the federal tax system. If so, which states are most prone to this type of decision making? Perhaps the comparison between states with higher claims of the state and local federal tax deduction with the amount of *State Revenue Flash Report* would be a good place to start.

The idea that payment of state and local taxes is not a consumption choice is not new. Indeed, there is ample evidence that some individuals are actually trapped in the locations that they live and that moving away, or attaining their goals in life, are generally impractical options (Macleod, 1995). However, it should be noted that these are not people who generally itemize their taxes, or necessarily pay them at all. Those individuals that do itemize their taxes do generally possess a flexibility to move, if not to another state, to another city or county where they can face a different tax burden. This ability to move to another constituency is a major aspect of suburbanization and Public Choice Theory, so the justification that these costs are anything but discretionary seems a bit flawed.

Mark Nannini points out that one benefit of the state and local tax deduction is that residents, who intend to take the deduction, pay the taxes. His point that the removal of the state and local tax deduction would result in more people evading

⁴² More explicitly, the argument is that as more people take itemized deductions, the pressure to reduce the amount of local government decreases because the federal government subsidizes these expenditures. However when the standard deduction is predominantly taken, the pressure to reduce the amount of local governments increases because residents do not see their local services subsidized by the federal government. This could be an alternative explanation as to why poorer municipalities provide fewer services as their residents literally do not see the value of those services because they do not itemize.

payment of their local government taxes is worth noting. While this may not significantly impair municipal operations, it may make noticeable differences to tax collection assumptions and predictions resulting from the increase in the amount owed on taxes as a result of the change.

The removal of the state and local tax deduction would affect taxpayer behavior and resultantly these changes are mostly local government problems. From increased public relations responsibilities, convincing some residents to stay in the municipality, and perhaps even more delinquent accounts than previously experienced; the removal of the state and local tax deduction through the reform of the federal income tax would make municipal officials jobs significantly more difficult, although only those who manage or serve in denser and more urban communities, or states.

H4: Municipal Officials will be opposed to the removal of tax-exempt status of municipal bonds.

The federal income tax currently exempts interest paid to bond holders on the debt of states and local governments. This tax-exemption allows state and local governments to borrow below interest rates that the private sector and federal government do as long as income derived from the bonds are used for an ‘essential government function’ (Joint Committee on Taxation, 1996, 2-3). In their rebuke of the FairTax, Hank Adler and Hugh Hewitt argue that the removal of tax-exempt status of municipal bonds will increase state and local tax burdens by \$52 billion dollars (Adler & Hewitt, 2009, 58). The political effect of this reform is to remove an indirect subsidy to state and local governments in the bonding market, giving new funding responsibilities for financing projects to the residents who directly benefit. The two types of state and local government tax-exempt bonds are described below:

“The State and local government bond interest exemption applies to two principal types of bonds. First, interest in tax-exempt on bonds issued to finance public activities conducted and paid for by States and local governments themselves (“governmental bonds.”) Examples of activities financed with governmental bonds are schools, courthouses, roads, public mass transit systems, and governmentally owned and operated water, sewer, and electric facilities... The second major category of State and local government bonds on which interest is tax-exempt consists of bonds issued by these governmental units acting as a conduit to provide financing for private persons (“private activity bonds.”) Unlike governmental bonds, tax-exempt private activity bonds may only be issued for purposes specified in the Code. The specified purposes generally relate to privately operated transportation facilities, privately provided municipal services, economic development, and certain social programs (Joint Committee on Taxation, 1996, 12-13).”

The result of a consumption tax replacement of the federal income tax is that, “States [and local governments] would pay more to borrow money after tax reform (Hildreth, 2005).” Logic suggests that municipal officials would be against this reform unanimously for just this reason. Whether they are correct in holding this view, is another matter.

While state and local officials may implement private activity bonds to encourage economic development in their region, the success of the bonds does not necessarily increase U.S. productivity on the whole; and sometimes, these developments actually make things worse for others (LeRoy, 2005). In this vein, the new Yankee Stadium seems an accurate target for such criticism. The stadium's construction costs of \$1.3 billion are largely funded by \$942 million dollars provided through general obligation bonds issued by New York City, to be repaid by the New York Yankee's using PILOTs (Payments In Lieu Of Taxes).⁴³ The result of this tax-exempt bonding allows Yankee Stadium to be built for \$7.7-15.7 million less a year – \$231 to \$471 million over the 30-year life of the bond – the federal government losing revenue on a deal that eventually may have occurred anyway. Opponents of this plan argue that this type of financing deal removes money from federal coffers that could be used to fund more essential projects such as repairing structurally deficient bridges and aging water distribution/treatment systems. Proponents of the arrangements argue that the results of such developments lead to an increase to the local and national economy, which boosts resources for future endeavors of the nature which opponents argue should be handled with the money not earned due to the tax-deduction. Whatever the actual result of this sometimes visceral debate, the IRS has prevented such similar structuring of ball-park financing deals in the future, meaning Yankee Stadium's dubious financial underpinnings will not be happening again (Greaves & Henschman, 2009).

The Yankee example also shows how tax-literate cities exploit the federal income tax to their advantage using either connections or cleverly devised loopholes in the tax system.⁴⁴ Despite the PILOT payments clear violation of two separate Treasury Department regulations, the IRS argued that it was obligated to approve the New York PILOTS... and then approved a new regulation narrowing the use of PILOTs to curtail such use past October 24, 2008 – after the Yankee's bonds were sold. While supporters point to the credence of the development being owned by the City of New York, and the success of the venture as paying for itself, it means no property tax revenue for a swath of land in one of the densest municipalities in America, but instead predetermined PILOTs from the Yankees to compensate New York City for its lost revenue (Greaves & Henschman, 2009). As New York City experiences a financial crisis (Cox, *Escape from New York*, 2009) (McMahon, 2009), this fixed payment financing seems murky local government policy at best, and given how credible past future financial projections are regularly being revealed to be, disastrous financial planning at worst.

⁴³ By issuing general obligation bonds, to be repaid using PILOTs, New York City was able to effectively avoid the ban on using of Private Activity Bonds for the construction of professional sports stadiums, having been made illegal by Congress in the Tax Reform Act of 1986.

⁴⁴ The author is not sure if such political connections were used in the passage of the PILOT payments, however Greaves and Henschman's analysis suggests that there were clear ways that the payments violated federal tax regulations on the books before approval for the bonds was granted.

While only anecdotal, and not necessarily a indicator of general local government practice, the above example shows that when given the chance, certain ‘in-the-know’ local governments will take advantage of federal tax policies to the detriment of the federal treasury. A similar example of local agency abuse of their tax-exempt status was shown when Washington D.C.’s Metropolitan Area Transit Authority (WMATA) commuters discovered the tax-exempt status could arguably be decision distorting, perhaps even to their own peril (Schor, 2009). On Monday, June 22, 2009, a wreck on the Washington DC Metro Red Line killed nine people, and injured eighty. While further investigation revealed that the age of one of the cars involved – a 1000-series Rohr car – might not have been a major cause of the crash, D.C. residents discovered that the cars have been repeatedly recommended for removal by the National Transportation Safety Board, and only kept in service because the WMATA was, “constrained by tax advantage leases, which require that WMATA keep the 1000 Series cars in service at least until the end of 2014 (Debonis, 2009).” Known as ‘Sale-In, Lease-Out’ transactions, or SILOs, the agreement provided the WMATA with cash and the creditor a functional tax-shelter that was made illegal by the IRS in 2004, but allowed for currently operating SILO’s to continue unabated (Internal Revenue Service, 2004). The result of such time constrained agreements has functioned to keep rail cars on the tracks past when new knowledge deemed they were safe, undermining the general public good and federal financial security to fund a few tax-literate local governments.

These SILO’s were not rare either, a Wall Street Journal article reported that as of 2004, “Cities have sold and leased back \$60 billion to \$80 billion in assets over the past four years (Mckinnon, 2004).” These agreements are created purely out of the involvement between tax-exempt organizations, which have no income to claim, with the private sector, who can take advantage of depreciation deductions. These interactions with the federal income tax can clearly be seen to have made some local government actors behave in irrational ways:

“Chicago agreed that if the Senate’s anti-shelter legislation became law in 2004, the city would pay [their] investors’ lost tax benefits, a cost that could easily exceed the city’s hoped-for profit. Chicago officials were betting they could defeat the Grassley initiative in the House.

At a House Ways & Means Committee hearing in February, Chairman Bill Thomas remarked that cities were telling legislators “we are into this up to our eyeballs, and please do not stop it.”

Among those lobbying were California’s transit agencies, which told Congress they had \$170 million riding on pending lease deals (Mckinnon, 2004).”

In acting this way, local government officials essentially said to their federal representatives, “Look, we’ve loaded the gun, and put it to our collective and very valuable heads. If you pass legislation dissolving previous SILO agreements, we will lose money and some of your most valuable constituencies will suffer as a result.” In the end, the local governments won, and got to keep their current SILO deals.

Just how has this worked out? *Very poorly*. Joseph Henchman of the Tax Foundation has detailed how well the SILO deals have interacted when AIG's (American Insurance Group) credit rating fell in mid September 2008. Ignored fine print in many SILO agreements labeled the drop of a guarantor's credit rating as an act of technical default, and since AIG insured a significant amount of the SILO agreements, it meant that most remaining deals that local officials fought so hard for in 2004 were now in technical default and liable to pay large fees overlooked in the rush to gain access to private sector cash. When the Treasury denied all depreciation deductions for the SILO deals, the creditor banks – now with worthless lease agreements – wanted out. This forced local governments to find new guarantors – not available due to the credit crisis – or pay exorbitant termination fees. The Los Angeles MTA estimated the cost of the terminations to be around \$1.8 billion dollars; half its annual operating budget (Henchman, 2008). As a result of these 'in-the-know' local government's tax-exempt status, predatory actions, – that assumed the gun they had loaded only gave the federal government a trigger – and the dismal science of economics – which had the second, – local governments were left on the hook with incredibly large termination fees, and only one possible guarantor due to the credit crisis: the federal government. Local government officials sought federal guarantees via inclusion in the Automaker Bailout of 2008 which passed the House, but not the Senate.

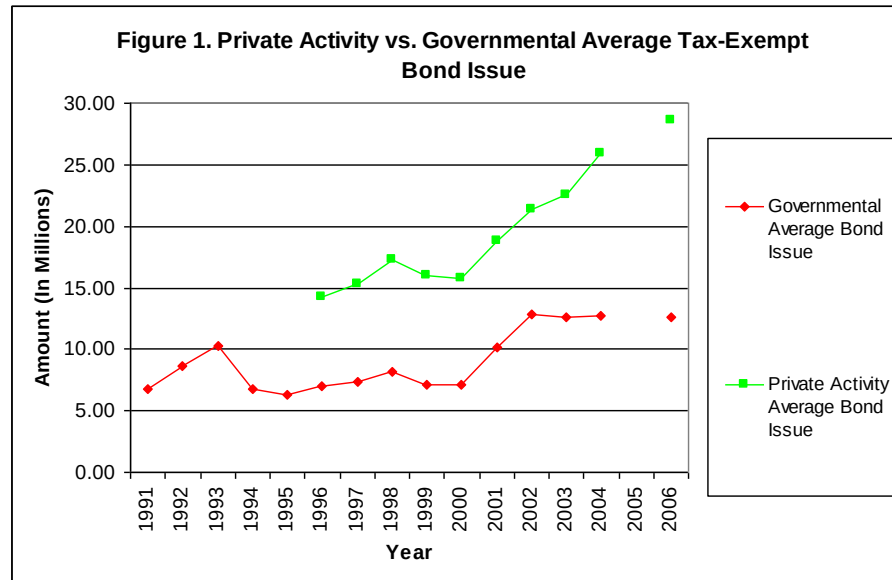
With the failure of the Automaker bailout, local government agencies who were insured by AIG have been left to settle the termination fee disagreements themselves. According to the Tax Foundation, the Los Angeles MTA settled for approximately \$165 million dollars in termination fees they never planned to pay (Henchman, SILO Update: Belgian Bank Settles, Transit Agencies Lobby for Bailout, 2008). This inefficient use and long-term abuse of the federal income tax should cause concern. When high power and high knowledge local governments begin taking risks with public money,⁴⁵ they also put their regions at risk. For instance, the WMATA lost \$17 million dollars to the Belgian Bank KBC because AIG's credit rating dropped. This amount was significantly less than the \$43 million they were contractually obligated too in the termination fees (Funk & Dutton, 2008), however it was still money taken out of the region as a result of predatory local government financing deals. These events have hampered the regional development of the area as the WMATA provides significant support to the development of regional cooperation and growth in the area which may be threatened due to WMATA's changed financial situation.

The above examples express that municipal governments occasionally do 'abuse' their tax-exempt status through municipal bonding and federal income tax 'tricks' at the expense of the federal treasury, and in lieu of progress in areas where the public benefit of expenditures is less debated. While the above examples are anecdotal, proving the misuse of tax-

⁴⁵ This does not mean just these local governments' money, but federal government money as well.

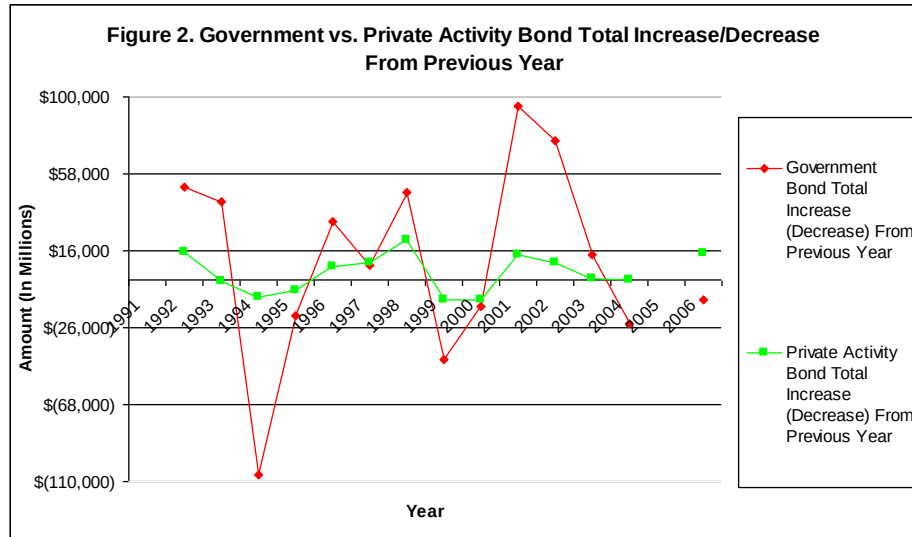
exempt status to benefit of the private-sector on a larger scale would require an analysis that shows government borrowing in this area veering unnaturally compared to previous trends when such rosy financial forecasting was not present. Such data is available via the Internal Revenue Service.

In 2006, the IRS reported that State and Local governments issued nearly \$319.4 billion dollars in tax-exempt governmental bonds, and \$108.9 billion in tax-exempt private activity bonds. Figures 1 & 2 contain the previous amount and average of state and local government bond issuances along with information describing the data is:



Source: SOI Tax Stats – Tax-Exempt Bond Statistics: Governmental Bonds (Form 8038-G): All Bonds – Number of Bonds Issued, Entire Issue Price & SOI Tax Stats – Tax-Exempt Bond Statistics: Private-Activity Bonds (Form 8038): All Bonds – Number of Bonds Issued, Entire Issue Price.

Figure 1 shows that the average amount of bond issuance between Private Activity and Government bonds stayed relatively linked until 2002 when average government bonds showed little variance and the average bond issue for Private Activity Bonds rose dramatically by almost \$7 million dollars per bond.



Source: SOI Tax Stats – Tax-Exempt Bond Statistics: Governmental Bonds (Form 8038-G): All Bonds – Number of Bonds Issued, Entire Issue Price & SOI Tax Stats – Tax-Exempt Bond Statistics: Private-Activity Bonds (Form 8038): All Bonds – Number of Bonds Issued, Entire Issue Price.

Figure 2 shows that the total increase and decrease compared to previous year, between Private Activity and Government bonds were remarkably similar. It is perceived that when one of the bond types totals less money than the year before, the other bond issue either does the same, or follows the next year. The only exception is in 2003 when the Government Bond Total goes negative, and Private Activity Bond Total stays positive, and grows to its third highest gain while Government Bond Total difference remains negative.

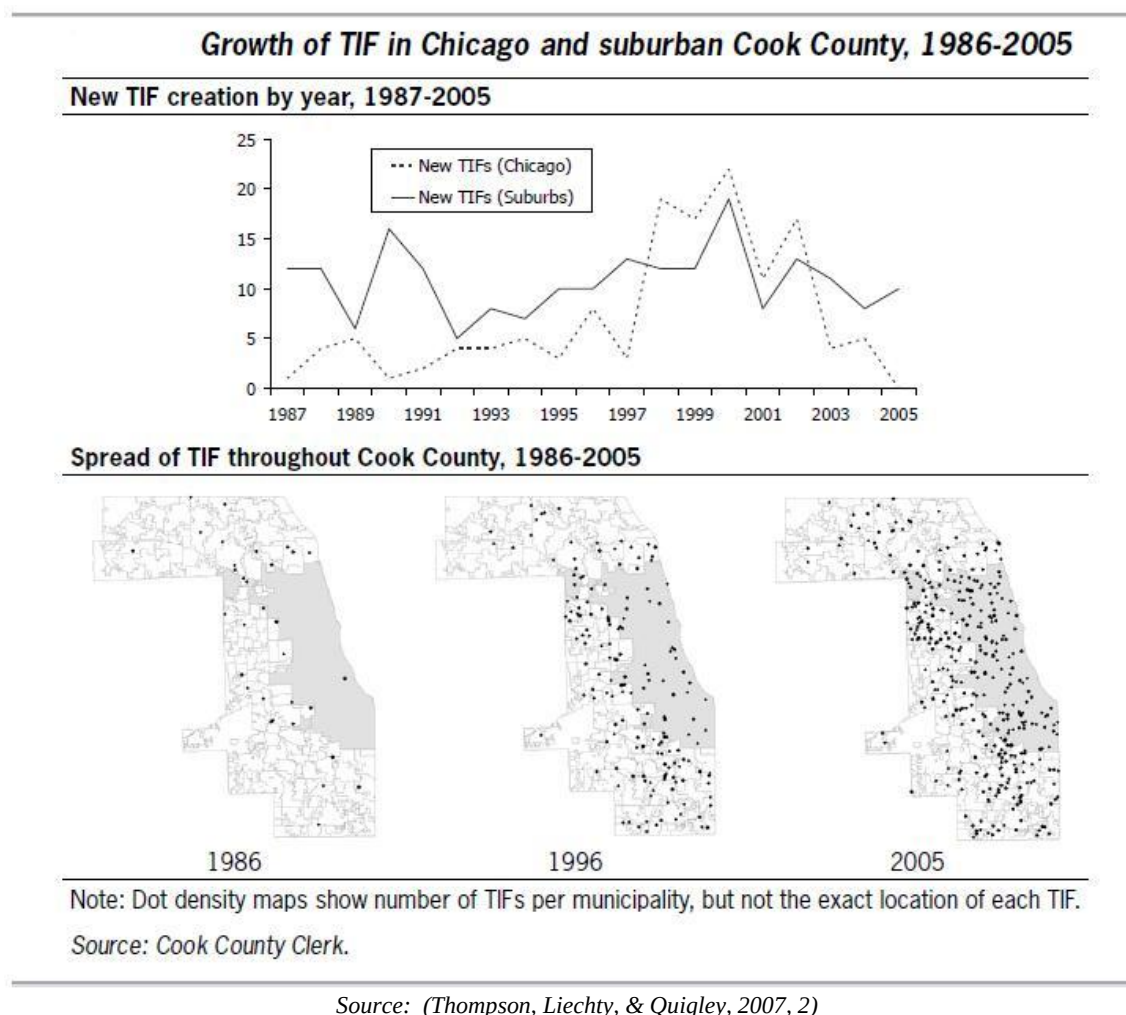
Through Figures 1 & 2, it can be seen that traditionally government and private activity tax-exempt bond issuances seem linked.⁴⁶ In Figures 1 & 2 this trend continues until in 2002 when private activity bonds mysteriously break from the pattern and steadily increase in both amount per bond and amount spent. What might have spawned this upshot of private activity bond usage? And does it demonstrate that state & local officials have been abusing their powers to provide tax-free financing for private activity bonds? Some possibilities the author would include are the recent popularity New Urbanism⁴⁷ developments through the use of Tax Increment Financing (TIF) Districts. Whether this approach towards creating ‘modern municipalities’ indicates an abuse of power however, depends upon the reader’s view of TIF’s as they have become a popular municipal government tool.

Every state – with the exception of Arizona – maintains a tax increment financing law that allows municipalities the ability to create special districts which capture the increase in value of the prescribed district. This money goes to pay off tax-exempt debt incurred by a municipality for the purposes of encourage economic development in the area through

⁴⁶ Indeed, ‘tradition’ starts in 1991. While this is probably not an appropriate amount of time to establish such status, the author would argue that most economists can detect economic cycles when they see them.

⁴⁷ New Urbanism, and the debate that surrounds it, is best introduced between the books *The Death and Life of Great American Cities* by Jane Jacobs and parts of *The Best Laid Plans: How Government Planning Harms Your Quality of Life, Your Pocketbook, and Your Future* by Randal O’Toole.

improvements of infrastructure. While TIF Districts are popular around the country, they have notably been developed and debated most vociferously in the City of Chicago.



In *A Tale of Two Cities: Rethinking Tax Increment Financing*, Jeremy Thompson, Jason Liechty, and then Cook County Commissioner Mike Quigley explore the different aspects of TIF districts with respect to the Chicagoland region. They begin their analysis with a quick overview of the spread of TIF's in the Chicagoland region along with a summary of the core debate surrounding TIF districts:

“Tax increment financing (TIF) is a mechanism that allows municipalities to earmark tax revenues from property value growth within a designated area suffering from blight – a TIF district – in order to finance development in that same area. TIF has become the economic development tool of choice in hundreds of municipalities throughout Illinois...Taxpayers in Chicago paid more property taxes to TIF in 2005 – \$386 million – than they did to Cook County.

[Proponents] argue that TIF allows municipalities to finance redevelopment without having to raise property taxes. TIF advocates also point to the development within a TIF district as evidence of its effectiveness, arguing that the area would have remained un- or underdeveloped but for the use of TIF... Critics of TIF call these claims into question. Municipalities, they point out, have created TIF districts in areas not suffering

from blight... Moreover, they claim that TIF does in fact raise property taxes, and not only that, but it also harms units of local government, like counties and school districts, that rely on property taxes for significant portions of their local revenues (Thompson, Liechty, & Quigley, 2007, i)."

TIF's take money from other local governments three ways: First, because TIF's freeze the amount of taxable valuation a school district, park district, or county government can collect from a zone, inflation progressively eats away at the actual value allotted to these governments over time; second, wherein property values within a district would have grown anyway, the TIF prevents this additional revenue from flowing to these other governments as it would have normally without the TIF; and third, because of the increased financial pressure, poorer local governments are forced to cut services while those that do not hope their tax-increases go unnoticed. While the first two issues with revenue diversion are sometimes negotiable, as some municipalities garner support in their communities by making concessions concerning them, the third is generally not. This happens because, if TIFs work, the various local governments increase their revenues because the growth in property value will be greater than the decrease in property tax rates levied by local governments (Thompson, Liechty, & Quigley, 2007, 20-21). With the aid of tax-exempt status required to achieve bonds to fund these TIF districts, the Chicagoland region has been able to increase the tax burden of their constituency while lowering the tax rate that each local government must request from the tax base. Most interesting about this discussion is what changes will occur as a result of artificially inflated housing market's crash. As per the previous hypothesis' income tax analysis in relation with the federal deduction for state and local taxes, could a state with a large amount of TIF districts be facing a sharp decrease in revenue – and vicariously a sharp increase in property tax rates – due to the advantage of their tax-exempt bonding ability?

While the debate on tax-exempt status is noticeably complicated, there is some middle ground. In his testimony to the Committee on Ways and Means Subcommittee on Select Revenue Measures, Acting Director of the CBO Donald B. Marron advocates for the removal of tax-exempt status from municipal bonds, but does not advocate the removal of the federal to state and local government aid intended by tax-exempt status on the grounds that the federal government would be better served issuing *tax-credits* to the investors of state and local government bonds (Marron, 2006). "Because of the progressive rate structure of the U.S. income tax system, taxpayers with lower marginal tax rates receive lower tax savings from the exemption than do taxpayers with higher marginal tax rates... That windfall gain causes the federal government's revenue loss to exceed the reduction in state and local borrowing costs, perhaps by as much as 20 percent (Marron, 2006)." So while a tax-exempt versus tax-credit comparison does not affect state and municipal balance sheets; the change would affect federal ones positively. These tax-credit bonds are currently utilized in Clean Renewable Energy Bonds, the recently created Build America Bonds, and other bonds specially created after 1997. Michael Decker, Co-CEO of Regional Bond

Dealers Association, before the Subcommittee on Select Revenue Measures, summed up the benefits of using tax-credit bonds saying they “work well for many municipal bond issuers because they allow states and localities... [To sell] bonds to taxable investors [pension funds, foreign investors, life insurance companies, retirement accounts, etc.] who normally would not consider municipal bonds because they can not take advantage of tax-exempt interest (Decker, 2009, 2).”

While it would seem the argument to eliminate tax-exempt bonds in favor of tax-credit bonds is grounded, consumption tax reform proponents posit that these municipal expenditures, in any form, distort the private market for goods and services and in that light, are poor public policy (Hall & Rabushka, 2007, 167) (Boortz & Linder, 2005, 78-79)⁴⁸ (Boortz & John, 2008, 138-141). Primarily this argument falls upon Private-Purpose Tax-Exempt Bonds. These bonds are criticized because they sometimes subsidize investments that might have been completed even if the subsidy was not present, using money from the federal coffers to benefit the municipality and private investor. This distorts the allocation of capital investment, reducing the nation’s economic output as investments may flow from activities that yield higher return to those that yield a lower one, simply due to the decreased cost. Restrictions on these private-purpose tax-exempt bonds help to reduce risk of abuse,⁴⁹ but since the measurement of public benefit from these types of bonds can be difficult, the reality of their positive or negative effect on to United States residents as a whole is rightly questioned. The arguments above should show that municipal government officials enjoy their municipal tax-exempt status in areas of purchasing and bonding to the detriment of the U.S. Treasury, and would be against its removal. While the above discussion may suggest that tax-exempting state and local bonds may not be the most efficient or effective public policy for the federal government to undertake, the author predicts municipal officials will be uncomfortable with a change to tax-credits, and be overtly defensive of removing the subsidy entirely.

⁴⁸ The author would like to note that the discussion in this book is, at best, a laymen’s explanation of the concept of taxing governments.

⁴⁹ These restrictions are covered in Sections 141 to 150 of the Internal Revenue Code. A very concrete summary can be found at: Joint Committee on Taxation (Joint Committee on Taxation, 1996, 12-21).

Findings

“[Reform proponents are] looking at this from a bond holder and capital market perspective. It is fair that municipalities borrow money over a longer duration of time and at a lower costs and here’s why: If a corporation goes out and borrows money to build a facility, it is to generate revenue and to make a profit. If we go out and borrow money to repave streets, that doesn’t profit the municipality in any way shape or form. It’s a responsibility for the municipality to maintain the roads in fair conditions so that the residents are safe. So there’s different reasons for borrowing money, that’s why on occasion you will have municipal bonds that are deemed taxable, because the IRS will come in and say “this is a profit generating enterprise, you’re borrowing money to build a golf course which will make money; therefore you will not get the tax-exemption on this.” – Finance Director Tina Smigielski

All respondents acknowledged that the removal of tax-exemption financing would make the prospect of investing in infrastructure more difficult for their municipalities. Finance Director Susan Griffin felt that investors will potentially not buy municipal bonds as a result of the ‘even’ playing ground, believing that if municipalities would have to compete against businesses which could pay in higher rates and offer more glamorous investment opportunities. A municipality’s market offer of low rates and a hum-drum fire station may not be a close rival. As such, she felt that leveling the playing field in the bond market will not *truly* make things fair for everyone; instead it would make municipal bonds less appealing compared to their private sector counterparts, increasing the difficulty that municipalities face finding investors.

Some communities in the sample would be more affected than others. Finance Director Michael Peterson noted that, “Grayslake has no debt” and Mayor Christine Letchinger noted that “[Lake Bluff] doesn’t do a lot of bonds” as compared to the Village of Skokie where Mayor George Van Dusen noted that, “We’re in the midst of building a new Police station, near \$30 million dollars. Essentially the money is going to come from the Village’s bonding authority.” Mark Nannini called the removal of tax-exempt status for municipal bonds devastating. He argued that it would take away municipal bondings’ edge in the market and Mayor Mike Belsky lamented the fact that if this occurred, “[Municipalities] would have to compete with Treasury and Corporate Bonds.” Conversely though, while money may be saved through tax-exemption, Letchinger felt that, “I think what matters more for the investors is [the municipal] bond rating.” So the idea of tax-exempt status as the primary incentive was not held steadfastly by all interview subjects.

Mayor George Van Dusen pointed out that the current events surrounding the national economy proved the value of such tax-exempt status, noting that, “Right now, some of the only building is being done by local governments... If [local governments] didn’t have this type of advantage, we wouldn’t be building.” Further, Finance Director Tina Smigielski feels the building of this type is important since, “With what happened in New Orleans and Minnesota it should be clear that local governments are falling behind in [their responsibility to maintain infrastructure].” She felt that the more difficult and

expensive the federal government makes bonding, the less local governments will do to make safe and sound infrastructure, which could have larger, longer term costs than those saved in the short run from projects not undertaken.

Returning to Mayor George Van Dusen's thoughts on tax-exempt bonding during the economic recession, they do not reflect actual tax-exempt status of municipal bonds, as municipal markets were largely frozen as a result of the credit crisis. Instead, the building he refers to was largely the result of projects using tax-credits (Kruger, 2009, 2). Even still, Mayor Mike Belsky questions the logic of replacing tax-exempt status with tax-credits noting that, "[Municipal bonds subsidized through tax-credits are] getting the federal government involved in state and local government finance. The nice thing about tax-exemption is that the federal government is not taxing or interfering with state and local government finance." Mayor Christine Letchinger also added that, for personal investors, "[Tax-Credits] would have to be means tested."⁵⁰ Credits tend to be good for people at the lower end of the bracket, but not necessarily for those at the higher end of the tax spectrum." Regarding higher income investors use of the tax-credits, she noted that, "The Alternative Minimum Tax is just going to come and smack you."

Conclusions

It is very clear that municipal officials are quite uncomfortable with the prospect of losing the tax-exempt status of their municipal bonds. This is because the amount of new money necessary to collect for the improvements, translates to more politically difficult situations for Mayors and Finance Directors who have to explain the reason for rising costs. Tina Smigielski's point that municipalities do use, and need, tax-exempt bonds correctly is well taken as the varied perspective between big and small municipality's official adds a bit of nuance to the effects of federal financial policies upon the municipal sector considering the constructing and maintaining of various infrastructure. Instances such as the I-35 bridge collapse in Minnesota and Hurricane Katrina in New Orleans really do suggest there may be fewer resources available to municipal governments than are necessary now and, as such; taking away any subsidy would be a risky venture. Of course, this assumes that those municipal officials were distributing infrastructure dollars as they should have and not ignoring these needs to further the economic gain of private activities.

⁵⁰ Top-up benefits are known as means-tested benefits because they're only paid if you have limited income and capital (savings, investments and property that's not your main home). They're paid in addition to other benefits to top up income. Check the External links to see if you or the person you're looking after are entitled to one or more means-tested benefit.

The most interesting question raised during the discussion of the removal of tax-exempt status was whether the leveling of municipal bonds to the rest of the market was, in practice, fair? Susan Griffin suggestion that municipal bonds would suffer from problems resulting from the comparison to private sector bonds – which have a higher appeal⁵¹ – is worth considering. While this suggestion is merely speculation, if true, it would bring new challenges to the municipal sector that has no real experience in competitive bonding. Further, as per Mayor Letchinger's observation on the importance of credit rating, it is likely that this increased competition would affect poorer municipalities than it would richer ones due to their tendency to have lower credit ratings. The result of such an effect would be shown as a municipality, with a lower credit rating, not being able to find funding to replace its dilapidated police station, while a municipality, viewed as a safer investment, finds funding for its swimming pool.

Tax-credits provide an interesting middle-road between the two sides of the debate because saves the federal government money, while costing state and local governments little to none, depending upon the future development of the credit. There are some legitimate concerns on the part of local officials as to whether such a tax-credit would continue onwards into the future or if it would eventually be taken away. Further, Mayor Michael Belsky's point that tax-exempt status keeps federal government out of local government finance is worth considering as tax-credits would require some sort of verification that could be cumbersome. In the event of a consumption tax reform or just the replacement of state and municipal tax-exempt bonding status, proponents of the measure would likely garner state and municipal support by moving to tax credited municipal bonding while also guaranteeing the funding.

H5: Municipal officials will believe the taxation of savings to be a good public policy.

In the United States, Income (I) is conceptually defined – having not been explicitly defined in the 16th amendment – as being made up of Consumption (C) and change in wealth (ΔW). Using the equation $I = C + \Delta W$, this definition has lead to the creation of the federal income tax code. A key difference between the current federal income tax and all three tax reforms presented are that these reforms explicitly remove the change in wealth (ΔW) from the equation. By removing the taxation upon any form of change in wealth (such as dividends and other forms of investment,) the reformed tax code

⁵¹ Due to various incentives that are not included because the public sector is bound by various laws preventing them from 'sweetening' a deal for investors.

becomes a consumption tax. The removal of taxation upon this change in wealth (aka savings⁵²) also would likely increase the amount citizens in the U.S. save. Since no attention is paid to what municipal officials believe is the best national policy on savings taxation, the above hypothesis is nothing more than an educated guess based on the author's familiarity of local government officials.

Findings

“I think that in order to have an intelligent debate on taxation, one has to establish a consensus on what is the role of government and why do we tax people? You know, what are the priorities?” – Mayor Christine Letchinger

There was a diverse response to the question of whether taxation of savings is a good public policy in America that mimicked the current debate at the federal level which would suggest that municipal officials are not making a decision based upon unified experiences, but gain their information from outside sources. Some municipal officials did not think it was a good policy; however a part of this group muted their responses by citing the current economic recession or stating their belief that taxation upon savings was not necessarily similar to those who believe it should be removed completely. Others believed the policy made sense when you considered the variety of tools afforded to savers to avoid taxation.

Those who believed the taxation of savings is a bad public policy without diluting their opinions include, Mayors Kristina Kovarik, Mike Belsky, Finance Directors Michael Peterson, Susan Griffin and Mark Nannini. Mayor Mike Belsky summed up his position simply stating that “One thing that this country really screws up is that they don’t do enough to encourage savings. If you have savings, then you have money to lend out and grow the economy.” However it does seem that the recent financial crisis has had an effect upon the responses as Mayor George Van Dusen said that he supported the policy, “Until last September. I believe you stimulate the economy by encouraging savings. We should be encouraging more savings.”

Those who supported the taxation of savings did so with some caution, muting their responses suggesting that an increase on the taxation of savings would likely not garner much of their support. While Mayor Christine Letchinger felt that there should be less tax on savings, she still supported the policy, stating that, “Eliminating the tax on capital gains, I think, would be a wonderful thing for rich people, and cost the treasury dearly. I’m not saying we should soak the rich, but there is an issue of equity.” Finance Director Tina Smigielski was quick to support the policy, stating that, “There are many different

⁵² Savings is a much generalized term used, and abused, in macroeconomics. The complexities of which are best enumerated by Richard Posner as he describes his conversion to Keynesianism resulting from his first reading of *The General Theory of Employment, Interest, and Money* by John Maynard Keynes (Posner, 2009).

routes to avoid having your money without it being taxed right away. There are enough mechanisms to avoid tax on savings that it really isn't too big of an issue. There are some areas that probably need some changing, but overall the taxation of savings is not a bad thing.”

Conclusions

The author observes a contradiction for those who view the taxation of savings as a bad public policy in America when considering its interaction with tax-exemption of municipal bonds. The most jarring issue is that without the taxation of savings, tax-exempt status for municipal bonds could not exist. The existence of tax-credits would allow for such a stance to make sense, but the hesitating support by municipal officials to support such a change suggests that municipal officials do not make the connection between the taxation of savings in America and tax-exempt status of their municipal bonds.

The author believes this contradiction is more a function of how these officials approach the separate questions, rather than a fully informed opinion. In this way, collected responses of municipal officials show the preferences of an irrational actor. The question concerning municipal bond's tax-exempt status relates predominantly to the official's role in government and/or their professional position, whereas the question concerning savings is perceived through the lens of their personal life and interaction with this federal government policy. If the author's supposition is the case, it would mean that municipal official's personal preferences run afoul of what would be their fully informed professional preferences. This would imply that while municipal officials would fight decisively if the tax-exempt subsidy was threatened with removal, a reform of the same effect would be more successful if it was sold on the idea of eliminating the taxation upon saving in America. However, since municipal interest groups would advocate against the reform, realizing the final effect, a more realistic reform would maintain the substituting of tax-credits on the basis of a responsible federal budget.

H6: There will be considerable differences in the responses between elected and non-elected officials.

An interesting aspect of this study includes the collection of separate responses between two different stakeholders in municipal management to draw conclusions on the results of federal income tax reform as it relates to municipalities. In social science studies involving different actors, it is important to develop an understanding of the differing mindsets so as to predict how they may react differently to a problems they are put into. This study offers an interesting dynamic, as the two

actors, while working together, may exhibit different goals and tendencies. Due to this dynamic, the resulting decisions may end up nuanced, overly process oriented, or completed under broad strokes. The appropriateness of these differing approaches being entirely dependent upon the problem they were created to address.

Finance Directors are most adeptly in tune with how their municipality's finances work and how changes made outside the local government's control of influences their finances. Generally these individuals look more for financial stability in the long term while hoping to cut costs efficiently over time. Generally having previous experience as a public servant at the municipal level, they are more aware of directives that could make municipal responsibilities more difficult and as such, are usually more adept at seeing long-term consequences of immediate changes.

Mayors are generally familiar with the finances of their municipality but actually possess the power to make decisions and establish directives that change how a municipality acts and functions in conjunction with other communities, as opposed to just advising in these actions. These individuals – with the exception of previous government service or prolonged incumbency – are more likely to view their prerogatives in the short term and as a result they sometimes make hasty decisions that may not benefit their municipality in the long term nor conduct operations appropriately as determined by those trained in the municipal management profession. This is not necessarily a negative attribute as these actors also bring substantial change to the operation of the municipalities that might very well need them. These individuals will be much more protective of their 'turf' in the creation of local policy, believing that they maintain the right to be the major player within their municipality, and that those generally considered outsiders,⁵³ should have very little say or inducement upon their municipality's operations.

H6Sub1: Mayors will agree and Finance Directors will disagree that the Home Mortgage Interest and Charitable Contribution Deductions are an American Institution not worth giving up for a pure consumption tax.

Of what Christopher Howard, author of *The Hidden Welfare State*, calls the Holy Trinity of U.S. social programs, only the removal of the Home Mortgage Interest Deduction (HMID) would arguably change the bottom line of a typical municipality. The deduction's supporters claim that the policy has encouraged home ownership and the improvement of the public good across the nation, resulting in America's high homeownership and charitable contributions rate over time.

If municipal officials were to accept the above logic of the HMID contributing to home ownership in their communities, it would reasonably follow they should support the HMID as it has encouraged renters to become home

⁵³ In the case of this paper, the federal government.

owners, diversifying municipal tax-base contributors,⁵⁴ and encouraging resident participation/buy-in with developing good and targeted local government services. Since owning a home has traditionally been cheaper in the suburbs, the move away from cities and into more rural areas with the additional help of the HMID should be perceived as aiding the suburban municipality's stability and bottom line. Success of this public incentive has resulted in what is now known as 'suburban sprawl,' arguably generating jobs and political opportunities for the interview subjects in particular. Thus, any threat to what officials might deem as essential to their place in society would be protected for that purpose of maintaining the status quo, over the acceptance that the effectiveness of the HMID, is heavily debated.

When first introduced in 1913, the HMID was only part of a collection of deductions allowable under the premise that all interest would be deductible, and was not perceived as a stepping stone to aid the middle class in owning homes. Interest was deductible because in America at the time, housing was usually bought with cash. This meant any sort of interest incurred, was generally a business expense. Significant research exists to suggest that the surge in homeownership starting in the 1950's and onward was actually due to the advent of credit, and even further by the credit card in the 1970's (Lowenstein, 2006). Thus, the HMID may be more appropriately viewed as aiding the purchase of *larger* houses, propping up the real estate market. James Poterba expresses the difference between the intended use of the HMID and the practical abuse of it. He argues that the HMID's intended use is when someone invests for profit such as can be seen under a typical 30-year mortgage, which is good. However, when money is invested to take advantage of the tax break, the HMID functions to subvert a standard canon of economics which suggests that money spent on what normally would be perceived as a lesser need, which has temporarily been moved higher due to a situation, such as a housing investment for the purposes of a deduction; or a broken window, as famously argued on the next page. The investment of money into what would, under normal circumstances, be a secondary investment results in capital being diverted from its best use and the economy suffers as a result. Roger Lowenstein describes a situation where "capital being plowed into McMansions with Olympic-sized lap pools would earn a higher return to the American economy in medical research donations or starting a personal business (Lowenstein, 2006)."

⁵⁴ Property taxes coming from multiple individual land owners as compared to a more select group of land lords that can develop overtime in areas of increased transient populations like renters.

Parable of the Broken Window

Have you ever witnessed the anger of the good shopkeeper, James Goodfellow, when his careless son happened to break a pane of glass? If you have been present at such a scene, you will most assuredly bear witness to the fact, that every one of the spectators, were there even thirty of them, by common consent apparently, offered the unfortunate owner this invariable consolation—"It is an ill wind that blows nobody good. Everybody must live, and what would become of the glaziers if panes of glass were never broken?"

Now, this form of condolence contains an entire theory, which it will be well to show up in this simple case, seeing that it is precisely the same as that which, unhappily, regulates the greater part of our economical institutions.

Suppose it cost six francs to repair the damage, and you say that the accident brings six francs to the glazier's trade—that it encourages that trade to the amount of six francs—I grant it; I have not a word to say against it; you reason justly. The glazier comes, performs his task, receives his six francs, rubs his hands, and, in his heart, blesses the careless child. All this is that which is seen.

But if, on the other hand, you come to the conclusion, as is too often the case, that it is a good thing to break windows, that it causes money to circulate, and that the encouragement of industry in general will be the result of it, you will oblige me to call out, "Stop there! Your theory is confined to that which is seen; it takes no account of that which is not seen."

It is not seen that as our shopkeeper has spent six francs upon one thing, he cannot spend them upon another. It is not seen that if he had not had a window to replace, he would, perhaps, have replaced his old shoes, or added another book to his library. In short, he would have employed his six francs in some way, which this accident has prevented.

- Frédéric Bastiat (1801-1850)

In 2005, former Senator Connie Mack and a panel of bi-partisan experts were called to construct a tax reform comparable to Reagan's effort in 1986. In considering the HMID, it decided that there was no link between individuals deciding to buy a home and the deduction (Presidential Advisory Panel on Federal Tax Reform, 2005). Further, Nicolas Sarkozy's effort to institute the HMID in France was found to be unconstitutional because, "the laws stated purpose was to help people who are not yet homeowners by providing an incentive to buy, giving the deduction to existing homeowners, and extending it indefinitely into the future, was a "disproportionate tax advantage compared to its objective (Henchman, France's Highest Court Strikes Down Mortgage Interest Deduction, 2007)."

Lowenstein argues that if the federal government wanted to increase homeownership, they would have to do something so that renters become owners. But just over two-thirds of all taxpayers, don't itemize their deductions, generally because they don't earn enough and simply take the standard deduction. Official estimates in 2008 placed rates of homeownership at around 67.8 % (U.S. Census Bureau, 2008) and it is popularly believed that only 1/3 of tax payers actually complete the procedure that would allow them the option of attaining the HMID, so there is reason to be skeptical as whether a correlation exists between homeownership and the HMID. The impressive amount of the deduction estimated

to be \$67.0, \$80.1, \$89.4, \$99.8, and \$107.3 billion dollars between the years of 2008 and 2012 (Joint Committee on Taxation, 2008, 51) along with its bipartisan support make any attempt at removing the write-off a particularly hard-sell to any group of individuals (Lowenstein, 2006).

The charitable contribution deduction is similarly disapproved of by consumption tax reformers. Hall and Rabushka found that a little over half of the amount of money given to charities was deducted from the federal income tax (Hall & Rabushka, 2007, 149) which they suggest means the charitable contributions are not necessarily linked to the deduction. They conclude that, “We do not believe that current tax incentives are a major part of why people, apart from the very rich, contribute to community, religious, and other organizations. Almost half of all contributions are made by people who take the standard deduction and thus do not benefit from an itemized deduction for charitable contributions (Hall & Rabushka, 2007, 157).” Flat Tax proponents are not alone, as the authors of the FairTax point out evidence that would seem to contradict the idea that the charitable contribution deduction aids charities, stating that, “In 1980 the top marginal tax rate was 70 percent. That means that every dollar at the margin that was contributed to charity reduced the donor’s taxes by 70 cents. Just 30 cents came out of his pocket. We gave \$40 billion to charities that year. By 1988, we had dramatically reduced the top marginal tax to 28 percent, thus reducing the value of charitable contributions. We gave nearly \$200 billion to charities that year (Boortz & Linder, 2005, 164).”

The general populace’s opposition to the removal of the charitable contributions deduction would likely be strong as was demonstrated when President Barack Obama’s proposed to just reduce the amount of charitable contributions which could be deducted from the federal income tax (Perry, 2009) (Faler, 2009) (Furchtgott-Roth, 2009). The removal of the Charitable Contributions Deduction would almost certainly decrease the amount of charitable contributions experienced in the United States. While charities would not experience a drop to zero donations, “allowing taxpayers to deduct contributions is economically inefficient because it results in a large subsidy (a loss in federal revenue) for a very small increase in charitable giving (Congressional Budget Office, 2009, 193).” This gain in economic efficiency comes at a cost though, as some charitable organizations provide supportive services that might be outside the role of government to provide. Typically charities provide what the author would deem as local-centric and national-centric services. Local-centric services include food pantries, legal services, and medical care, whereas more national-centric based services include lobbying, education, public art organizations, and labour unions. A central question that needs to be explored is whether

municipal officials feel their operations would be threatened vicariously⁵⁵ by the removal of some funding through the charitable contributions deduction, or if they believe the reduction in contributions would take place to more national-centric service charities.

Generally home owners and active charitable contributors themselves, elected officials and Finance Directors are pre-disposed to savings from the HMID and might understand the political importance of the charitable contributions deduction. As a result, support amongst these individuals may be biased towards their personal situations over their professional obligations to the community they serve. Due to the complex economic and financial arguments against the removal of the HMID and charitable contributions deduction, the author suspects that elected officials will unanimously support the deductions, while Finance Directors will support the financial reasoning behind elimination of the HMID and charitable contributions deduction from the federal income tax.

Findings

“Meaningless to local government.” – Mayor Kristina Kovarik

“I do support them. I think they’re very important. We have very high end homes here, so people have pretty high mortgages, paying a lot of interest. And I just think that one of the things economists of the past have always overlooked until recently is how emotion plays into what residents do.” - Finance Director Susan Griffin

Mayor Kristina Kovarik felt that, “The HMID is there to promote home ownership, and what we’ve found out is that not everyone should own a home,” while Finance Director Michael Peterson felt that the deductions did not really affect Grayslake. There were differing opinions however; Mayor George Van Dusen argued that, “The mortgage interest deduction is part of buying homes and keeping the suburban municipality’s middle class.” Mayor Michael Belsky noted that a recent debate within his community concerning affordable housing had a significant amount to do with the HMID in the grand scheme of government subsidies, noting that, “If residents don’t want or support affordable housing, they shouldn’t take the HMID as it is the biggest affordable housing program around.”

From the charitable contributions standpoint, Mayor Kristina Kovarik noted that it affects her personal decisions on who to donate to, stating that, “There are certain charities I support and I’m going to support them no matter what, but there are others I give to because I know I can use it on my taxes.” Further support was felt for the contributions by most other

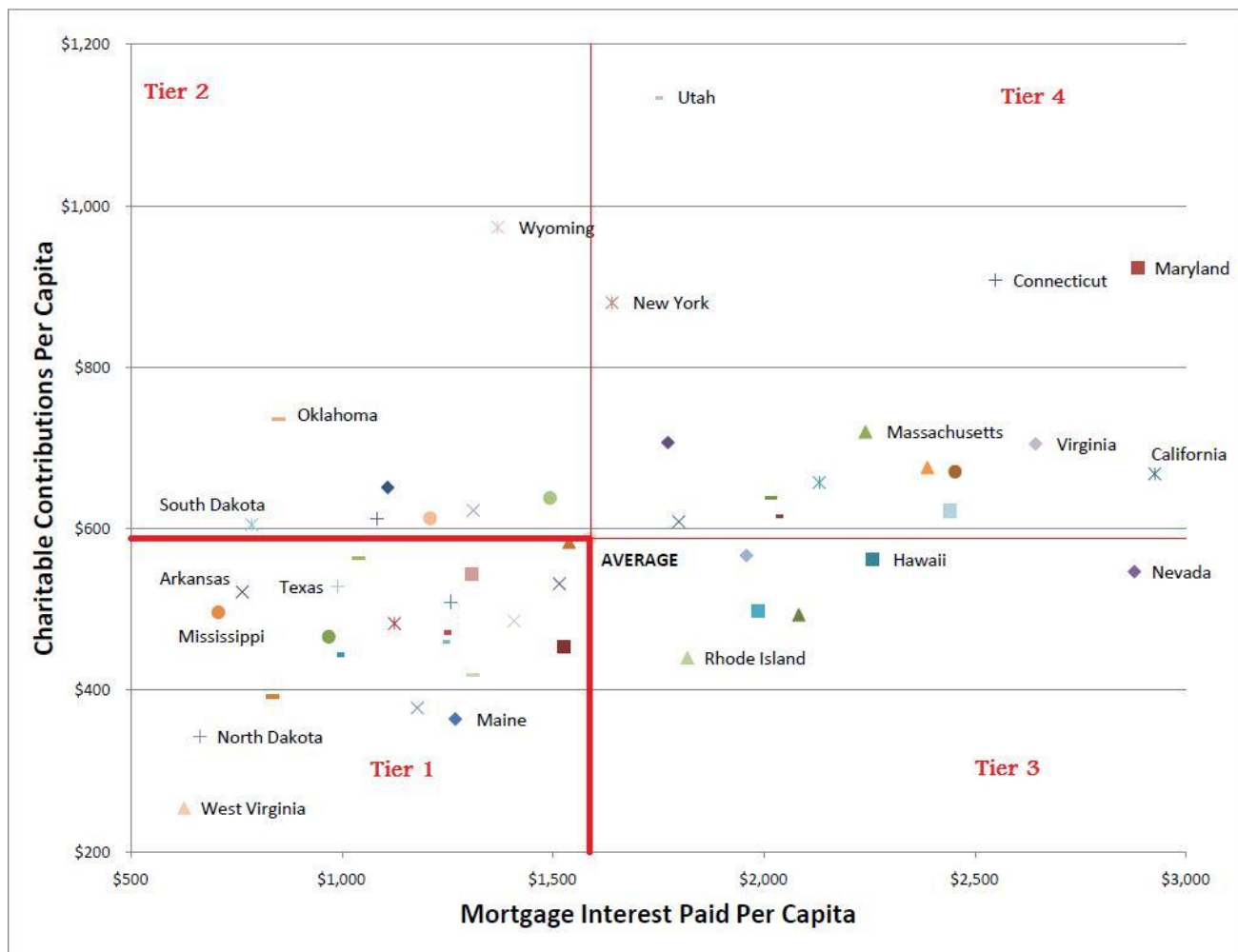
⁵⁵ Supposing that, in the absence of services available, residents turn to local governments as one option to help provide services not available since less funding has dried up their availability in the non-profit sector the constituents reside in.

interview subjects, as Mayor George Van Dusen argued, “[Charitable contributions] are very important. There are three instances: With the economy as it is right now, the food pantry at the township has its clientele up one-third to one-half, the Village has an adopt a family program, United Way is in every suburban municipality, helping to fund not-for profit philanthropies. If we didn’t have these philanthropies, [the services] would fall back on government to do.” As for why these organizations are important, Mayor Michael Belsky stated, “Charitable contributions provide for critical services that government can, would, or should not have any interest in providing effectively.”

Mayor Christine Letchinger argued against both deductions, although she maintained they were important, stating that, “From a fairness of taxation [standpoint], I think it makes sense to eliminate them. They distort the market.” She pointed out that there are plenty of donations in Europe without the deduction, and that citizens there do not have a home mortgage interest deduction, but they still own homes at a relatively high rate.

Conclusions

Overall, there does not appear to be a relation between what types of municipal official the interview subject was in determining whether they found the HMID or charitable contributions deduction important to the operation of their municipality. There was a varied response, and it would appear that municipal reactions to the removal of the two deductions would be very hard to predict, and be completely dependent upon the actors involved in each municipality along with their constituencies. Because there is very little evidence to suggest what municipalities will do in reaction to the elimination of these deductions, the author has prepared the following graph:



Sources:⁵⁶ (IRS, Statistics of Income Division, Individual Master File System, 2009) (U.S. Census Bureau, 2009)

The numbers used is based on per capita *expenditure* upon reported mortgage interest payments and charitable contributions, *not* the amount of money that residents receive from the federal government. There are no states where charitable contributions per capita is more than mortgage interest paid per capita, so it is important to note that most states will favor aiding their housing sector over their non-profit sector unless the difference between the two expenditures is very low.⁵⁷ The above graph shows that different states will feel the impact of the removal of these deductions differently. For example West Virginia (Mortgage Interest Paid Per Capita \$625, Charitable Contributions Per Capita \$254) will be significantly less effected because of the change than will Maryland (Mortgage Interest Paid Per Capita \$2,884, Charitable Contributions Per Capita \$924). While all states will suffer from the removal of this federal subsidy, the author predicts their reactions will be determined by the four tiered system below.

⁵⁶ For the data used to construct this graph, please view appendix G.

⁵⁷ Wyoming, Mississippi, South Dakota, Utah, and Arkansas are good examples of where this may be the case.

Tier 1 states⁵⁸ and their local governments would pass very few, if any, laws to help its residents adjust to the existence of living without the HMID and charitable contributions deduction. Without much expenditures of this type in comparison to the rest of the country, their economies and standard of living would not suffer as greatly in comparison to other states. Of course, this does not suggest that this ‘reaction-by-comparison’ would hold and that the wealthier, more dense regions in these states may push for state-wide subsidization of these costs, although the author believes this push will be much stronger in the other tiers by comparison.

Tier 2 states⁵⁹ and their local governments would pass laws to help residents deal with the impact of the removal of charitable contributions, however may be less pressed to make adjustments to how their state deals with the loss of the HMID. It is possible that the public sector may experience an incorporation of non-profit services, such as food pantries or housing for the homeless that are not able to support themselves. Wyoming and Oklahoma are two states where this is could occur, as other states in Tier 2 as they represent the true outlier in the group.

Tier 3 states⁶⁰ and their local governments would most likely pass laws helping residents deal with making their home mortgage payments as, along with the currently difficult economy, the removal of the HMID makes it more expensive for individuals to keep up with payments. These actions would take priority over correcting any problems seen in the non-profit sector as the amount of money taken away from states in this tier is usually three times more expensive than that of currently realized charitable contributions, and five times the amount in the most extreme case (Nevada.)

Tier 4 states⁶¹ and their local governments would most likely pass laws and programs protecting individuals exposed to problems seen through the removal of the HMID and charitable contributions deduction. While some states (California & Virginia) may be more predisposed to passing laws and programs to protect individuals used to the HMID, others (Utah & New York) will find a good amount of their focus being used to aid charities. Despite internal differences within the tier, these states will be the hardest hit by the removal of the two federal income tax deductions.

The removal of the HMID would be particularly difficult for residents to deal with on a personal level. Municipal officials operating in middle-to-upper class areas will probably notice this change via political pressure to reduce local expenditures to compensate the increased federal income tax liability. It would be hard to prove that this removal would

⁵⁸ Alaska, Arkansas, Idaho, Indiana, Iowa, Kentucky, Louisiana, Maine, Michigan, Mississippi, Missouri, Montana, Nebraska, New Mexico, North Dakota, Ohio, Pennsylvania, Texas, Vermont, West Virginia, & Wisconsin

⁵⁹ Alabama, Kansas, North Carolina, Oklahoma, South Carolina, South Dakota, Tennessee, & Wyoming

⁶⁰ Arizona, Hawaii, Nevada, New Hampshire, Oregon, & Rhode Island

⁶¹ California, Colorado, Connecticut, Delaware, Florida, Georgia, Illinois, Maryland, Massachusetts, Minnesota, New Jersey, New York, Utah, Virginia, & Washington

force residents to move immediately, but over time the results of the HMID's removal may see a decrease in the expansion of suburbs around major cities along with the increased expectations of homebuyers. Current inter-suburb migration patterns may also be affected as housing is not immediately available to potential homebuyers as the market stabilizes from the removal of a major federal subsidy. While economists might speculate the return to the previous flow of residential decisions, previous decisions by municipal governments meant to keep out undesirable residents through the use of 'snob zoning' might adversely affect the communities they were enacted to 'protect' through large lot sizes and floor areas (Morgan, England, & Pelissero, 2006, 134).

While Mayor Michael Belsky's point that charitable contributions help fund services that the government "can, would, or should not have any interest in providing effectively," the removal of the charitable contributions deduction might change this perspective as local governments see community provision for these services shrink. This does assume that local-centric or national-centric services suffer as Mayor Kovarik's point that, "There are certain charities I support and I'm going to support them no matter what, but there are others I give to because I know I can use it on my taxes" suggests a better understanding of these premier vs. second-rate charities would be essential to begin to guess how the removal of the charitable contributions deduction would begin to affect local governments. While the dismissal by officials of the importance of the charitable contributions deduction may indicate that it is nationally-centric charities that will suffer, there is no real guarantee of this, and like the removal of the HMID, the final results of the change are ultimately unpredictable.

The key difference between the HMID and charitable contributions deduction is that prices for housing will level out and eventually a stable market will resume, whereas the removal of the charitable contributions deduction would remove funding from the non-profit sector they might not realize in the future. So while local government tax bases would probably become stable over time, whatever losses the non-profit sector finds itself experiencing will result in a reduction of services that will not likely be replaced barring some advance in technology or consolidation with government. In this way, the initial shock of the HMID's removal will be the item of interest to local governments; it may actually be the charitable contributions deduction's removal that more drastically affects our current understanding of what local government should be responsible for.

H6Sub2: Finance Directors will believe the significant fiscal pressure caused by a consumption tax implementation will give rise to regionalism; whereas Elected Officials will believe that it will result in a decrease in services and personnel levels.

The study of regionalism, or the collective governing of metropolitan regions between local governments, is a recent development in municipal studies that has gained substantial support from practitioners and scholars as a way to cut costs and improve services. These regionalist opportunities provide another option to the ever increasing financial pressures faced by local governments. David Miller defines four separate types of regionalism in *The Regional Governing of Metropolitan America*. These four separate approaches are Coordinating, Administrative, Fiscal, and Structural. For the purposes of his definitions, Miller notes four qualifications (Miller, 2002, 102):

1. **There are a series of impulses that affect whether a region responds in a centralized or decentralized manner to issues confronting the region that Miller only passing considers based on previously established variables (Foster, 1997).**
2. **No qualitative assessments of these forms of regionalism are discussed.**
3. **Does not deal extensively with the role that state and federal governments play in coercing regional cooperation between local governments.**
4. **There is no consensus on whether regional provision of local government services is a positive move. Some have argued that the municipal separations between metropolitan America has developed remarkably sophisticated and appropriate answers to transportation, land use, and spillover problems (Friesma, 1971), but others see important policy issues left unresolved (Berg & Kantor, 1996).**

The third note is especially important as the removal of tax-exempt status for municipal bonds and the state and local tax, home mortgage interest, and charitable contributions deduction all contribute to increased financial pressure on local governments. The removal of these subsidies – barring the creation of anything to replace them – will create pressure towards new regional governance to help offset costs. The following is a look at the four aforementioned types of regional governments and an examination of how increased fiscal pressure may promote or detract from each one.

Coordinating regionalism, “Deals with the integrated planning of the region as a whole and the consistency of separate municipal strategic plans to the strategic plan of the region (Miller, 2002, 101).” This type of regionalism involves the cooperation between planning agencies in municipal governments for better development that serves the region as a whole. This rationally based cooperation occurs with varying levels of authority depending on the amount of power the local governments grant the regional organization. Miller defines four levels of granted authority: ad hoc, advisory, supervisory, and authoritative. In ad hoc regions, local governments work together on specific land issues. While these governments might have a governing council, they will not maintain a written plan of development for the region. This ad hoc level of authority is most common for metropolitan regions as they are used primarily as a forum for discussion, but not active planning. Advisory regions are much like ad hoc regions, with the exception that they maintain formalized regional plans,

however they also lack any means to implement these plans outside the independent adherence to the plan by local governments. Miller uses Denver, Colorado⁶² as an example; written in 2002, this classification may be outdated and the author believes a better example would be the Northwestern Municipal Conference of northern Chicagoland suburbs.⁶³ Supervisory regions have a ‘regional body’ that are granted the responsibility of administering the prescribed regional plan. While implementation of regional policies still occurs at the local level, it is the regional institution’s responsibility to report on the cooperation of local governments and progress toward the regional plan. Miller uses San Diego, California⁶⁴ as an example. Authoritative regions have been labeled unique due to the distancing between the regional and local governments. While these regions have a plan and regional body, they also have statutory authority to implement the regional plan and require compliance from their local governments. These governments may be led by elected or appointed individuals with experience outside the sphere of local governments they are elected to lead. Miller lists Portland, Oregon⁶⁵ and Minneapolis/St. Paul, Minnesota⁶⁶ as examples (Miller, 2002, 105). Coordinating regionalism may prosper resulting from increased financial pressures experienced through consumption tax reform; however it is probable that it will only do so if and when local governments realize the value of such collaboration, or states create statutory regional governments to oversee such development. This type of change would be wholly dependent upon the political actors in each region or state though; for example, the State of Illinois would be hard pressed politically to pass a coordinating regional government acting in an authoritative capacity over the Chicagoland region simply due to the power of self-determination the city of Chicago holds in relation to the state government.

Administrative regionalism, which Miller, as of 2002, believed was the most prevalent, “comes in two primary forms – the functional transfer of services from municipal governments to either special districts or to county governments and the day-to-day negotiations between all types of local governments that led to a myriad of cooperation agreements at an operational level between those governments (Miller, 2002, 101).” This is currently the most visible form of regionalism as it can take shape in the form of a multiple-municipality library or park districts, county control over what used to be municipal responsibilities, and/or mutual agreement to pool resources between municipalities so as to achieve economies of scale. It is however not a catch-all solution to increased expenditures as some counties are not capable of providing regionalized services at cheaper rates than municipalities due to a small population density comingled with little demand for

⁶² Denver Regional Council of Governments: <http://www.drcog.org/>

⁶³ Northwestern Municipal Conference: <http://www.nwmc-cog.org>

⁶⁴ San Diego Association of Governments: <http://www.sandag.org/>

⁶⁵ Metro: <http://www.metro-region.org/>

⁶⁶ Metropolitan Council: <http://www.metrocouncil.org/>

services. It is probable that this type of regional cooperation will remain linked to macroeconomic forces that consumption tax proponents expect to occur resulting of their proposals, which would increase demands for services. While it is outside the scope of this paper and the qualifications of the author to suggest that the reforms would result in a rising tide to lift all boats, increased economic performance would probably result in a demand for better municipal services. A great example of this demand and its precipitous decline during the shift between perceived positive economic times into a recession, is the movement for local governments to provide wireless internet to its residents, ‘free’ of charge (Opsahl, 2009). Despite the example’s development being a primarily internal municipal creation, it is a good example of how increased economic performance pressures municipal government to increase the scope of their services. Further, it is important to note how these pressures towards administrative regionalism occur predominantly between the ‘haves’ of municipal government, not the haves and have-nots. It is hard to determine then how reforms would affect municipal practice as increased financial pressure would actually make this type of regionalism less popular, but better macroeconomic performance will increase demand for municipal services. The author believes the decrease in subsidies from the federal income tax will result in a small up-tick in this form of regionalism as local officials from ‘have’ communities realize the value of working together, however the increased financial pressure will limit these opportunities to ‘have-not’ communities unwilling to take on perceived risks for their similarly situated neighbors. It is probably that only when forced upon them through state or federal policy would ‘have-not’ communities become regular practitioners of this type of regionalism.

Fiscal regionalism “Represents a set of cooperative strategies that recognizes the governmental structure of the existing configuration of local governments but creates metropolitan regional funding mechanisms for a wide variety of public purposes. As such, they are relatively recent innovations in metropolitan cooperation. There are three (shortened to two by the author) broad types of fiscal regionalism: cultural asset districts [and] tax and revenue sharing programs (Miller, 2002, 101).” Cultural asset districts revolve around the idea that while the central city maintains a significant amount of activities – zoos and art museums for example – that have traditionally been free of charge or heavily discounted. However, an increasing amount of their users come from outside these organizations’s tax base due to ease of travel. Given financial pressure on special districts that provide these services, it is likely that more culture asset districts will develop to recoup needed revenue, or come up with innovative ways of collecting it on site. Tax and revenue sharing programs operate from a similar perspective; believing that citizens within a region should share the sales and property tax benefits of that region since it is their collective efforts and shopping choices that aid the region’s development. Unfortunately, despite their success, this progressive regional thinking might suffer from the removal of the federal subsidies as the areas they exist in –

Minneapolis/St. Paul, Minnesota, Meadowlands Area in New Jersey, Montgomery County, Ohio, Allegheny County, Pennsylvania – are all fairly dense urban regions that will be hit with the removal of the federal income tax’s subsidies. To suggest that similar areas, newly burdened with a lack of funding, will seek to share revenues⁶⁷ suggests friendlier inter-municipal relations than the author is aware of. While fiscal regionalism has a strong chance at becoming a dominant regional force in the future, it will not be through a collective agreement, but rather the clever segregation of services between those who pay for them and those who do not.

Structural regionalism, “deals with changing boundaries of one or more existing units of local government. There are [two] types of structural regionalism: annexation... and mergers/consolidations (Miller, 2002)” and these types of regionalism is generally controversial. Annexation is the incorporation of a municipality or unincorporated area, into another municipality. Historically, annexation has happened in two major waves and has already slowed down significantly, leaving most major municipal boundaries similar to what they were around 1980. The advent of a consumption tax will most probably have little effect on annexation practices as most major cities that would incorporate have been hemmed in with laws passed preventing them from incorporating suburbs that surround them. Mergers and consolidations are viewed as predominantly a relic of the past during an imperial time of development and some states have very strict and difficult laws preventing mergers and consolidations that would occur without the consent of the dissolving or absorbing municipality.

In *American Metro Politics: The New Suburban Reality*, Myron Orfield illuminates the problems experienced by some of the less fortunate communities which should consider mergers or consolidation as he believes the relative disparities between local governments are caused by fragmentation between different locales, not just within them.

“Communities with copious tax resources have low tax rates and great services. Resource-poor communities have just the opposite. Why is this? Think of it this way: if community tax wealth per household is \$100, a 10 percent tax rate raises \$10 per household for services; if tax wealth is \$1,000 per household, the same rate raises \$100. No matter how smart administrators are, and no matter how much reorganization they do (and all governments should constantly seek economy and efficiency)—even if they hire Bill Gates to run their city—they cannot avoid this basic math (Orfield, 2002, 16).”

In his comparison of highly populated regions, Orfield found that the top 5 percent of the twenty-five largest Metropolitan areas can generate anywhere from 3 to 31 times the amount of revenue of a municipality of the lowest 5 percent when all apply the same tax rates (Orfield, 2002, 56-57).⁶⁸ One threat to the validity of this paper is that most of the interviewed municipalities are from the northern suburbs of Chicago, and as Orfield notes, “In Chicago, most of the lower-capacity suburbs are in the south and east, with higher capacities in the west and north (Orfield, 2002, 20).” In a very

⁶⁷ Even if it is future/unrealized earnings as Miller suggests is the best approach for this form of regionalism.

⁶⁸ Note: Chicago’s ratio was 11.9. However, this data was collected in 1998.

Tiebout fashion, Orfield argues that “What does it mean when schools are socially poor and local resources are meager and declining? It means that the community is implying to prospective home buyers and new businesses, “Please come here. We have high and growing school poverty. We can tax you at a comparatively high rate and spend comparatively little on you.” This claim is not likely to persuade a person or a business to locate there (Orfield, 2002, 16).” The author believes that a result of consumption tax reform will be the increased usage of structural regionalism to make newly precarious municipalities soluble as the reforms may change the calculation of these communities’ feasible continuance.

One problem that can be perceived throughout this paper is the increased costs that local government officials foresee from the implementation of a consumption tax in place of the federal income tax. Throughout, it is apparent that local officials lament the challenges associated with increased costs and understandably express concerns with continuing operations under current conditions. This would not be primarily due to lack of ability of the local governments to generate revenue, but instead the increased focus, from residents, to pressure government officials to reduce costs. Conditions on the local level would change if a consumption tax was implemented and one avenue of change would force municipalities to incorporate with each other. Why then, would Finance Directors come to the conclusion of regionalism, and Mayors come to the conclusion of a reduction in services? And why does it matter in the context of Orfield and other regionalism advocates?

Arguably, the result of differing preferences would demonstrate the different goals of each position in a municipality. Finance Directors are trained in accounting methods and seeking economies of scale where they serve to better the financial position of their municipality. In the case of a consumption tax reform, this would be served by the various types of regionalism. Conversely, while Mayors might perceive the need for such changes, they may be less willing to cede ground as the resulting effect – the possible elimination their jobs – would limit their support.

Findings

“Everyone needs a mechanic. We have a mechanic, the park district has a mechanic, and the schools have a mechanic. And you know, shit don’t break as much as it used to, so do we need three mechanics? But to really look at this you need to do an analysis of each taxing entity and its structure. And then, you have to know everybody’s structure so you can actually see the opportunities for savings.” – Mayor Christine Letchinger

“Being the middleman [for water service,] it would look like if CLCJAWA billed us, then they would get 100%. We on the other hand have 1 or 2 percent who will cheat us out of the money, so we’ve already remitted this tax, while we’re not going to collect any of it. So we’re kind of stuck in the middle holding the bag.” – Finance Director Michael Peterson

Mayor Kristina Kovarik suggested that the savings would likely not be found in a reduction of services as, “It’s the third rail of a politician is to reduce services: Do you want to wait four minutes for an ambulance instead of three?” She continues stating municipal government’s dilemma, “The residents are demanding more and more services, but they don’t want to pay for it” so; she reasons that, “The only way to do that is to seek economies of scale.” Finance Director Susan Griffin thought that an eventual reduction of services would be unavoidable though; however this point was conjoined with her support for more regionalized services stating that in the end it would be up to the residents to decide.

Both Mayors and Finance Directors were conclusive on the idea of merging municipalities to gain economies of scale, noting that, particularly in Illinois, it would not happen. Mayor George Van Dusen explains that, “You would have a revolt if you tried to merge Skokie with Evanston.^[69] People look at Evanston and say, “their property taxes are too high.” Evanston will look at Skokie and say, “You don’t have the social services that we do.” I don’t see any circumstances where you will see units merging. You might find suburban municipalities incorporating libraries or park districts. But it would have to be tremendous fiscal pressure.” Mayor Christine Letchinger agrees, saying that, “Psychologically, a lot of people are not ready for [mergers.]” Finance Director Mark Nannini suggested that it could also be a symptom of the area as, “Regionalism isn’t big in Illinois, not as a trend or an acceptable practice.” This view was supported by others interviewed. So then, where will the savings come from in the case of a consumption tax reform?

Interviews seem to suggest the combining of different governmental units along with regional cooperation as the immediate answer to increased fiscal pressure. Mayor George Van Dusen explains that, “The Village of Skokie has five school districts for roughly 70,000 [people.] Does it make sense to have five school districts? There have been attempts to merge these districts via referendum, but they never pass.” Indeed, this is a peculiarity about Illinois as the state maintains a significantly larger amount of local governments (6,994) than the next closest state of Pennsylvania: 4,871. One theory is that Illinois residents prefer this fragmentation because it provides better services targeted towards the relevant constituents. Finance Director Tina Smigielski thought savings could come from more information based costs, stating that, “Pensions as an example, [police] and fire are managed locally, but [non-union employees] through IMRF. Perhaps this would change?”

But it is also possible that the implementation of a new consumption tax system might hurt regional cooperation already underway. Most of the municipalities interviewed for this paper participate in a water sharing organization called the Central Lake County Joint Action Water Association (CLCJAWA) which is a unique intergovernmental cooperative that owns and operates a completely independent water system, freeing the member communities of the need to either purchase

⁶⁹ A neighboring community.

water from neighboring communities or to rely on dwindling groundwater supplies. With the taxation of local government, communities who already collect money for water disbursed would remit taxes collected from residents to CLCJAWA, who would then remit it to the states for processing. Finance Director Michael Peterson noted a problem with this middleman status for municipal governments in the quote above. As such, “The FairTax might actually hurt such current regional activities as intermediary governments.”

Mayor Christine Letchinger notes that, “What you do not see, and we’re trying to do this, is shared services between communities. Every bloody community has a fire department, garbage department, or privatization. What I see in Europe is they’ll have a garbage consortium with seven municipalities. Somebody decides to build a pool; it’s a pool for seven municipalities. So instead of having this form of government that is very itemized, they are trying to regroup it into regions.” The problem that Letchinger sees though is not with the ability of municipalities to do this, nor necessarily any financial pressure, “In order for this to happen, you need to have new managers and political officials who are not entrenched. If a director of Finance quits, could another Finance Director from a different government take over the responsibilities? For a fee? In order for this to happen there needs to be a change in psychology.” Here she raises a French saying ‘Querelle de Cloche’ which translates into “church bell tower conflicts.” She described it saying, “If you look at the French country landscape, you can literally see a village here with 400 people and another village here with 300 people; and people will say, “Oh, I’m not from A, I’m from B!” and there’s like five kilometer’s difference. It’s fiefdom.” Letchinger believes that, in American local government practice, it is *this* fractioning that prevents regionalism efforts around the country.

Conclusions

The responses do not seem to indicate any difference in opinion between officials based upon their role within municipal government. If there is a trend in the responses to discover though, it is that municipal officials believe the real savings to local governments would be found through the regionalization of *other* local governments, not municipalities. But does this trend of responses make real sense considering other stakeholders in the local government system?

In Chapter five of his book, Orfield makes the case for federal and state action – Federal Aid, State Aid, Tax-Base Sharing, and an Agenda for Tax Reform (Orfield, 2002, 101-110) – as the solution to the various problems he lays out. While Orfield’s research is solid and disconcerting, the author believes his roadmap to a solution is wrong. How exactly would someone expect a law, voted on entirely by elected officials, to pass whatever elected state and federal bodies that’s

effect is to eliminate a large amount of local political players which the voting elected officials base their power and connections? Further, this sort of regionalism practice, at least on state level, and perhaps eventually on the national level, may see the position of Mayor, grow in stature and power comparable to today's Richard Daley and Michael Bloomberg. From a state or national politician's perspective, exactly where is the political logic in removing the power of your many local contacts and creating more competitors in the market for state or federal office that you are already interested in?⁷⁰ Because of this, the author believes that while regionalism is a proper solution to some local government inefficiencies, the solution may not lie in federal and state government aid, acts, or a social rethinking of the problem; instead they might lie in the federal income tax code.

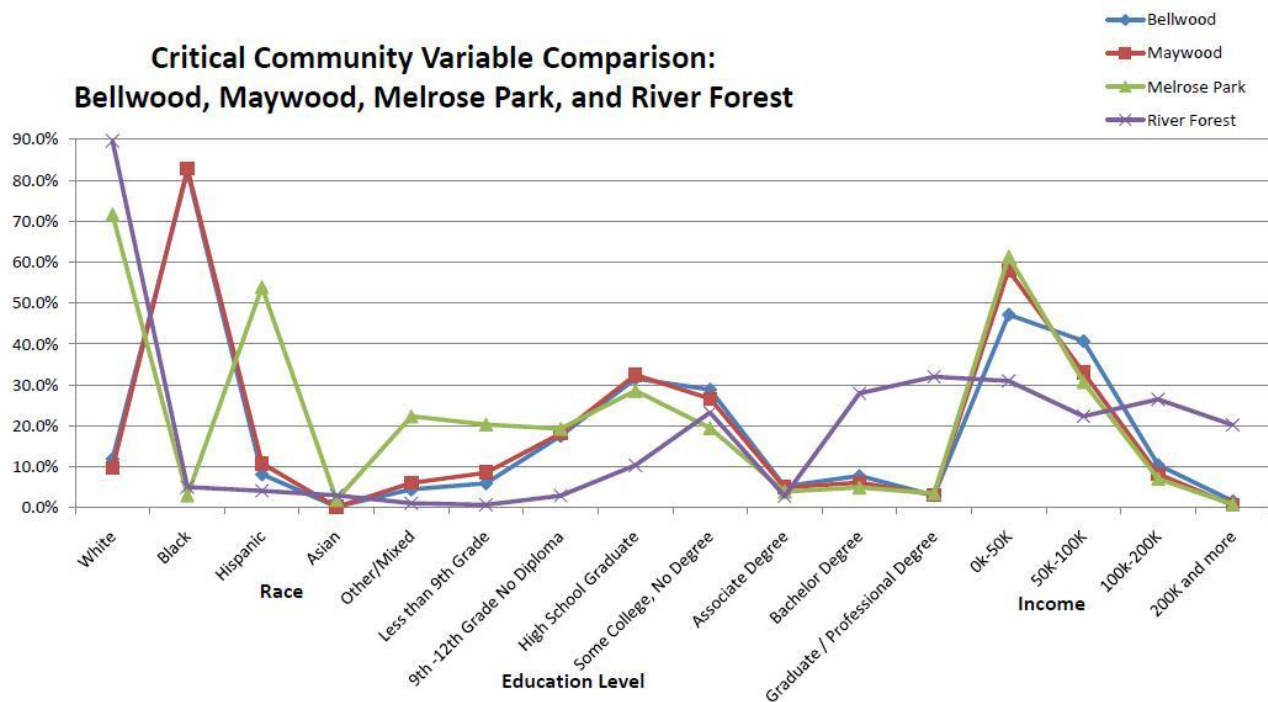
It is important restate that it is the increased financial pressure on municipal government – as a result of radical federal income tax reform – would give rise to pressure to reduce local government costs, which the author believes would best be cut via regionalism practices. The amount of money saved would be dramatically different by state, based upon their makeup and past theories on how local government should be run, which means that regionalism may not be the only solution necessary to balance budgets under the aforementioned federal reforms. Many interview subjects noted that mergers or consolidations are not a very appealing, but especially so in the state of Illinois. So what are the kinds of services which can be 'regionalized?'

Mayor Mike Belsky stated he, "Wouldn't mind more of a metro government providing services regionally" which seems to echo the sentiment of most of those interviewed. A large amount pointed to fire protection as a likely candidate for regional service provision. While it is certainly possible to do the same with police protection, differing rules in different municipalities would limit this type of regional development. Finance Director Tina Smigielski's point on the pension management differences that are slowly creating financial burdens upon municipalities is an interesting way municipal actors might use regionalism to save money given the financial pressures of consumption tax reform. While comparing the Illinois Municipal Retirement Fund's (IMRF) efficiency to that of the many different 'municipality specific' funds is a paper unto itself (Illinois Municipal League, 2007), the result finds that municipally managed and manipulated retirement funds have seen their ability to maintain appropriate fund levels decrease significantly over the past few years to the detriment of future generations of taxpayers and/or municipal employees. As a result, the centralization of police and fire retirement

⁷⁰ Previous Mayor's Rudi Giuliani and Mike Bloomberg having been considered viable contenders in the various federal elections they either participated or were rumored to be considering participating in.

funds may find savings and security to the same measure that the IMRF is experiencing.⁷¹ Orfield's statement in the introduction to this hypothesis about how low tax-base communities are hindered by simple math would be a good warning to those who think there are some clever tricks up municipal sleeves to undo their increased financial burden. While some wealthy communities may be able to escape with adjustments like these, not all will.

In his book Orfield analyzes various metropolitan areas designating the communities it in seven ways: At-Risk, Segregated; At-Risk, Older; At-Risk, Lower Density; Bedroom-Developing; Affluent Job Center; Very Affluent Job Center; and Central City (Orfield, 2002, 31-42). In his map of the Chicago Region (Map 2.3) there are four communities that for the most part,⁷² boarder each other: Bellwood (At-Risk, Segregated) and Maywood (At-Risk, Segregated), Melrose Park (Affluent Job Center), and River Forest (Bedroom-Developing). The graph⁷³ below demonstrates some key characteristics which define the separate communities in comparison with each other:



Sources: (U.S. Census Bureau, 2002) (U.S. Census Bureau, 2002) (U.S. Census Bureau, 2002) (U.S. Census Bureau, 2002)

The graph above shows the four communities, all managed by separate municipal governments, and some basic comparisons of their constituencies. One large defense from municipal officials about the continued segregation of municipalities by boundary is the idea of a 'shared culture' which defines residents from different communities between

⁷¹ This by no means indicates that the IMRF is doing exceptionally well, but rather better by comparison. (Illinois Municipal League, 2007)

⁷² Bellwood and River Forest share common neighbors but do not boarder each other.

⁷³ Data may be found in Appendix H.

one another. Mayor George Van Dusen believes a revolt would be at hand in the event of a merger of Skokie and Evanston, Illinois, and he is probably correct in this argument. However, the author is unconvinced that this argument holds true across the Chicagoland area, and indeed there have to be communities who suffer from the ‘Querelle de Cloche’ mentality that increased financial pressure would mark as futile. The author believes that the above data shows the communities of Maywood and Bellwood to be a prototypical case of this ‘church bell tower conflict.’ Unlike the French countryside however, these communities boarder each other and are not designated by a change in development or density to really signify a change of community. So why then are Maywood and Bellwood – demographically and financially near equals – separate communities, with separate municipal governments?

One argument against ‘Maybellwood’ is that the two communities’ merger would distance residents from their local government officials, their votes mattering less in a bigger pool of residents. This does not hold however when looking at registered voter turnout to the April 5, 2005 Consolidated Election⁷⁴ that shows Bellwood (31.2%) and Maywood (24.4%) do not express as much concern about their local politics as comparable suburbs of Berwyn (42.6%) or Oak Lawn (41.3%); their only saving grace being that at least they are not as bad as Northbrook (15.7%) (Cook County Clerk’s Office, 2005). Regardless of the comparisons, all these numbers are dismally low, and compared to turnout in national elections, reflect the population’s general disinterest in local government affairs.

An offshoot of this voter preference defense is the ‘choice’ of municipal land mass and population served. This could be a relevant to the discussion except that Maybellwood’s land mass (5.08 square miles) and population (47,522) would still be smaller than nearby Cicero (5.8 sq. mi, population of 85,616), and as such, while the merger would double the population, the community would still be considered relatively normal sized for the Chicagoland area. The demographic make-up of these constituencies doesn’t suggest that municipal boundaries are set up to keep ‘undesirable’ residents away, as by most standards, Maybellwood would already be made up of those who have been historically red-lined away from more wealthy communities. Further, advances in technology allow for better communication across larger areas, decreasing the need for communities to be limited by the range of their public safety alarm system or infrastructure. But where would these community mergers/consolidations stop? Looking at the graph, the reader should also notice that with the exception of demographic make-up, and a slight variation in education level, Melrose Park’s population is not terribly different from Maywood or Bellwood, and perhaps ‘Maybell Park’ might also be a reasonable regionalization.

⁷⁴ Where races for local elected officials appeared on the ballot.

In this instance, ‘anti-mergerists’ would argue that the previous separations are based upon a distinguishable community that shares values, goals, and aspirations. If this could be their argument, then how would they explain away the recent studies upon the erosion of social capital in Americans that have generated more figurative, niche communities created by radio, television, and the internet (Putnam, 2000). While the author believes Putnam’s fears in *Bowling Alone* are slightly displaced, his arguments are well taken that Americans *are* withdrawing from what had previously been the only ‘community’ available to them; people they could see, touch, and communicate with all at the same time. This has changed with technology and the advent of more figurative communities whose member’s are generally self-selected and are not required to be physically present. While the physical world will always guarantee the existence of the ‘local community,’ there clearly has been a change to local American communities. Similar to how our hamburger’s are no longer grown up in open pastures, our local communities different: the product is the same, but the chemical-social make-up is not. To an extent, these ‘anti-mergerists’ may be correct and, for now, Maybell Park might not be a “community.” However, as anyone who has found themselves lost in Chicagoland suburbs can attest, the reality of understanding what exact suburb you are in is causal upon the dumb luck of glimpsing identifying signage; not any ‘perceivable community traits.’

So in large metropolitan regions, what exactly is the impetus for smaller communities, especially when they are demographically the same? Put simply, Maywood and Bellwood exist because Maybellwood does not have to. Local governments aren’t forced to reconsider borders inefficiently held because the financial and political pressures placed upon them are not severe enough for elected and appointed officials to seriously consider merging, at the risk of losing their jobs. Indeed, from a municipal official’s perspective, which of the following options would make more sense?

Decision: Merge with neighboring local government to solve funding problems.

Results: Lose half⁷⁵ of your current elected and professional co-workers and gain half staff/elected officials with which you have never worked for or with before. Work with these new people to establish citywide policies, municipal codes, and information systems to allow proper operation of local government. Suffer public criticism of the decrease in service level quality due to miscommunications and problems merging both governments. Possibly voted/removed from office for poor transition, or just because someone else exists that voter’s/elected officials believe can do a better job.

Decision: Raise taxes and fees, or decrease expenditures and services, to solve funding problems.

Results: Possibly voted/removed from office if residents pay attention to increasing tax rates, declining service levels, or both.

Either way, municipal officials run the risk of losing their elected position, but the second option is less risky operationally and mentally. Here, it is important to note that most local government elected officials are only paid a small

⁷⁵ If not more or less.

stipends, if any, for their work, and maintain full-time positions or run businesses in addition to their community service of being an elected official, meaning increased time and effort for already busy lives. Professionals such as Finance Directors have different concerns as the merger drastically changes the work environment they agreed to work for in the first place. While mergers and acquisitions are common in the private sector, their results in the public sector are not well understood simply due to the rareness of such an event. The difficulty of the interviews is that none of the elected officials see merging communities as a possible solution to financial pressures their communities might face. But then how can we resolve Tiebout's Public Choice Theory of 'voting with your feet' and understand how municipal officials believe that mergers will not happen in the municipal sector?

While, conceptually, movement of individuals from city to city compares quite nicely to the commonly accepted notion of a free market, here officials are essentially arguing that, "There is a free market, but almost no communities actually fail (are merged/consolidated)." But, what exactly is failure in the public sector? While some might suggest it be logical to think that municipality's fail when they go bankrupt, but government, even at the local level, can hide failure like Enron magically



Orange County, California:
DISMAL DISASTER!



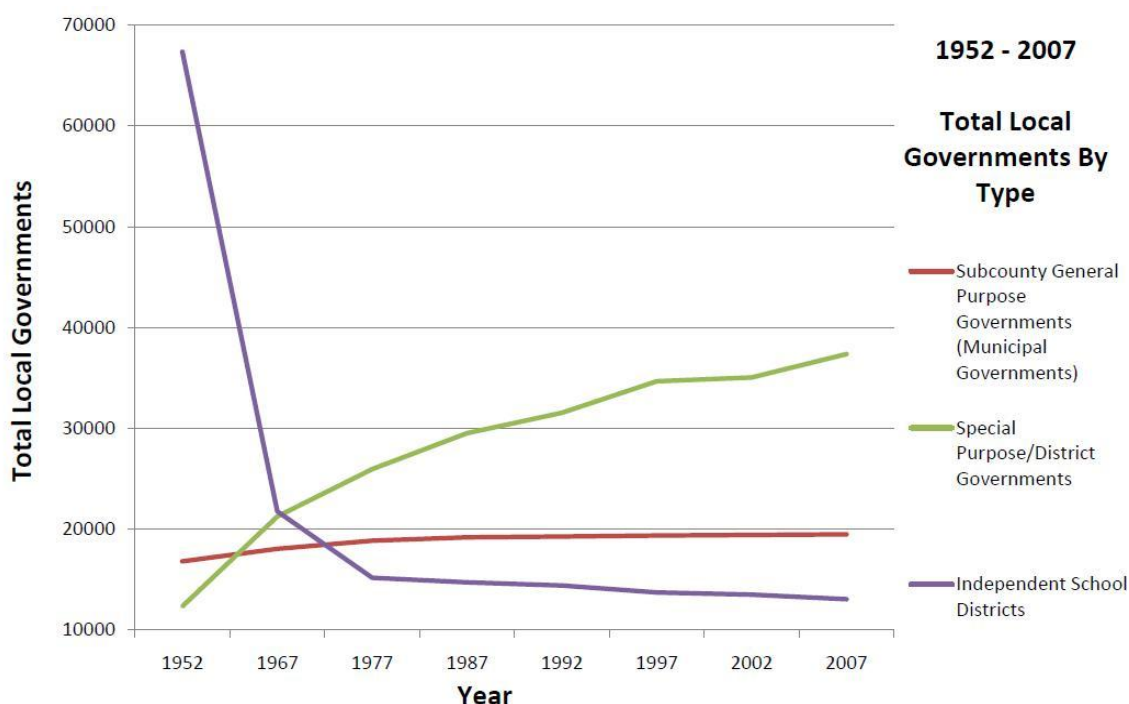
Gary, Indiana:
Striking Success!

created revenue. Through decreases in services, hikes in tax burden, and reductions of public service, a government can easily make a bad situation look good, at least financially.⁷⁶ So then, under Tiebout's Public Choice Model, one person's 'basket of goods' is another person's failure, and generally those who perceive the basket of goods as 'failure,' leave. Of course though, one classic weakness of Tiebout's model is that there are segments of the U.S. population that has no 'feet' to vote with, and as such may desire to pay for a different basket of goods, but are not able to receive them. While bankruptcy is not necessarily a good measure of local

government failure, a measure of voters seeking, and able to pay for additional services, which are also unable to leave a municipality, might be.

⁷⁶ A most dramatic example of defining failure in this way would be the choice of residency in 1994: Be it in Orange County, California which had just declared bankruptcy (Weiner, 2008), or Kabul, Afganistan, which in two years would be overthrown by the Taliban.

Regardless of how you measure this figurative notion of voter entrapment, the main problem is not the mobility of the voters, but instead the ability of the public sector to realize when a local government has failed. If this status were more clear, and local governments actually operated in a municipal market, then other municipalities would ‘buy’ the failing municipality through merger or consolidation.⁷⁷ The municipal officials interviewed for this paper have reason to argue against such a strategy though, as the communities they run are successful and professional communities that maintain relatively low tax burdens, and as a result, their predicted reactions to a consumption tax proposal are best representative of this type of municipality. Their arguments also make sense considering the current structural make-up of most states as strict laws preventing mergers and consolidations exist that would prevent mergers and acquisitions that would occur without the consent of the dissolving and/or absorbing municipalities’ constituencies. But this does not mean that consolidations are illogical as Miller notes, “In 1952, there were 16,778 municipalities in [the] United States. By 1997, that number had grown to 19,372 – a growth of 15.5 percent. Contrasting the growth of municipalities with that of school districts further emphasizes the limited role of municipal mergers and consolidations. In 1952 there were [67,355] (sic) school districts in [the] United States. By 1997, this number had been reduced to 13,726 (Miller, 2002, 124).” In this analysis, Miller misses the more interesting growth in the local sector as demonstrated in the graph below:



Sources: (U.S. Census Bureau, 2002, Tables 4&5) (U.S. Census Bureau, 2007)

⁷⁷ Here it would be correct to notice that it is state governments that have set the barriers to mergers and consolidation at levels so high, very few municipalities have the desire to reach for them.

While the number of municipal governments has grown sizably since 1952 (2,685 new municipalities) they do not compare to the growth of special purpose/district governments (25,041 new governing bodies) which in 2007, is three times the amount that existed in 1952. Due to the removal of federal subsidies and the difficulty in keeping a highly serviced metropolitan city afloat, the author believes that mergers and consolidations will rise, but that communities will behave differently based upon their financial status before the advent of reform taxation. Better off communities would likely face fights consolidating their school and special districts in an effort to reduce the tax burden their municipalities face while less well off communities face more dramatic decisions of mergers as they possess less special districts than do more wealthy communities.

While the savings of merging and consolidations are similar, wealthy communities arguably have more flexibility as to where they will be able to save money via administrative changes and economies of scale. The incorporation of special districts – their rise in popularity since 1952 correctly interpreted as a reflection of resident’s desire for better services as the economy grew – would be a popular answer to municipal pressures felt under a consumption tax reform since special districts provide the *convenience* of better service but not the provision of *necessary* service. Nowhere is this better seen than in a comparison between the Village of Maywood and River Forrest. While River Forest maintains a park district with various programming and online registration,⁷⁸ Maywood’s parks & recreation website is a listing of the *actual* parks available in the Village of Maywood.⁷⁹ This difference is important to understanding how wealthy communities take advantage of the federal income tax, by providing more tax-exempt services, in ways that poorer municipalities are not able.

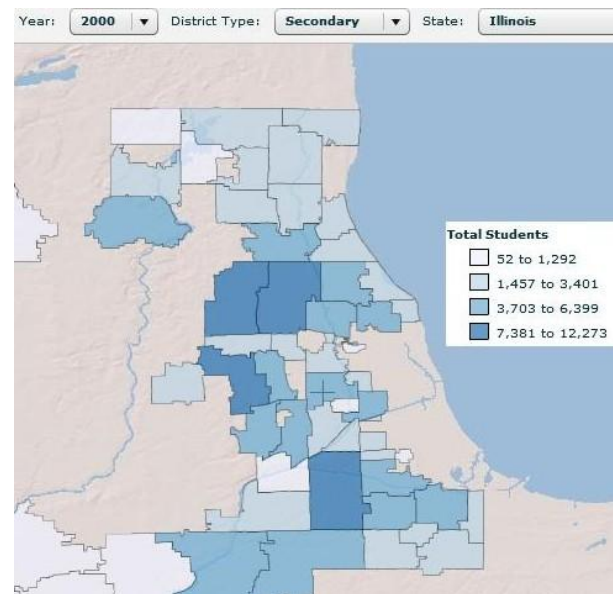
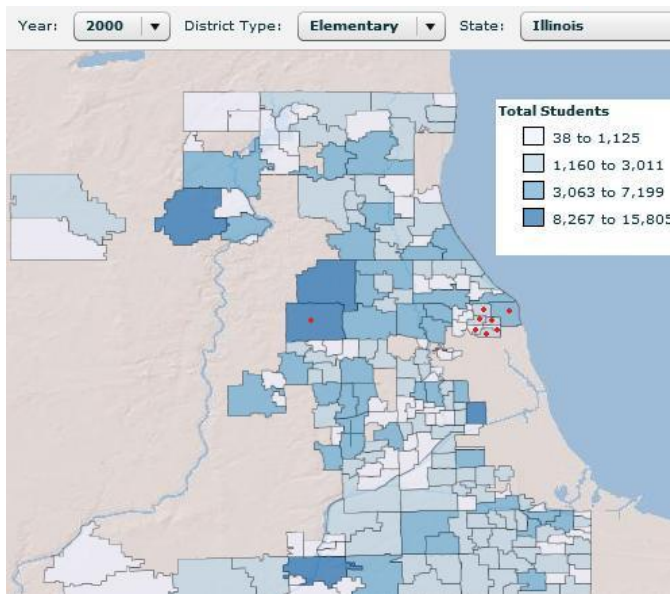
Another aspect of the segregation of municipal governments and special districts is that it prevents efficient provision of service on the basis of need versus want. During better times, the creation of special districts operates to take financial flexibility away from municipalities which could cut the budgets of services that residents value (education, parks, recreation, libraries, etc.) Since the creation of a special district disallows municipal policymakers from cutting these less necessary expenditures, they’re forced to cut costs for what are arguably more necessary services. For example, in the City of Chicago, a typical complaint by residents is the quality of streets during wintertime stemming from a lack of funding (Mitchum, 2009), but when the Chicago Park District maintains a budget of roughly \$393 million dollars (Chicago Park District, 2008) someone has to wonder if things would be different if both budgets were developed under the same roof. Essentially then, for any community, creating special districts for services such as education, parks & recreation, etc. makes the statement that municipal voter’s do not want officials in charge of developing the budget for what are generally

⁷⁸ <http://www.rfparks.com/>

⁷⁹ <http://www.maywood-il.org/Parks&Recreation.htm>

perceived as essential municipal services of streets, public safety, and community development in charge of developing the budget for higher-need services like education, recreation, and other quality of life services. While this position makes sense during positive economic times' debate between undertaking a massive highway construction project versus expanding the public education system to handle a growing population; this division of budget composition by a community prevents an honest weighing of services against each other by a single collective group of community representatives, resulting in many elected boards that think their services are most important and, at best, only answer to a nominally interested public. Summarily then, the ability of municipal organizations to reduce the financial burden for their constituents decreases as various aspects of government service become their own organizations during more promising financial times. In the advent of a consumption tax reform, removal of the federal subsidies, or taxation of local government expenditures, the author and interviewees believes these convenient services, and their segregated providers, will be the first to go.

While larger municipalities face various segregation of public service problems, they also reap the benefits of their large size simply because they are not forced into making decisions a smaller community would be forced to since their limited size disallows them from realizing all the available options. While smaller size allows for a more targeted, convenient service, it is also a poor way to deliver what are generally perceived as public goods. Because of this logic, it is important to examine school districts in addition to special districts, despite these educational governments's success in reducing their astounding numbers since the data was first taken. In his discussion on the topic, Mayor George Van Dusen explained that, "The Village of Skokie has five school districts for roughly 70,000 [people]" and wondered aloud whether this made sense. Despite successful efforts to regionalize these separate districts, they remain specialized, their costs distorted by various federal and state policies including those discussed in earlier hypotheses. This is a problem throughout the country, but can be shown in a simple examination of elementary and secondary school districts in and around the Chicagoland area.



Source: (National Center for Education Statistics)

While not as big of a problem with all school districts, elementary school districts serve a curious amount of students considering population density levels around the city of Chicago. Without previous research, one might expect that school districts surrounding a major metropolitan city would cater to larger populations, but in the Chicagoland region, this is not the case at all. A quick glance at the above maps shows that, in fact, larger populations of students are served per school district in the outer-ring suburbs of Chicago than those in the inner-ring suburbs. Consider the oddity where the Village of Skokie maintains roughly 1,500 more residents per square mile than does the Village of Schaumburg, yet Schaumburg maintains one school district which serves 15,805 elementary students and Skokie's five districts serve between 469-1,899 students each. If the five Skokie elementary school districts merged with neighboring Evanston and Lincolnwood school districts, they would still serve less, totaling 14,011 students,⁸⁰ and still be smaller in comparable land area. Further, this type of merger comparison holds true for some secondary school districts as well. If Schaumburg can serve this large amount of students, why do inner ring suburbs opt for smaller districts? Similar to Maybellwood, the unified elementary school districts of Evanston, Skokie, and Lincolnwood do not exist because they do not have to. The state and local tax deduction and tax-exempt bonding status allow smaller school and special districts to serve communities who are able to pay for their increased services, at discounted rates.

Some educational officials lament the increased costs of their sector due to the increased usage of unfunded mandates from federal and state governments that require local governments to do more, without providing necessary

⁸⁰ These districts are denoted by red dots.

funding. While there is some fault to be placed on the federal government (The Economist, 2003), there is also some blame to be placed on a local government system that in some areas are too specialized to handle sweeping federal prerogatives. A National League of Cities report, discussing unfunded mandates, states that “From federal and state preemption of local taxing authority to the devolution of responsibilities and programs from the federal to the state and local levels, the lack of coordination and partnerships points to an emerging crisis of fiscal federalism (National League of Cities: City Futures Program, 2006, 10).” Here the National League of Cities points out that while federal and state governments are certainly not making things easy for local governments, these local governments hurt themselves since they rarely seek to work with each other to solve common problems.

If the federal government wants to encourage more regional governance by local governments, it should look to the financial subsidies it gives local governments that allow the mindset of developing civic centers, pools, and shopping centers, instead of seeking to join those communities who already have them. If this, or some similarly affecting policy is not accomplished, it is likely that local governments will continue onwards with policies that give “[R]ise to problems such as traffic congestion, air pollution, sprawling land-use patterns, lack of affordable housing, inefficient delivery of local public services—and in the case of Orange County, lack of oversight for a county treasurer who would push the county into financial crisis (Public Policy Institute of California, 1998, 8).”

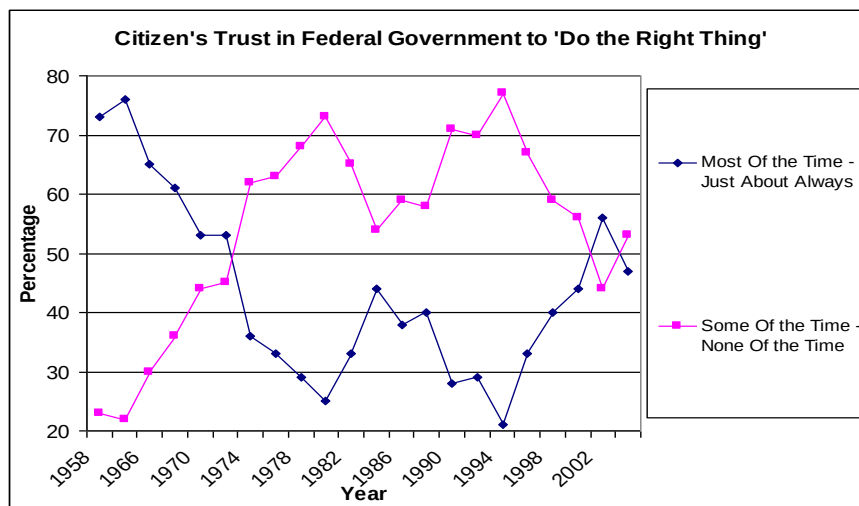
Despite all the above logic pointing to the inefficiencies of the local government set-up, perhaps Mayor Christine Letchinger’s argument that new blood is the necessary driver for local government regionalization, instead of the removal of the federal tax subsidies. As the upcoming slate of retirements comes about in the field, coupled with new scholars of local government, it is probable that regional cooperation and even mergers may be experienced. In this respect, perhaps the oft feared ‘brain drain’ in the public sector (Benest, 2003), delayed as it may be (Kerrigan, 2009), will be a good thing as it regards the regionalization of local services. The interviews do seem to indicate that there is a level of entrenchment in the local government ranks that might only change when management and elected official positions open and fiscal pressure grows in local communities. Only then will regionalization get its first true look by governments in the United States. So then, to determine how governments will regionalize, it may also be appropriate to interview the younger practitioners of local government service along with the theorists who may influence them.

While the removal of various deductions, which would put the brakes on the development of single stop communities that ‘have it all,’ could be part of the plethora of financial reasoning forcing consolidations and mergers; the implementation of these plans may not probably gain credence until the new wave of public administrators begin expressing

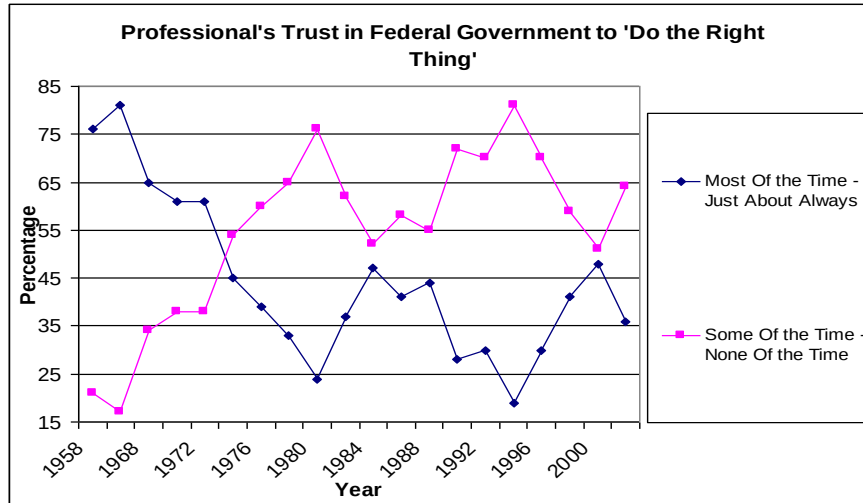
their thoughts on the proper administration of local government service in the 21st century. Wherein the removal of the discussed federal subsidies may speed along this move, it will only be secondary to the mentality of the new generation who will be focused on fiscal responsibility and the decreased supply of competent government managers.

H7: Municipal officials will demonstrate a general distrust in the Federal government to ‘Do the Right Thing.’

The FairTax & VAT would necessitate large state and local government involvement, or an increased federal presence, in collecting federal taxes as they will be no longer handled by the IRS. While accounting principles would argue that the federal government would ‘do the right thing’ by collecting their own revenues, FairTax advocates believe that the states, compensated by a quarter of a percent take upon revenues collected, could be induced to collect money for the federal government. Below are two graphs that show the trust in the federal government to ‘do the right thing’ as determined by The American National Election Studies Organization:



This graph shows that citizen trust in the federal government to ‘Do the Right Thing,’ as measured by The American National Election Studies Organization has decreased sharply since the original data was taken back in 1958. A recent 90’s bump occurred that has lingered into 2004, the last year data was available, suggesting that public trust, while not as high as originally seen, is at least on par with public distrust in the federal government. (American National Election Studies, 2005)



This graph shows that professional trust in the federal government to 'Do the Right Thing,' as measured by The American National Election Studies Organization has decreased sharply since the original data was taken back in 1958. While a recent bump in the 90's occurred, the trust of professionals in the federal government lingers noticeably below that of the general populace (American National Election Studies, 2005).

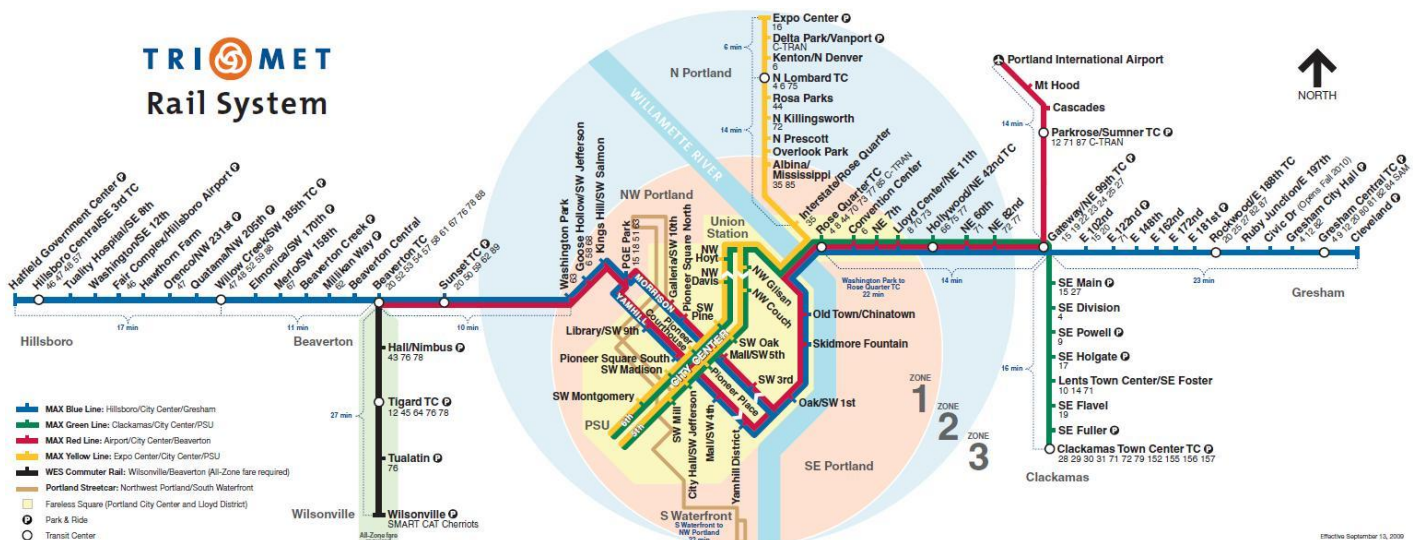
The above two graphs demonstrate that while citizens trust in the federal government to 'Do the Right Thing' is at best; lukewarm. Professionals trust, by comparison is rather low. Resulting from this data, the author believes that local government officials, dealing with citizens every day on government and political matters, and who are generally professionals themselves, will believe the federal government shirking its tax collection responsibility onto State and Local Governments as irresponsible, and that the federal government will prefer to take this option over the alternative of collecting the taxes themselves. The two sub-hypotheses in this section will serve to demonstrate municipal official's opinion on the federal government's ability to implement a consumption tax under circumstances that increase state & local government responsibility for the collection of the federal government's revenue. It will also explore official's opinions on the federal government having access to revenue sources which previously belonged to state and local governments.

H7sub1: Municipal officials will not feel comfortable with the federal government having access to consumption type taxes as would occur with the FairTax and VAT.

It is not well understood if the lack of a federal presence in the determination of sales tax rates implementation is a good thing for state and local governments. In their example on the shopping habits between the states of Washington and Oregon Laffer, Moore, and Williams describe how consumer behavior is effected by the difference in retail sales tax between the two states of Washington (9% sales tax, and 0% income tax) and Oregon (0% sales tax, and 9% income tax). A study conducted by the Wall Street Journal found that, despite having measurably less money to spend, the Oregon region

maintained more retail dollars earned compared to Washington. A similar type of event happened in the late 70's when Delaware, possessing the U.S.'s highest income tax, found itself as also maintaining the highest retail sales per dollar of reported income (Laffer, Moore, and Williams, 2009, 38-39).

Considering the above information, the author wonders how such consumer behavior might have affected Oregonian decision making as to the 'smart growth' and regional development movement they have become one of the leading purveyors of. Their conscious decisions to make driving more difficult – and encourage rail use – impedes traffic in a way that planners considered fruitful at the time, but have also proven to worsen congestion as people continue to prefer driving. This analysis, lifted from Randall O'Toole's article *The Folly of Smart Growth*, is disingenuous when the economic rationality of the consumer is brought into play. A good example of this is when O'Toole argues, "Public transit carries less than three percent of Portland-area passenger travel, yet for nearly two decades the region has invested some two-thirds of its transportation dollars into light rail and other transit rather than roads (O'Toole, 2001, 23)."



This three-percent figure erroneously implies that the Portland-area passengers as all *residing* in the city or state. From this logic O'Toole concludes that "As a result, thousands of commuters who moved to Vancouver, Wash., to escape Portland taxes and land-use regulation now face huge delays in commuting to Portland each morning (O'Toole, 2001, 23)." Here O'Toole is arguing that those individuals, who moved to Washington to avoid the state's income tax, but work – and likely shop – in Oregon, are being put 'on the outs' because of bad growth policy.

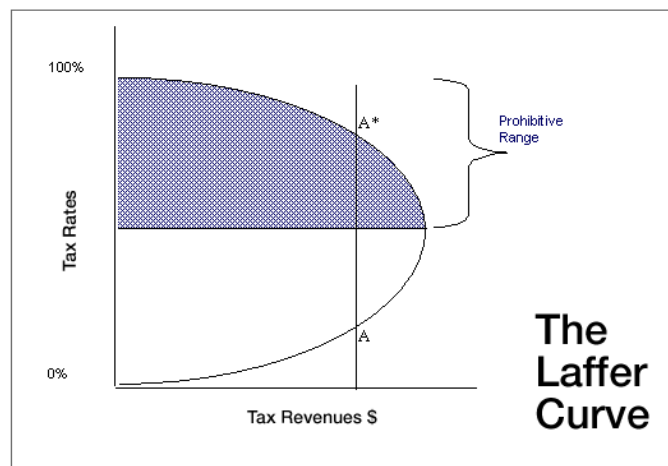
The reality of the situation is that these commuters only 'suffer' because of bad tax policy cooperation between the two cities which has allowed them to free ride upon both Oregon and Washington's different tax systems, it just takes them

longer to get there. In an attempt to resolve the congestion, Metro, the Portland area transit authority, suggested construction of light rail between Portland and Vancouver. Metro requested that Vancouver residents pay \$480 million toward the project, but city voters soundly rejected that request. O'Toole argued that "[Vancouver's] decision is supported by a careful analysis of the economics of such projects: A typical light-rail line costs as much to build as a four-lane free-way, yet no light-rail line in the nation carries half as many people as a single lane of a typical urban freeway. Widening I-5 to three lanes for the two miles that are now bottlenecked would cost only about \$10 to \$20 million and would increase flow capacities by far more than would be carried on the light rail. But Metro will not allow the highway expansion until the light-rail line is fully financed (O'Toole, 2001, 23-24)." But as before, this is a disingenuous argument that relies on the notion that Vancouver, Washington residents should have a say in how Portland, Oregon develops despite doing their best to avoid paying for any of the public infrastructure which they use daily.

While a discussion unto itself, the above example is a good case for federal intervention to traditionally independent state and local sales taxes. The resulting interstate policies of the development of independent tax systems have resulted in some instances where states and municipalities play residents off of neighboring communities, usually to the detriment of the nation as a whole. The above example shows how fighting between one community's vision of an environmentally friendly and dense urban society competes negatively with another's vision of a bedroom community that is a quick drive away from work. This competition leads to inefficiencies where neither community truly wins, and arguably have both lost. Perhaps the incursion of a federal national retail sales tax at 30% could discourage this type of competitive behavior. In the example above at current rates, Washington would charge 39% and Oregon 30% sales tax rates. The resulting 9% difference, occurring thirty percentage higher, may no longer be as appalling to Vancouver residents, and local political pressure might help bring these tax rates closer together, hopefully resulting in increased cooperation between these nearby cities.

While the above example may suggest that federal interaction with the sales tax is a good thing, some would worry correctly about the results of having another actor in the determination of various sales taxes across the nation. To examine this notion closely, the reader must understand the Laffer Curve (Laffer, 2004). Popularized during the Ronald Reagan Administration, the Laffer Curve is a major contribution to our understanding of taxation that posits there are only two taxing percentages that generate no revenue: 0% & 100%. Anything in-between these two ranges generate revenue, but an optimum level exists that separates the two ranges: the normal and the prohibitive. The normal range is the area wherein government can raise the tax rate, and expect to see higher revenue, whereas the prohibitive range is where the government

can raise the rate, and expect to see lower revenue. All government really knows is that the optimum tax rate lies somewhere in-between the 0% and 100% ranges and that the ranges will become exponentially pronounced as tax rates go up or down.



The prominence of the federal income tax is notable because when federal officials seek additional revenue, they tend to focus on changes to the federal income tax, instead of considering other options. The result of this type of tunnel vision is two separate taxation systems that overlap only occasionally as state and local governments generally find revenue through sales and property taxes. While many states, but few municipalities, administer income taxes, the federal government would be hard pressed to move into sales or property taxes because of the perceived sovereignty state and local officials believe they maintain over these tax bases. The question FairTax, and some VAT supporters pose, is whether this makes sense. There are complications to the implementation of this tax resource which, like the income tax, is not a just simple tool for use by governments as sales tax increases do not generate money equivalent to the percentage change in rate for four reasons:

1. Higher sales tax rates in one state encourage people to purchase major expenditure items across state borders in lower sales tax states. This effect is especially pronounced for those who live near state borders.
2. Higher sales tax rates encourage more evasion and nonpayment.
3. Higher sales tax rates encourage more internet and catalog sales, which can often be transacted with no sales tax.
4. Higher sales tax rates encourage less consumption and more savings, thus reducing the sales tax base. (Laffer, Moore, & Williams, 2009)

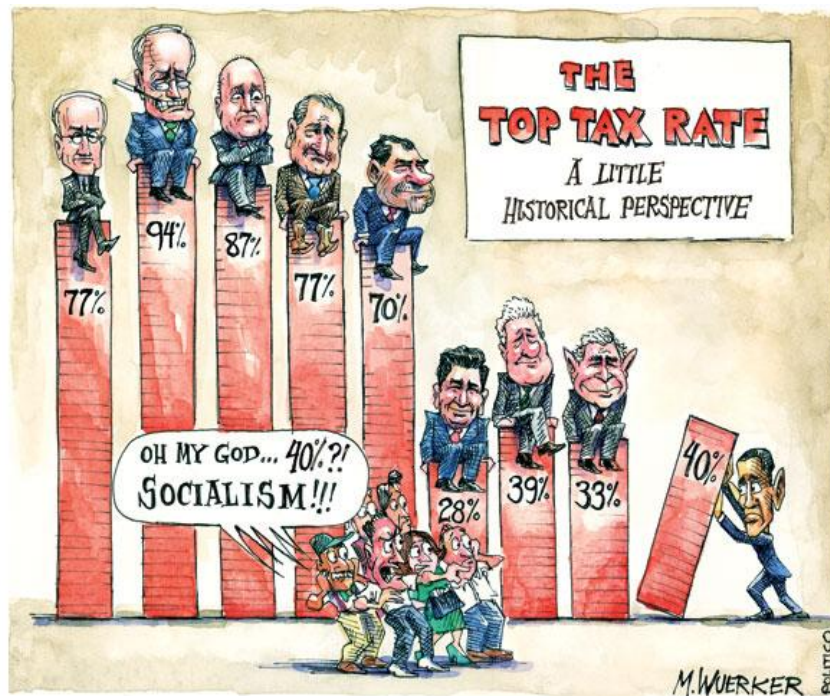
It should be noted that the implementation of the FairTax reform changes the understanding of sales taxes because under the reforms taxpayers take home more money. Advocates for the FairTax argue that while the jump in tax rates is substantial to look at – with the addition of the FairTax, the City of Chicago’s total sales tax rate would be 40.25% – the removal of embedded costs of the federal income tax will offset a significant proportion costs, making the change not nearly as painful as a first glance might predict. As relates to the Laffer Curve, these increased sales tax rates will show a loss of salience, possibly resulting in the movement towards consumer behavior as would be experienced in the prohibitive range as

expressed in the Laffer Curve. Without income or payroll taxes, this collective sales tax rate would make tax rate decisions more visible to taxpayers, helping economists decide where the Laffer Curve's optimum rate may lie, but likely making a few tax payer's faint as well.

Another aspect of the reform is that other actors involved in the development of the sales tax rate – cities, counties, and states – may be forced to reconsider the percentage they add to their sales tax levy. The author believes the effect of implementing a national sales tax would reduce the percentage that state and local governments levy, seeking to hide their addition to what could be perceived as exorbitant rates in comparatively lower areas such as property taxes. The result of the federal implementation of a consumption tax would be a better understanding of the Laffer Curve, although it is very likely that local government entities will seek to reduce their dependence on the sales tax and look to more hidden taxes to generate revenue similar to what they had collected before the reform.

The concept of hidden taxes, summarized by Brian D. Gale in a forthcoming issue of Washington University Law Review, would be important to understand under federal consumption tax reform. Gale argues, that while typically local governments are unable to implement progressive taxes – because those whom wealth is redistributed from will flee the locale – hidden taxes allow a form of progressive redistribution of wealth until, “the benefits of avoiding the tax... exceed[s] the benefits of avoiding having to think about the tax (Galle, 2009, 6).” Wherein the costs present themselves to taxpayers – making them ‘unhidden’ – individuals who find themselves on the disadvantageous end of a tax will begin avoiding it. In effect, hidden taxes diminish the applicability of Tiebout's Public Choice Model, whereas unhidden ones make it stronger. Thereby, the taxation of government expenditures would make sales taxes an ‘unhidden’ aspect of American life that local governments would seek to reduce their dependence on. Arguably, they would do this by diversifying their revenue sources into anything not a sales tax and push for the taxation of previously untaxed sectors.⁸¹ This move to increase taxation sources, while maintaining the same aggregate taxation rate, is preferable by taxpayers. Termed the ‘disaggregation bias,’ research has shown that subjects appear to be unable to conceptualize the cumulative effects of several, separate, but overlapping tax regimes (McCaffery & Baron, 2004, 8-29). A fantastic federal example of this is displayed as subjects seemed to resist income taxes more than payroll or business taxes because researchers believed they were more effectively hidden (Galle, 2009,17).

⁸¹ This type of push by state governments is not without precedent as some officials in California, currently under significant fiscal pressure, is pushing for the legalization of marijuana sales, for the purposes of taxing it (Gieringer, 2009).



The assertion that state and local governments would only have to seek different avenues to collect revenue also supposes that they would not have raise a significant amount more money as would be required under the taxation of government. Under the taxation of state and local governments through the FairTax or VAT, these state and local actors would be forced to collect revenue from different sources, and more of it. While this type of interaction may certainly be accomplished, the reality of the change is not honestly portrayed by those who argue for the taxation of government expenditures.

This federal imposition into what is widely seen as a state and local tax would raise constitutional questions as well. Hank Adler and Hugh Hewitt argue that the FairTax's implementation would be an attack on the constitutionally accepted and developed paradigm of dual sovereignty (Adler & Hewitt, 2009, 111-114). Dual sovereignty suggests that in some areas both the federal and state governments maintain some certain, concurrent powers. In most states this can be seen with the requirement to report income to both the federal, state, and sometimes municipal, governments. Generally, states possess "complete power over matters not delegated to the national government and not denied them by the U.S. Constitution or by their own state constitutions (Jillson, 2004, 52)," and local government officials, accustomed to the difference in tax bases as established and argued for by previous advocates, will find the idea of federal interference in their tax bases as undesirable and could appeal to the U.S. court system.

The author predicts that municipal officials will find the incursion of the federal government into sales taxes as worrisome, and will be against such a move. Further, they will not believe that such a move would benefit them, nor the

municipal sector as a whole. The removal of local control over tax systems that directly affect businesses in the area, will significantly concern municipal officials because it adds an additional player in the collection of revenue.

Findings

“I think that local control, when municipalities are well run, is quite effective. The other side is that when you have local control run by a bunch of schlockers, then it is horrid, and you are probably better off having it run by the federal government... You have to stay simple at the municipal level, so the money doesn’t disappear.” – Mayor Christine Letchinger

Generally, it was found that the responses of both elected and appointed officials adhered to the prediction of the hypothesis. Mayor Kristina Kovarik commented that the movement of federal government into the domain of sales taxes “Is way outside their mission. Local taxes should pay for local services.” Finance Director Mark Nannini argued that, “Public perception is that taxes earned here, were used here.” While he thought the change may help with parity, he thought there would definitely be abuses. Both Mayors Kristina Kovarik and George Van Dusen argued that doing so would likely incite a turf war and Mayor Mike Belsky stated, that, “the intrusion would be unwelcome, as federal government tax hikes might throw off municipal projections.” Van Dusen speculated that, “It’ll never happen, state and local governments will be up in arms. You would have a massive revolution on your hands; look what happened when [Cook] County raised the sales tax.”⁸² Mayor Kristina Kovarik contends that it is this type ‘scope creep’ – where a government organization gradually broaden their goals, encroaching on other government’s territory and as a result their need for more revenue – that may cause intergovernmental problems, stating that “Everyone should define their mission, and stick with it.”

Mayor Michael Belsky did modify his disagreement with the idea, saying that the idea is still worth considering noting that one thing America does not do well is tax areas of growth, using the service sector as an example. This said, he does not see the implementation of a sales tax – whether the FairTax’s 30%, or different, rate – a policy he believes the Obama administration would pursue. Finance Director Michael Peterson softened the potential intrusion even more stating that, “I think they’ll have to do their homework and sales pitch. [The Federal Government] won’t leave us hanging. Special interest groups will make sure that things won’t be that bad for local governments.”

⁸² Dusen is referring to when the Cook County Board of Commissioners, under the auspice of County Supervisor Todd Stroger, increased Cook County’s sales tax levy from .75 percent to 1.75 percent. The City of Chicago’s effective tax rate became 10.25 – the highest of any major U.S. city – and the minimum suburban Cook County sales tax became 8.75 percent as a result. Palatine, Illinois elected officials famously discussed secession from Cook, and into Lake County. Laffer, Moore, and Williams lambast the decision as ‘fiscal folly,’ asking, “Does the Cook County government really believe they’ll generate the \$400 million they expect from this tax increase, especially in the current environment (Laffer, Moore, & Williams, 2009, 37)?” Indeed, the difference in opinion, with most evidence supporting Laffer et. al., will be determined in the near future, but the effect upon municipal officials within Cook County and outside of it may be measurable now.

These arguments stated; the implementation of such a federal sales tax or VAT may likely open the federal government up for a lawsuit, questioning the constitutionality of their actions. Mayor George Van Dusen refers to the case of *McCulloch v. Maryland* 17 U.S. 316 (1819) where Chief Justice John Marshall famously stated that "the power to tax involves the power to destroy" which determined that Maryland could not levy a tax on the U.S. National Bank. Proceeding case law established the inter-governmental immunity doctrine (Net Industries, 2008) that has deepened the perception that there is a separation between state/local revenue sources from the federal government, although none of the above would directly address the situations raised from the creation of a federal sales tax.

Conclusions

Most political analysis of the feasibility of implementing a FairTax or VAT – even if as a compliment to rather than replacement of the federal income tax – would conclude that state and local governments would muster some stern opposition. And the interviews bare this assertion out. But would this be a fair disagreement? The argument interview subjects suggest; that 'local taxes should pay for local services' seems valid on its face but if it is true; then why would a sales tax incursion be seen as a problem? Cross boarder shopping, city, state or otherwise occurs regularly enough that, with the exception of temporary transit and public safety, it is pretty uncommon for shoppers from another taxing district to benefit from the services the municipality they shop in provide. While there is certainly an argument that they do benefit from such provision of services, it would be much stronger if the federal government were seeking to tax property, instead of the consumption of goods. If one were to take the approach that visitors paid for the services they received, then the federal government might have a case to tax for the services they give via the Food and Drug Administration, Armed Forces, Environmental Protection Agency, etc.

Since taxation and its effect upon the economy have become a rather hot topic during the financial crisis, it has become increasingly important to study the effects different tax policies have upon the various states and regions in the United States. Many credit America as having 50 different 'tax labs' to test out new theories to see what works. However, on an even smaller scale, there are also between 210-218 border 'tax labs,' depending on the counting method. As with the Vancouver-Portland example, individuals faced with two choices, with relatively little friction for movement between them, choose what best suits their needs. The quandary of such studies is that differences between state tax systems are large and a comparative analysis between them would not only be difficult, but the interference created by the various aspects of the

federal income tax – favoring dense states, with highly educated populations, seeking higher quality services – makes comparing the tax systems very difficult to complete accurately. Indeed, the tax-exemption on municipal bonds, state and local government tax deduction, Home Mortgage Interest Deduction, and Charitable Contributions deductions favor highly concentrated areas – as there are higher property values, charities, amounts of fire and/or police stations, and people to serve. From an analytics standpoint then, is it really be fair to compare New Jersey, with 1,134.4 persons per square mile, to Alaska, with 1.1 persons per square mile (U.S. Census Bureau, 2000), and come to a conclusion about which state’s tax system is better? Even within some state’s boundaries, it can make little sense: Illinois holds roughly 13 million people within the state’s 57,918 square miles, but around 9 million of that is concentrated within the 7,214 square miles known as Chicagoland. Here, even inter-state comparisons on tax policy might not really make sense.

Mayor Christine Letchinger is correct in pointing out the need for federal interaction in sales taxes. While a majority of local governments operate professionally with the tax revenues they collect, the few that spoil the system end up being toxic. As per the examples throughout this paper, these spoilers seem to be large, tax-literate municipalities, whose own decisions seem to further affect their states. Thereby, federal interest in the collection and use of sales tax revenue might actually be a positive way to promote cooperation between different state and local governments, to the benefit of their regions.⁸³ Despite the current political reality of the three tax proposals, the feasibility of diversifying the federal tax base has drawn interest by the Obama Administration (Montgomery, 2009). The reality, as finance Director Michael Peterson suggests, of the federal legislative system is that municipal governments will be protected by special interests to the extent that a new federal sales tax would not drastically alter the municipal environment.

The author believes the conclusion to take from this hypothesis is that while municipal officials argue that the federal incursion upon sales taxes would be highly unwelcome, some seem to understand where they are coming from. While it is unlikely that the federal government would put all its eggs in one revenue basket – a la the FairTax – municipal officials may understand the move, even if they and their interest groups will fight it.

⁸³ Arguably, the federal government could become the intermediary enemy within the saying that, “An enemy, of your enemy, is your friend.”

H7Sub2: Municipal officials will believe that the federal government does not have the ability to pass or maintain a ‘pure’ consumption tax, even if this reform contained exceptions for the Home Mortgage Interest or Charitable Contributions deductions.

In his book *The Failure of U.S. Tax Policy: Revenue and Politics*, Sheldon Pollack wrote that, “Within the context of [the U.S.] political system, normal tax politics has been the congressionally based politics of logrolling and tax expenditures. This tax politics-as-usual fits into the mold of a “distributive” public policy; the theory of which was set forth nearly thirty years ago by political scientist Theodore J. Lowi (Pollack, 1999, 258).” Lowi’s research (Lowi, 1964) (Lowi, Four Systems of Policy, Politics, and Choice, 1972), when combined with Pollack’s analysis, and tax policy developments during the interim between Lowi and Pollack, suggested that the practice of tweaking and changing the federal income tax at the national level could be understood using three types of policy making. Lowi’s theory was that the “particular type of policy generates a related pattern of policymaking, and not vice versa (Pollack, 1999, 259).”

Pollack believed that taxes generally exhibit a **distributive pattern** of policymaking. Distributive patterns of policymaking are most commonly seen in the political activity known as logrolling where politicians vote for each other’s constituencies in trade for votes favoring their own constituencies. This type of tax policy creation seems fairly simple, and could represent an overall pattern of policy making in relation to the federal income tax. Pollack notes though that, “contrary to Lowi’s theory, policymaking for the income tax at any given moment has largely been determined by the prevailing institutional structures and external environmental pressures imposed upon the political system from without (Pollack, 1999, 259).”

During times of crisis, tax policy tends to shift to **redistributive patterns** of policymaking. A redistributive pattern of policymaking would be exhibited when transfers in favor of significant social or economic interests of various classes at the expense of others are pursued. These actions reflect the pitting of poor against rich, labor versus capital, and other classic battlefronts. Generally these policies are passed with a large amount of ideological rhetoric at the expense of other clearly defined economic or social groups. Pollack believes this type of policymaking pattern results in ‘zero-sum’ politics. In that, over time, the changes made to the system today, will be changed sometime in the future as the political equilibrium shifts resulting from future elections and ideological shifts in the citizens of the United States.

More reform oriented tax changes, which could bring about the proposals discussed in this paper, exist during **regulatory patterns** of policymaking and are a bit rarer to come by. This type of policy making is influenced by the practitioners of the tax system, rather than political officials. While this practitioner led policy making may be viewed as positive, since regulatory patterns of policymaking may be immune to general politics, they are still afflicted with “the

politics of tax reform pursued by tax professionals on the congressional staffs, [and] especially those in the bureaucracy of the Treasury Department (Pollack, 1999, 260).” The regulatory pattern of policymaking can be seen best during the Tax Reform Act of 1986. Wikipedia’s summary of the legislation; that it “simplif[ied] the income tax code, broaden the tax base and eliminate many tax shelters and other preferences,⁸⁴” resoundingly matches up with supporter’s rhetoric of the three tax proposals studied in this paper. So then, for consumption tax reform to occur, history would suggest it occur under the regulatory pattern of policymaking. So which pattern of policymaking is the federal government operating under? And, if not the regulatory pattern, is there any evidence to suggest that there is some federal focus on federal income taxation policies discussed above that affect municipal governments?

The author believes that the current pattern of policymaking the United States Congress is **redistributive** and not regulatory or distributive. This can be seen by the passing of tax laws punishing perceived ‘culprits’ of the economic crisis (Taranto, 2009), a philosophical change in economic policy from Milton Friedman and his acolytes to Keynesianism (Madrick, 2008), and tax day Tea Parties described as “largely created by the clamor of cable news and fueled by the financial and political support of current and former Republican leaders (Robbins, 2009).” Any anecdotal evidence supporting the existence of a regulatory pattern is best rebuffed by a look at the staffing level of the Treasury Department (Associated Press, 2009).

There is still some evidence that tax policies related to municipal government might be changing though. The Ways and Means Committee’s subcommittee on Select Revenue Measures held a hearing on Tax-Exempt and Taxable Government Bonds to discover “issues relating to tax-exempt and taxable government bonds, and how the issuance of recently authorized taxable bonds may impact the demand for and supply of tax-exempt bonds (Subcommittee on Select Revenue Measures, 2009).⁸⁵” Further, a recent CBO study recommends taking some measures that are aspects of some consumption tax proposals, although they do not recommend the complete removal of either the home mortgage interest nor charitable contributions deduction (Congressional Budget Office, 2009).

As relates to the hypothesis, the author believes municipal officials will understand how the political process works similar to how James Buchanan argued when discussing the Tax Reform Act of 1986 that “[T]he act was hardly cool off the presses when Congress started putting in new loopholes, new changes (Buchanan & Musgrave, 1999, 87).” Indeed, in

⁸⁴ The purpose of this citation is not to definitively state the effects of the tax reform, but instead to establish the popular understanding of it.

⁸⁵ This hearing was conducted to consider the effects of subsidizing municipal bonds, instead of allowing for their tax exemption, as is being conducted under “Build America Bonds.” The opinions exhibited by research were only asked of certain interview subjects due to some interviews having already been conducted at the time the hearing was announced.

looking at the Flat Tax implementation in other countries, Keen, Kim, and Varsano note that, “Looking forward, the question is not so much whether more countries will adopt a Flat Tax *as whether those that have it will move away from it* (Keen, Kim, & Varsano, 2006, *emphasis added*).” Understanding the dilemma of the political process and the belief of the passage of a reformed consumption tax to be difficult, and the ability to maintain one being more than a bit contrived, municipal officials will not believe that such a passage could occur at the federal level.

Findings

“The special interest groups, when you look at how many are employed, probably will make [the passing of a pure consumption tax] impossible... I would support the implementation if it could remain simple, but that isn’t likely.” – Finance Director Mike Peterson

There seemed to be moderate support for the idea of a consumption tax implementation from most interview subjects, but they found the prospect of such an implementation daunting, if not unbelievable. Finance Director Tina Smigielski said, “If there is a more fundamental shift in the future towards a more socialized economy, it could happen, but it would take decades.” This thought was seconded by Mayor Michael Belsky saying that, “It is possible, however there has to be some significant proof that it is much more efficient for the nation to take this approach.” Mayor George Van Dusen expressed his doubts stating, “It won’t happen in my lifetime. And hopefully my lifetime is going to be awhile yet. It’s way, way too complicated and too unpredictable.”

Mayor Michael Belsky, despite his moderate support, indicated that if he were a legislator, he would want to see the numbers explaining what was going to happen as a result of the reforms, and even then would be unsure. Such a radical reform would necessitate some quick mathematical work that attempts to comprehend variables of decision making which are not necessarily available to tax reform proponents, despite their attempts. As in a previous hypothesis, the officials pointed to how simple reforms had unpredictable effects, and how this was a crucial understanding of the profession that change does not occur without affecting other actor’s future decisions. On this topic, Mayor Christine Letchinger questioned whether the mathematic modeling required to do the varied analyses would even be accurate enough to give answers to the questions that legislators would be asking.

Conclusions

There is a bit of nuance to the responses from officials regarding the question than the hypothesis had predicted despite a result that suggests the hypothesis was correct. Considering the issues that might be brought upon their municipalities as a result of consumption tax reform, officials almost seemed to be in favor of the idea of reform. The mitigating circumstance explaining this position being that they do not believe such reform to be feasible, nor – if implemented – do they believe these taxation policies would be continued in such a way which maintained the scholarly understanding of a ‘pure’ consumption tax. Perhaps here, Mayor Christine Letchinger’s criticism that the United States Constitution is ill-equipped to deal with big issues is fitting as, at least from a municipal standpoint, such a ‘pure’ reform might actually be well received, but this support drops when considering the realities of politics, to which these officials are well aware. These responses are made without clear reference to what legislation would be passed, along with a fairly firm belief that it will not be passed at all. It should be noted that the officials answers may not be truly representative of their actual behavior in the case that a consumption tax reform found itself passed by Congress and given their disbelief in such an event, trying to decipher their actions before the event occurs is probably nothing more than an intellectual exercise.

H8: Municipal officials will be split on when a consumption tax reform of the federal income tax return should occur. They will understand that it will be politically easier to do so during negative economic times, but realize that the effects of such a switch may best be implemented in positive economic times.

Generally, tax reformers do not seem terribly sensitive to the state of the economy and when such a tax proposal would be appropriate. FairTax proponents argue for a cold-turkey switch (Boortz & Linder, 2005, 165), and when questioned about this approach, they state that the benefits outweigh the costs – no matter how high they may be. Indeed they argue that it is actually the “sit-and-do-nothing” costs that Americans should be worried about (Boortz & John, 2008, 169-172). Hall and Rabushka, in their argument for the Flat Tax, demonstrate a bit more nuance to the approach of a transition by keeping some deductions in their reform, and slowly easing them out over time. This said there does not seem to be any real discussion about when a good time to conduct a comprehensive consumption tax reform of the federal income tax would be. This would suggest that reformers hold to the idea that their tax system will make things markedly better for the nation as a whole, and thereby any discussion as to when the opportune time to implement such a reform, from their perspective, only serves to delay the passage of their proposals into law. Since their proposals are ‘better for America’ a delay in implementing the proposals is tantamount to discussion about either diluting or not passing the proposal.

The author believes that this is not how municipal officials will look at things, and that for the local government sector, such brash federal actions could be disastrous. For instance, the Village of Gurnee relies rather heavily on a home-rule sales tax; in the event that the FairTax were to become law upon the next calendar year, Gurnee officials may not have the time to adjust their tax policies to guarantee the municipality generates enough revenue to support its services. While this would be a difficult situation in any reform, the magnitude of such a reform being conducted in bad economic times might be severely worse than that same reform being completed during more prosperous times. As such, the author believes municipal officials will find it more prudent to conduct the reforms during positive economic times, even though it might be easier to do so when things are not looking so good for the economy.

Findings

“[The federal government would] gain the most political support during a down economy, but from a practical standpoint, it makes most sense during normal economy as opposed to an economy that is artificially inflated or in a recessionary period. But that would probably not be realistic.” – Finance Director Tina Smigielski

Municipal officials are quite scattered on the notion of the best time for the federal government to consider implementing a consumption tax reform. To be fair to them, they are not economists who might have more insight into the effects of the reforms, so their answers are mostly speculation based on past political experiences and personal theories. Finance Director Susan Griffin argues just this when she sums up her belief that, “I don’t know if I have the expertise to understand the ultimate impact” although she thinks that, from a municipal perspective, it would probably not be the best idea to reform the tax code during a recession. She isn’t alone in this, Mayor Michael Belsky suggested that the reform would need to take place in, “Better times, because taxpayers will have more money and demand some relief or equality for their tax burden⁸⁶” and Finance Director Michael Peterson argued that “the negatives that come out of a tax reform during negative times would lead to a downward spiral in regards to consumer confidence.”

Some officials disagreed, noting that it might be foolish to ignore the political economy generated by a recession in regards to tax reform. Mayor Kristina Kovarik believed that, “You would not get any momentum or buy-in from the public [during positive financial times],” Mayor Christine Letchinger agreed noting that Lake Bluff was using the recession as a backdrop to redo their garbage contracts, paying less by reducing services rendered in the contract. Mayor George Van Dusen hesitatingly agreed, suggesting that, “If you would be putting more money into the pockets of consumer, you would want to do it during a recession.” Finance Director Mark Nannini felt that with this type of reform it would, “Be more

⁸⁶ Although this assumes a decrease in tax burden.

advantageous to do so in a downturn,” but thought that it would be, “more likely [to] occur in a boom to take advantage of a populace that is less aware and responsive.

As far as the removal of deductions, Mayor Kristina Kovarik felt that politically, the best way to remove personal deductions was to faze them out over time; however, she noted that this choice has ramifications, “I tend to be a person, who says, if you’re going to do it; just do it. People will gripe but they’ll get used to it faster... You used to be able to deduct the interest on your charge cards and then they started phasing it out... prolonging the pain, giving people the chance to find something negative. Do away with it and they’ll start finding the positives sooner.”

Conclusions

The scattered response seems to more appropriately reflect personal political experience than it does expertise on the subject, however this input shows that, even in slightly homogenous subjects, the debate on when to ‘pull the switch’ will probably be heated. Generally the debate between the officials appears as if it may reflect the operational debate concerning the value of making a change for economic or political reasons. While sentiment to change the federal income tax has definitely increased in the past year, residual of the economic crisis, there are some definite risks the federal government would be forced to take at the expense of municipalities who have determined their tax bases resulting from the federal income tax. In the event of a large scale federal tax reform, it would be prudent for the federal government to conduct extensive research into the tax bases of larger municipalities who maintain tax decisions related to, but independent of the state they are located in so as to gauge how the change of the federal income tax would affect the decisions of municipal governments broadly as they compete with one another.

The author believes the merits to a cold-turkey switch as concerns local governments are few. While the positives of the cold-turkey switch – namely avoiding non-economically based decisions to take advantage of the tax code – would be better for local governments in one aspect since an impending change would lead governments to rush out bond issues, purchase property and supplies, etc. However, local governments would suffer because the change alters necessary calculations for decision makers such as revenue projections, tax policies, and hiring decisions. Whatever the best decision may be, officials would definitely need some preparatory time for the switch.

Summary of Findings

**“The power to tax involves the power to destroy.”
– Supreme Court Chief Justice John Marshall**

Municipal officials are generally opposed to a consumption tax reform, but not necessarily opposed to the objectives of such proposals. While they find the Flat Tax most ‘palatable’, the VAT does generate some support. Reformers of these two proposals might find less opposition, and even support, if they could convince officials that the implementation of the reforms was actually capable of not compromising to lobbyists. The FairTax maintains nearly universal disapproval as officials do not like the idea of having their expenditures taxed nor their tax rates meddled with. Further, the change to the FairTax, while done with purpose at the federal level, does not seem to concern itself with local government’s responsibilities, and what administrative/service changes it would mean for these governments.

The state and local tax deduction has promoted the build-up of state and local governments along with aiding new municipal government creation as some state and local governments design tax bases that take advantage of what residents can deduct from the federal income tax. One result appears to be that certain states, whose residents prefer these federally deductible taxes, have developed tax policies that suffer under economic recessions, but are promoted because they are tax deductible at the federal level. These tax-base construction decisions are slowly coming back to haunt politicians too as the AMT crunches down on upper and middle-class residents that eventually relocate to avoid these high taxation areas in America; most notably states which suffer from this are New Jersey, California, and New York. While there seems to be an argument that state and local taxes are not truly consumption, and as such should not be ‘double taxed,’ does it really make sense that the federal income taxes of individuals utilizing well-water in rural areas ‘subsidize’ the development of systems that pump water to a tenth floor condominium in Chicago or New York? This argument heard, if readers accept that state and local taxes are not consumption, they will find one official’s view that the removal of the state and local tax deduction might also change resident’s desire to actually pay their state and local taxes a bit disconcerting.

Municipal officials are quite uncomfortable with the prospect of losing tax-exempt status on their municipal bonds. They feel this way because the amount of money necessary to collect for the improvements translates into a more politically difficult situation for Mayors and Finance Directors who have to examine and explain the reasoning for rising costs. While reform proponents may argue these increased costs keep government out of what should be private sector business, instances such as the I-35 bridge collapse in Minnesota and Hurricane Katrina in New Orleans suggest that there may actually be

fewer resources available to state and municipal actors *with* tax-exempt status than are currently necessary. Despite their legitimate concerns, some evidence suggests that the status is being taken advantage of by larger, tax-savvy local governments to the detriment of the federal taxpayer. If the TIF districting example around the Chicagoland area indicates anything, it is that these successful initiatives are copied en masse by the suburbs which surround large municipalities, so when a bigger municipality achieves developmental success, its suburbs soon follow by developing similar policies and development strategies. This is particularly problematic to the federal treasury when the copied developmental initiatives take advantage of federal funding available to these local governments. Lastly, there is still a substantial question of whether the tax-exempt status' removal would actually 'level the playing field' in the bond market, as the possibility that more dull municipal bonds (police stations, roads, etc.) would suffer in comparison to more exciting private sector bonds (shopping malls, office buildings, etc.). Arguably this change would make it more difficult for state and local governments to find investors.

Despite this concern for tax-exempt status, municipal officials seem to be against the notion that taxation of savings is a good public policy. This is strange since the taxation of savings is the precise policy that allows for tax-exempt status of municipal bonds to exist. Under this dilemma, tax-credits – as are actively being researched and opined upon in Washington D.C. – provides an interesting compromise that allows for explicit dollar to dollar subsidy to state and municipal governments as opposed to tax-exemption, which costs the federal government more than state and local governments receive. While there are some concerns on the part of local officials about future continuation of this tax-credit as opposed to the deduction, they might be eased with some sort of fixed agreement to guarantee this credit's funding remains constant, and would definitely prefer it to the tax-exempt status' outright removal.

The removal of the home mortgage interest and charitable contributions deductions does not seem to seriously concern municipal officials with regard to the operation of their municipalities, although they did believe the removal would change a significant amount of decision making for their constituents, and may affect them through this route. Despite the mixed response, the author analyzes the amount of money taxpayers deduct through these initiatives in various states. This data seems to indicate that West Virginia, Maine, and Mississippi will not be remotely as affected by the charitable contribution and home mortgage interest deduction's removal as will Utah, California, and Maryland. Given official's answers, it would seem that their reaction will be more dependent upon the constituent make-up of the state their municipality is in, rather than any personal view or understanding of how the deductions their municipality.

One aspect of two reforms is federal government incursion into sales taxes that were previously seen as the domain of state and local governments. Interviews showed that officials would muster stern opposition in response to any incursion by the federal government into these taxes, arguing that “local taxes should pay for local services.” While this argument seems valid upon its face, it negates the services provided by the federal government via Food and Drug Administration, Armed Forces, Environmental Protection Agency, and others that residents consume on a daily basis. As such, while municipal officials are certainly entitled to their point, it does not make it necessarily correct but rather furthers the misconception that government services are free; or paid for by some other benign entity.

If tax proponents are adhered to in regards to the timing of the transition to a consumption tax – in one case ‘cold-turkey’ – it might be over the tattered remains of America’s local governments system. One reason that municipal officials are against the radical reform of the federal income tax is that it would not fully include their organization’s interests, and as a result, the majority of the unpredicted effects of a reform may fall on them. The change would also likely invalidate a significant amount of management and financial processes so dramatically that municipalities are no longer in the position to efficiently accomplish their organization’s original goals. This would force local governments to completely re-envision their responsibilities and objectives, likely at an additional cost to their residents. While there are some benefits to local governments of a cold-turkey switch, they are convincingly outweighed by the negatives.

Conclusions

The continued expansion and further complexity of the federal income tax would appear, at least anecdotally, to favor larger municipalities exponentially. Changing to a consumption tax – or simply removing some federal to state local government tax deductions or status – may stop or reverse this trend. The favoritism large, dense municipalities are demonstrated to experience become quite noticeable as you compare small or poor municipalities with mid-sized or relatively wealthy ones where service levels and fragmentation of government has allocated more and better services, due in part to subsidies like tax-exempt bonding and various deductions discussed in this paper. As a result, smart and large municipalities ‘enhance’ their community through extra access to federal coffers even when explicit regulations against these actions exist or are demonstrated to be disadvantageous in the bigger picture. The author finds evidence that this may be primarily due to municipal lobbying power, connections, and ability to draw upon substantial knowledge bases available to the privileged class of municipal actors. If this argument were not the case, it might be more common to hear of smaller

municipalities taking advantage of federal coffers, but the reality is that these incidents seem to only occur within governments that maintain assets and expenditures in the billions of dollars. When this happens, the federal government is put in a strange situation of either leaving their prominent cities raise taxes – rendering them unattractive to potential and current residents – or trying to spread out the financial burden. It seems that through current tax policies the federal government has decided it is much easier to spread the unplanned financial burdens of crown jewel cities like Chicago, Los Angeles, and New York over the rest of the United States than to have these areas pay for their official's poor decision making. The author concludes that because a consumption tax would be much simpler, there would be less to know for municipalities and businesses and as a result, the reforms would decrease the amount of deals which take advantage of federal income taxes that every American citizen must pay.

It would appear that reducing the amount of local governments, via regionalization policies, would occur in the United States due to increased financial pressures imposed under consumption tax reform as this change works simultaneously with new challenges caused by the future dwindling of qualified employees, also known as the 'brain drain.' While municipal officials suspect these reductions will come from library, park, and school districts, and not municipalities – which they do not see merging – the author finds at least one stellar example of where and why some municipalities should merge. This does not indicate that municipal officials are wrong however as special districts, not school districts or municipalities, appear to be a major contributor to inefficient government expenditures, their numbers having tripled since 1952. The author finds examples where school districts and municipalities are not operating at near the same efficiency as others within their region. While some may argue that these residents pay for this increased level of service, they do so with the aid of what is federal money, returned by the various deductions discussed in this paper. While the upper-class do indeed expend their own money for the provision of these services, some do so at rates of almost sixty cents on the dollar, while others are forced to do so at eighty-five, or none at all. While services these expenditures provide help those within a local government's boundaries, they exponentially help those living in richer communities and come at the expense of services that could be rendered on a head-count basis to other U.S. citizens. The author points to data showing the state and local tax deduction's move from slightly progressive, to substantially regressive aggregate payout over time.

Proponents of the FairTax will not be surprised that their reform would be better received if it were not for the ideological bent of taxing government in the name of leveling the playing field with the free market. Under a 30% FairTax for instance, residents of one of the participating communities would be forced to pay roughly \$200 and \$3-4,000 a year for municipal and state taxes respectively, so it should be expected that municipal officials would have a significant distaste for

the proposal. While proponents reason that governments simply do not want to pay more for the services they provide, there is more to this argument which these reformers glaze over to sell their plan. Specifically it is the effective change of responsibilities of state and local government to collect federal tax dollars and the requirement to become collection agents at the local level that concerns officials on top of the more obvious problem about taxes. In selling their plan, Boortz and Linder do not really express the how 50 agencies similar to the IRS would be created, at best *just* removing the economies of scale benefit to show their strong distaste for the agency; at worst necessitating state and local government responsibility to support the federal government. This type of populist sentiment against taxes is disturbing, and Mayor Kristina Kovarik argues substantially that, “Taxes have become a dirty word. That’s a lot of years of politics. People forget that these taxes are providing services we choose to have. Think of all the services the federal government provides, even to [municipalities.] What you pay in is next to nothing for what you get back. If all of us were smart in government, we would do a marketing campaign to change people’s minds about taxes. It shouldn’t be a dirty word, but we keep doing stuff like [a massive tax overhaul] trying to make it palatable, instead of trying to change the conversation.” Her argument should be well taken by tax reformers, as taxation is just a method whereupon revenue is generated for what generally are fixed expenditures to sustain a country’s accepted standard of living. The amount of money that is taken from the populace is not the target of these reforms – hence the need to insist upon revenue neutrality – but it is where and who the money comes from. So, in an incredibly ludicrous sense then, if taxes are broccoli, then tax reform proposals are just different ways we add things to broccoli that encourage our children to eat it. As a result, the big debate on how taxes are collected from the populace might be summed down to an argument on whether you like your broccoli with cheese sauce or vegetable dip. The problem with this is that no matter how parents, or the federal government, might try to sweeten this deal, some children just do not like broccoli, as some people just do not like taxes. Kovarik’s argument conveys the frustration that there is a lot of work being put into the various reforms of the federal income tax, but in the end, roughly the same amount of money goes to the federal government, so what exactly does this work accomplish? The tax reform proposals concern themselves with the minutia of who the money comes from, and while there certainly is a point to this type of analysis on the smaller deduction by deduction level, system wide tax reform seems summarily to be a game of hot potato where one group would bear the burden, complains, and passes it on to another group. It would appear, given the reforms examined, that tax reformers are eying state and local governments to hold the spud. While there are arguments for this change, some of the drastic changes suggested by reformers will most probably necessitate similarly drastic changes in the future to offset their oversights.

If anything can be taken from the debate for a consumption tax reform of the federal income tax, it is the questions it raises about what the federal income tax is doing to aid America's outdated notion that every city needs a fire chief, park district, convention center; and that an average municipality should contain only 6,200 residents. If economists and policy makers are to abide by Tiebout's notion that citizens vote with their feet, and that efficient municipalities should become bigger like successful businesses in the private sector, then they should also let the idea of competition amongst government succeed and determine when local governments can 'fail' insofar that they will be consolidated or merged with other, more successful governments. In municipal governments, like the private market, the best and brightest minds seem to gravitate toward the most successful municipalities. The problem with the public sector is that residents who need these valuable individual's services the most do not live in the communities these professionals work. The cases of Maybellwood, and even Maybell Park, show that there are some municipalities who would be able provide better services if they merged, or worked together more significantly. Given that example, and its likely replication across the country, there does not seem to be many long-term reasons as to why merging local governments would not work; their combined boundaries and population being an advantage that, with the advent of technology, makes these larger governments feasible and practical.

The author believes the research shows one way the federal government could encourage the regionalization of local government is *to stop subsidizing the poorly functioning ones via the federal income tax*. Whether through consumption tax reform or the removal of these deductions and bonding status, the changes would provide impetus for local governments to merge or consolidate the less essential units of government amongst them. In the long run, when the labor force diminishes as baby boomers leave the workforce, administrative talent will be able to provide increased efficiency to more people. While municipal officials are uncomfortable with the idea of merger, it is only under the guise of Querelle de Cloche as described by Mayor Christine Letchinger that they do so. Residents of communities might maintain they reserve the right to their community and heritage, and this is true, but this defense is short sighted and generally self-serving, especially when compared to larger cities with multiple areas maintaining unique heritages despite no municipal boundaries between them such as Greenwich Village in New York or Wicker Park in Chicago. In the future, America will experience shortages of talent, and uncertain-to-variable prosperity; herein local governments will have to face financial and political pressures that are not readily predictable today. The answer *should be* regionalization, but one essential step is that citizens and elected/professional officials must begin to recognize some basic tenants of financial responsibility where residents pay fair prices for municipal improvements that they primarily benefit from. While citizens do maintain the right to their community and heritage, they do not maintain the right to fractional local governments that are forced to hire from a

decreasingly qualified employment pool of managerial talent that will result in administrations which are increasingly incapable, corrupt, or both. Even where this might not be the case, the federal income tax appears to aid well-off communities in their pursuit of services they *want* disproportional to their *needs*. While reformers would be correct in noting that their proposals might change the course of this trend, it is rather apparent that a significant amount more research would have to be conducted before their dreams ever have the chance of becoming a reality.

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Appendix A

State	Residents Per 100 Square Miles	Local Government Federal Tax Advantage Index
Alabama	92	46.3
Alaska	1	69.8
Arizona	57	69.3
Arkansas	55	42.1
California	236	65.6
Colorado	48	76.2
Connecticut	723	118.3
Delaware	447	65.9
Florida	340	68.2
Georgia	167	73.4
Hawaii	201	84.6
Idaho	18	75.9
Illinois	232	80.2
Indiana	178	77.5
Iowa	54	81.3
Kansas	34	75.8
Kentucky	107	71.3
Louisiana	101	44.3
Maine	43	103.9
Maryland	576	105
Massachusetts	829	94.2
Michigan	176	81
Minnesota	66	76
Mississippi	63	57.3
Missouri	86	68.1
Montana	7	83.3
Nebraska	23	58.9
Nevada	24	74.6
New Hampshire	147	113.3
New Jersey	1171	122.2
New Mexico	16	53.8
New York	413	81.1
North Carolina	189	69.4
North Dakota	9	71.1
Ohio	280	88.1
Oklahoma	53	58.6
Oregon	39	84.1
Pennsylvania	278	83.1
Rhode Island	1006	112.2
South Carolina	149	68.8
South Dakota	11	72.2
Tennessee	151	52
Texas	93	77.4
Utah	33	72
Vermont	67	87.3
Virginia	196	85.1
Washington	98	69.5
West Virginia	75	59.7
Wisconsin	104	91.5
Wyoming	5	63.6

State	Residents Per 100 Square Miles	Local Government Federal Tax Advantage Index
California	236	66
Connecticut	723	118
Delaware	447	66
Florida	340	68
Georgia	167	73
Hawaii	201	85
Illinois	232	80
Indiana	178	78
Kentucky	107	71
Louisiana	101	44
Maryland	576	105
Massachusetts	829	94
Michigan	176	81
New Hampshire	147	113
New Jersey	1171	122
New York	413	81
North Carolina	189	69
Ohio	280	88
Pennsylvania	278	83
Rhode Island	1006	112
South Carolina	149	69
Tennessee	151	52
Virginia	196	85
Wisconsin	104	92

California	236	66
Connecticut	723	118
Delaware	447	66
Florida	340	68
Hawaii	201	85
Illinois	232	80
Maryland	576	105
Massachusetts	829	94
Michigan	176	81
New Jersey	1171	122
New York	413	81
Ohio	280	88
Pennsylvania	278	83
Rhode Island	1006	112

Tax Reform Background Information for Local Government Officials

Consumption Taxes / Flat Tax

Prior to his appointment as the director of the Congressional Budget Office, economist Douglas Holtz-Eakin concluded: “In simple terms, federal tax reform is simultaneously the reform of each state and local [S&L] government tax system.” As such it becomes important to understand how actors in municipal government feel about proposed changes to the tax system. In the United States, Income (**I**) is conceptually defined – having not been explicitly defined in the 16th amendment to the United States Constitution – as being made up of Consumption (**C**) and change in wealth (ΔW). The Federal Income tax equates income using the equation $I = C + \Delta W$, this definition has lead to the creation of a 6,439 page tax code. The key difference between the current income tax and all three taxes presented in this study are that the reforms explicitly remove the change in wealth (ΔW) from the equation. Many economists and other tax experts believe a consumption tax to be superior to the United States Federal Income tax.

Tax reform proposals generally have three tax objectives: (1) to tax consumption instead of savings; (2) to achieve a more uniform (see: simpler) tax rate; (3) and to broaden the tax base. The task is to achieve these objectives while achieving a revenue-neutral or revenue-positive result; meaning the new tax system should generate similar or larger amounts of revenue as the tax system it replaces. A tax reform is thus judged upon its predicted ability to meet the three tax objectives and believed change to revenue.

For the purposes of these interviews, the below issues should be associated with all tax proposals. They represent the problems foreseen to S&L governments under the Flat Tax¹ proposal since the Flat Tax

¹ The Flat Tax would eliminate income tax-brackets and individuals would pay the same rate provided they earn enough to be taxed. The Flat Tax proposal being used is the Hall and Rabushka 2007 revised Flat Tax.

would generally fit into current municipal government practice; a separate introductory paper for this tax proposal has not been prepared.

A consumption tax eliminates the private sector's deduction of S&L government property and income taxes increasing the fiscal pressure on high tax payers to move away from high tax areas. Further, the preferable interest rates on municipal bonds would be removed, resulting in no differentiation between public and private investments in regards to taxation. The eradication of the federal income tax by a consumption tax would likely necessitate the Illinois state government to eliminate their own income taxes as the state's income tax utilizes the IRS definition of income as its own. To keep its income tax, Illinois would be forced to pass its own income tax code into law.

A consumption tax would affect private employer behavior since the tax preference for fringe-benefits such as employer provided healthcare will be removed with the exception of pension contributions. This would be the case for S&L governments as well, although instead of federal tax preference being removed; a federal tax on these expenditures would be *added*, leading to a new line item cost for municipal governments at a new tax rate, between 17-30%, depending on the tax proposal.

It is important to note that under a consumption tax, individuals see an increase in take-home income as paychecks no longer are decreased due to the collection mechanism of the federal income tax.

In all proposals a major issue is the transition between two federal tax systems, as the economic situation may affect how municipal governments behave. For example, any transition towards a consumption tax may affect how many bonds come onto the market pre-tax change. A potentially stronger counter-weight to this municipal "rush-to-market" may include those who purchase bonds reserving their funds until private investment interest levels decrease as a result of the removal of tax on private bond. Highly rated municipalities may be unaffected in this regard; however, municipalities that have poor bond ratings may find it more difficult to raise funds for municipal buildings and projects.

Tax Reform Background Information for Local Government Officials

The National Retail Sales Tax / Fairtax

The National Retail Sales Tax/Fairtax¹ (NRST/FT) refers to a proposed tax reform that would allow the federal government to raise revenues solely from a national sales tax on goods and services.² The NRST/FT would assess a 30%³ tax on new consumer goods and services, used goods would not face a tax. The reform addresses a regressive tax structure with prebates through the Social Security Administration on a monthly basis to every person to offset the increase of prices on essential goods.⁴ The annual process of filing tax returns would be replaced with an annual registration with the federal government.

Impact on State & Local (S&L) governments would depend upon their current revenue structure. For instance, the State of Illinois levies sales taxes on items differently than other states. The new federal tax collection would require either uniformity of tax collection between the state and federal government or two separate consumption tax (sales, etc.) collection systems; both systems requiring their own statutes and collection mechanisms. If accepting a uniform system, preferable state sales tax rates on certain products would be removed.

There would be no federal withholding requirement for either income or social security, which decreases the workload/financial burden to Human Resources and Finance. However, municipal government would face increased costs overall as services, such as police and fire protection are taxed under the NRST/FT. Since there is no direct recipient of these services, the municipality providing them

¹ The Fairtax is a variant, but popular, version of the NRST that will be used for this paper. There are differences between the Fairtax and Senator Richard Lugar's NRST proposal in the 1990's, but they are not relevant for this perspective.

² In addition to removing the Federal Income tax, it would also repeal the payroll tax, self-employment tax, capital gains tax, gift or estate tax, alternative minimum tax and corporate taxes.

³ A majority of analysis' points to either this rate or higher as the final tax rate for this reform.

⁴ This amount is \$199 per adult and \$69 per child, per month as the individuals are registered to a family under the Federal Government. This amount is in addition to the increase in take-home pay as mentioned in the Consumption Tax/Flat Tax paper.

must pay a tax on employees, products, and administration of these services. This would be in addition to taxes upon fringe-benefits as discussed in the consumption tax overview.

The only tax-exempt services would be enterprise funds as are generally found in utility and garbage collection provision. The taxation on these services would be paid directly by residents seen through an increase in their billing statements, and local governments would have to remit this money to the state. The NRST/FT would ideally be collected by the state of Illinois,⁵ and an administrative credit of one quarter of one percent of what Illinois collects would be remitted to them by the federal government.

Another concern for local governments is tax on transaction costs incurred through intergovernmental service-level purchases. Since Illinois government is fractured into many special districts and governments, it is important to consider the increased burden bourn by States who have more intergovernmental purchasing than others.

The NRST/FT would interfere with S&L government's sales tax bases and calculations. Proponents of the NRST/FT argue that despite this, the tax would not necessarily impose an undue burden on S&L governments; but would effectively transfer power into S&L governments via an increase in budget size and purchasing power in relation to that of the federal government. Proponents of the NRST/FT also argue that the NRST/FT legislation allows governments to tax internet and mail order sales to consumers (rather than suppliers) within their states. This argument for the NRST/FT is still a double-edged sword as the improvement would be a windfall to heavily populated states but may not add significantly to revenues in states which have devoted significant resources to commercial development, while maintaining a small population. Further infighting/bargaining could occur as to how these new funds are used to fund local governments as well.

⁵ States have the option to collect or not collect the NRST/FT for the federal government. If they choose not to, the federal government will contract with nearby states/private industry. No administrative credit will be given to the non-participating state.

Tax Reform Background Information for Local Government Officials

The Value Added Tax

The most common Value Added Tax (VAT) proposal is referred to as the credit-invoice method. The implementation of this VAT levies a tax on the total added value of a sale at each stage of production and credits producers for any VAT paid on inputs for a product. Below is a simplified example with a 10% VAT¹ assuming that raw materials, without VAT, would normally cost one dollar:

- The manufacturer pays \$1.10 ($\$1 + \$1 \times 10\%$) for the raw materials, and the seller of the raw materials pays the federal government \$0.10.
- The manufacturer charges the retailer \$1.32 ($\$1.20 + \$1.20 \times 10\%$) and pays the federal government \$0.02 ($\0.12 minus \$0.10 via credit confirmation), leaving a profit of \$0.20.
- The retailer charges the consumer \$1.65 ($\$1.50 + \$1.50 \times 10\%$) and pays the federal government \$0.03 ($\0.15 minus \$0.12), leaving a profit of \$0.30 ($1.65 - 1.32 - .03$).

The VAT efficiently tracks the product and collects tax on it at each stage of production, taxing and then crediting already paid taxes on a product repeatedly until final consumption. Firms are typically required to show proof, usually via invoice, that its suppliers have paid the VAT.

This credit feature sets the VAT apart from other types of taxation as it aims at correcting the disadvantages seen in sales taxes commonly referred to as a cascade tax. A cascade tax imposes a burden that cascades from manufacturer to wholesaler to retailer. Under the Federal Income tax, tax cascading is generally avoided through the deduction of local and state taxes on a federal tax return, but only if the tax payer accounts for the tax appropriately, disadvantaging those unaware of the deduction.

The most predominant issue that faces state and local (S&L) governments with the Value Added Tax (VAT) is increased linkages to the federal government. A VAT would likely disallow sales taxes be

¹ For example only, the actual amount of the VAT would require further study by government analysts.

imposed by S&L governments because the addition of a VAT would influence the amount of revenue generated by a sales tax, making revenue prediction difficult for all levels of government. Resultantly, they would become more dependent on the federal government, via one of two revenue sharing options:

1. **Revenue Sharing System:** States surrender autonomy and some authority to levy sales taxes and receive some revenue from the federal VAT, how much would require bargaining.
2. **Hybrid System:** Each level of government taxes a sector of the economy.

Similar to the sales tax, the VAT relies on self enforcement; however, since producers have an incentive to create documentation to receive the VAT credit,² a paper trail for most products will need to be produced for manufacturers to earn the credit resulting in a simpler auditing process. Because of the invoice system, businesses will be unable to hide wasted products under the guise of business uses, since they need to document that they are not the final consumer, which would require a sale.

Due to increased ease of enforcement, it is reasonably believed that revenues increase as a result of the VAT (also a result of increased compliance.) As such, the VAT avails itself to inducing government growth. Indeed, some refer to the VAT as a ‘money machine’ that empowers governments to divert tax earnings into revenues to enlarge the bureaucracy. A 1988 OECD report showed that countries with VAT included in their tax system did indeed have larger expenditures than those without a VAT.

Similar to the National Retail Sales Tax/Fair Tax, government expenditures may be taxed by a VAT, requiring government to pay tax on products and services produced that are not taxed under the Federal Income Tax. In practice however, services such as public safety, have been ‘zero-rated’ or untaxed while services like water provision are taxable. The NRST/FairTax advocates argue for taxing government expenditures to increase accountability, whereas VAT advocates do not necessarily do the same.

² In the example on the first page, a producer who could not show documentation would have to pay the *full* tax, and not just their portion of the value added.

Appendix E

Participant:

I am writing you to ask for your participation in a study I am conducting through Northern Illinois University's Division of Public Administration. I received your email address from Nick Wyatt after he confirmed I would be able to contact you in regard to the project. The purpose of the study is to discover problems municipal government officials will find with three proposed reforms to the federal income tax. The process for this study will include:

1. Pre-interview survey that will take approximately two (2) minutes.
2. Review of three short municipality-orientated tax reform summaries.
3. Participation in an interview which will last approximately thirty (30) minutes.
4. Post-interview survey that will take approximately two (2) minutes.

The study will cover the areas where municipal officials are most supportive of, and feel the most threatened by, changes to the federal income tax structure that economic and tax theorists advocate. Participants thus far have found the interviews interesting as they serve as updates to the current debate over federal income taxes and how popular proposed changes would affect the operation of municipal governments from a financial standpoint.

I hope you will consider participating and thank you for your time in doing so. In addition, if you would like to meet for lunch to conduct the interview, I would be more than willing to pick up the tab. If you have any questions please do not hesitate in contacting me.

Sincerely,

Kyle Palmer

Appendix F

State	# of Municipalities, Counties, Special Districts, Independent School Districts (Census of Local Governments, 2007)	Population (Census Estimates, 2008)	Land Sq. Mile	Water Sq. Mile	Governable Square Miles (U.S. Census Bureau, 2004, 29)	Per Capita Share	Per Square Mile Share
Alabama	1185	4,661,900	50,744	1,675	51,163	\$ 25.42	\$ 2,316.14
Alaska	177	686,293	571,951	91,316	594,780	\$ 25.79	\$ 29.76
Arizona	645	6,500,180	113,635	364	113,726	\$ 9.92	\$ 567.15
Arkansas	1548	2,855,390	52,068	1,110	52,346	\$ 54.21	\$ 2,957.27
California	4344	36,756,666	155,959	7,736	157,893	\$ 11.82	\$ 2,751.23
Colorado	2416	4,939,456	103,718	376	103,812	\$ 48.91	\$ 2,327.28
Connecticut	500	3,501,252	4,845	699	5,020	\$ 14.28	\$ 9,960.66
Delaware	338	873,092	1,954	536	2,088	\$ 38.71	\$ 16,187.74
Florida	1623	18,328,340	53,927	11,828	56,884	\$ 8.86	\$ 2,853.17
Georgia	1439	9,685,744	57,906	1,519	58,286	\$ 14.86	\$ 2,468.87
Hawaii	19	1,288,198	6,423	4,508	7,550	\$ 1.47	\$ 251.66
Idaho	1240	1,523,816	82,747	823	82,953	\$ 81.37	\$ 1,494.83
Illinois	5562	12,901,563	55,584	2,331	56,167	\$ 43.11	\$ 9,902.66
Indiana	2223	6,376,792	35,867	551	36,005	\$ 34.86	\$ 6,174.19
Iowa	1954	3,002,555	55,869	402	55,970	\$ 65.08	\$ 3,491.19
Kansas	2578	2,802,134	81,815	462	81,931	\$ 92.00	\$ 3,146.57
Kentucky	1346	4,269,245	39,728	681	39,898	\$ 31.53	\$ 3,373.58
Louisiana	526	4,410,796	43,562	8,278	45,632	\$ 11.93	\$ 1,152.71
Maine	384	1,316,456	30,862	4,523	31,993	\$ 29.17	\$ 1,200.27
Maryland	256	5,633,597	9,774	2,633	10,432	\$ 4.54	\$ 2,453.93
Massachusetts	555	6,497,967	7,840	2,715	8,519	\$ 8.54	\$ 6,515.04
Michigan	1651	10,003,422	56,804	39,912	66,782	\$ 16.50	\$ 2,472.22
Minnesota	1738	5,220,393	79,610	7,329	81,442	\$ 33.29	\$ 2,134.03
Mississippi	1000	2,938,618	46,907	1,523	47,288	\$ 34.03	\$ 2,114.71
Missouri	3411	5,911,605	68,886	818	69,091	\$ 57.70	\$ 4,937.00
Montana	1273	967,440	145,552	1,490	145,925	\$ 131.58	\$ 872.37
Nebraska	2205	1,783,432	76,872	481	76,992	\$ 123.64	\$ 2,863.92
Nevada	198	2,600,167	109,826	735	110,010	\$ 7.61	\$ 179.98
New Hampshire	324	1,315,809	8,968	382	9,064	\$ 24.62	\$ 3,574.78
New Jersey	1141	8,682,661	7,417	1,304	7,743	\$ 13.14	\$ 14,735.89
New Mexico	863	1,984,356	121,356	234	121,415	\$ 43.49	\$ 710.79
New York	2474	19,490,297	47,214	7,342	49,050	\$ 12.69	\$ 5,043.88
North Carolina	963	9,222,414	48,711	5,108	49,988	\$ 10.44	\$ 1,926.46
North Dakota	1379	641,481	68,976	1,724	69,407	\$ 214.97	\$ 1,986.83
Ohio	2394	11,485,910	40,948	3,877	41,917	\$ 20.84	\$ 5,711.25
Oklahoma	1880	3,642,361	68,667	1,231	68,975	\$ 51.61	\$ 2,725.64
Oregon	1546	3,790,060	95,997	2,384	96,593	\$ 40.79	\$ 1,600.53
Pennsylvania	3325	12,448,279	44,817	1,239	45,127	\$ 26.71	\$ 7,368.14
Rhode Island	103	1,050,788	1,045	500	1,170	\$ 9.80	\$ 8,803.42
South Carolina	698	4,479,800	30,109	1,911	30,587	\$ 15.58	\$ 2,282.03
South Dakota	1067	804,194	75,885	1,232	76,193	\$ 132.68	\$ 1,400.39
Tennessee	928	6,214,888	41,217	926	41,449	\$ 14.93	\$ 2,238.92
Texas	4835	24,326,974	261,797	6,784	263,493	\$ 19.88	\$ 1,834.96
Utah	599	2,736,424	82,144	2,755	82,833	\$ 21.89	\$ 723.14
Vermont	496	621,270	9,250	365	9,341	\$ 79.84	\$ 5,309.78
Virginia	511	7,769,089	39,594	3,180	40,389	\$ 6.58	\$ 1,265.20
Washington	1845	6,549,224	66,544	4,756	67,733	\$ 28.17	\$ 2,723.93
West Virginia	663	1,814,468	24,078	152	24,116	\$ 36.54	\$ 2,749.21
Wisconsin	1861	5,627,967	54,310	11,188	57,107	\$ 33.07	\$ 3,258.79
Wyoming	726	532,668	97,100	713	97,278	\$ 136.30	\$ 746.31
Average						\$ 41.11	\$ 3,517.41

Appendix G

$$IF((IF(H4<\$H\$54,1,0))*IF(I4<\$I\$54,1,0)=1,B4,0)$$

State	Mortgage Interest Paid Per Capita in Federal Tax Year 2007	Charitable Contributions Made Per Capita in Federal Tax Year 2007
Alabama	\$ 1,108	\$ 651
Alaska	\$ 1,524	\$ 454
Arizona	\$ 2,082	\$ 493
Arkansas	\$ 763	\$ 522
California	\$ 2,925	\$ 668
Colorado	\$ 2,452	\$ 671
Connecticut	\$ 2,549	\$ 908
Delaware	\$ 2,030	\$ 616
Florida	\$ 2,016	\$ 638
Georgia	\$ 1,771	\$ 707
Hawaii	\$ 2,255	\$ 562
Idaho	\$ 1,537	\$ 583
Illinois	\$ 1,797	\$ 609
Indiana	\$ 1,124	\$ 483
Iowa	\$ 968	\$ 466
Kansas	\$ 1,083	\$ 613
Kentucky	\$ 989	\$ 444
Louisiana	\$ 834	\$ 392
Maine	\$ 1,268	\$ 364
Maryland	\$ 2,884	\$ 924
Massachusetts	\$ 2,240	\$ 720
Michigan	\$ 1,514	\$ 532
Minnesota	\$ 2,130	\$ 657
Mississippi	\$ 706	\$ 497
Missouri	\$ 1,256	\$ 510
Montana	\$ 1,241	\$ 472
Nebraska	\$ 1,038	\$ 563
Nevada	\$ 2,877	\$ 547
New Hampshire	\$ 1,985	\$ 498
New Jersey	\$ 2,387	\$ 676
New Mexico	\$ 1,178	\$ 378
New York	\$ 1,639	\$ 880
North Carolina	\$ 1,492	\$ 638
North Dakota	\$ 663	\$ 343
Ohio	\$ 1,240	\$ 460
Oklahoma	\$ 848	\$ 735
Oregon	\$ 1,958	\$ 567
Pennsylvania	\$ 1,307	\$ 545
Rhode Island	\$ 1,818	\$ 440
South Carolina	\$ 1,310	\$ 623
South Dakota	\$ 785	\$ 605
Tennessee	\$ 1,208	\$ 613
Texas	\$ 989	\$ 528
Utah	\$ 1,744	\$ 1,134
Vermont	\$ 1,311	\$ 418
Virginia	\$ 2,643	\$ 705
Washington	\$ 2,439	\$ 622
West Virginia	\$ 625	\$ 254
Wisconsin	\$ 1,407	\$ 486
Wyoming	\$ 1,369	\$ 973
Average	\$ 1,586	\$ 588

Tier 1	Tier 2	Tier 3	Tier 4
1	0 Alabama	0	0
2	Alaska	0	0
3	0	0 Arizona	0
4	Arkansas	0	0
5	0	0	0 California
6	0	0	0 Colorado
7	0	0	0 Connecticut
8	0	0	0 Delaware
9	0	0	0 Florida
10	0	0	0 Georgia
11	0	0 Hawaii	0
12	Idaho	0	0
13	0	0	0 Illinois
14	Indiana	0	0
15	Iowa	0	0
16	0 Kansas	0	0
17	Kentucky	0	0
18	Louisiana	0	0
19	Maine	0	0
20	0	0	0 Maryland
21	0	0	0 Massachusetts
22	Michigan	0	0
23	0	0	0 Minnesota
24	Mississippi	0	0
25	Missouri	0	0
26	Montana	0	0
27	Nebraska	0	0
28	0	0 Nevada	0
29	0	0 New Hamp	0
30	0	0	0 New Jersey
31	New Mexic	0	0
32	0	0	0 New York
33	0 North Carc	0	0
34	North Daki	0	0
35	Ohio	0	0
36	0 Oklahoma	0	0
37	0	0 Oregon	0
38	Pennsylvan	0	0
39	0	0 Rhode Islai	0
40	0 South Carc	0	0
41	0 South Daki	0	0
42	0 Tennessee	0	0
43	Texas	0	0
44	0	0	0 Utah
45	Vermont	0	0
46	0	0	0 Virginia
47	0	0	0 Washington
48	West Virgir	0	0
49	Wisconsin	0	0
50	0 Wyoming	0	0

Appendix H

Primary-1	Total Population	Percentage Population*				
		White	Black	Hispanic	Asian	Other/Mixed
Bellwood	20,535	11.9%	82.0%	8.2%	0.2%	4.5%
Maywood	26,987	9.7%	82.8%	10.9%	0.2%	6.1%
Melrose Park	23,209	71.6%	3.0%	53.9%	1.9%	22.3%
River Forest	11,635	89.6%	5.0%	4.1%	3.0%	1.1%

* Totals may not add due to White/Hispanic/Latino cross-section

Education-2	Education							
	Total Population over 18	Less than 9th Grade	9th -12th Grade No Diploma	High School Graduate	Some College, No Degree	Associate Degree	Bachelor Degree	Graduate / Professional Degree
Bellwood	14,297	6.0%	17.6%	31.6%	28.9%	5.2%	7.8%	3.0%
Maywood	18,434	8.6%	18.1%	32.4%	26.6%	5.0%	6.2%	3.1%
Melrose Park	16,820	20.3%	19.3%	28.5%	19.5%	3.9%	4.9%	3.5%
River Forest	8,636	0.7%	2.9%	10.3%	23.3%	2.8%	27.9%	32.0%

Income-1	Income				
	Total Households	0k-50K	50K-100K	100k-200K	200K and more
Bellwood	6,449	47%	41%	10%	2%
Maywood	7,934	58%	33%	8%	1%
Melrose Park	7,625	61%	31%	7%	1%
River Forest	4,107	30.9%	22.3%	26.5%	20.2%